

# EW Notes

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# Basics

Daily time frame is **prime** time frame

Use Daily timeframe for CMP:  $>300$  and Weekly timeframe for CMP  $< 300$

To identify starting point of EW in Daily timeframe:

- MACD lowest point in Daily timeframe
- Positive divergence
- Max 144 days period on chart to check Imp High and Imp Low

Impulse should be rule based; correction should be guidelines based

Degrees:

- Major – Daily timeframe (defines trend)
- Intermediate – 75min (action zone for trading)
- Minor – 15min (for practice only)

**Most IMP concepts:**

- **Leading Diagonal, Ending Diagonal, Flat correction, Double and Triple Correction**

# Wave-1

## Nature

- Impulsive

## Sub-moves

- 5 (1-2-3-4-5)

## Internal count

- 5-3-5-3-5

## MACD

- MACD lowest low or positive divergence

## Retracement (from previous Imp High – Imp Low)

- Min 61.8% retracement of Imp High and Imp low forms a degree wave

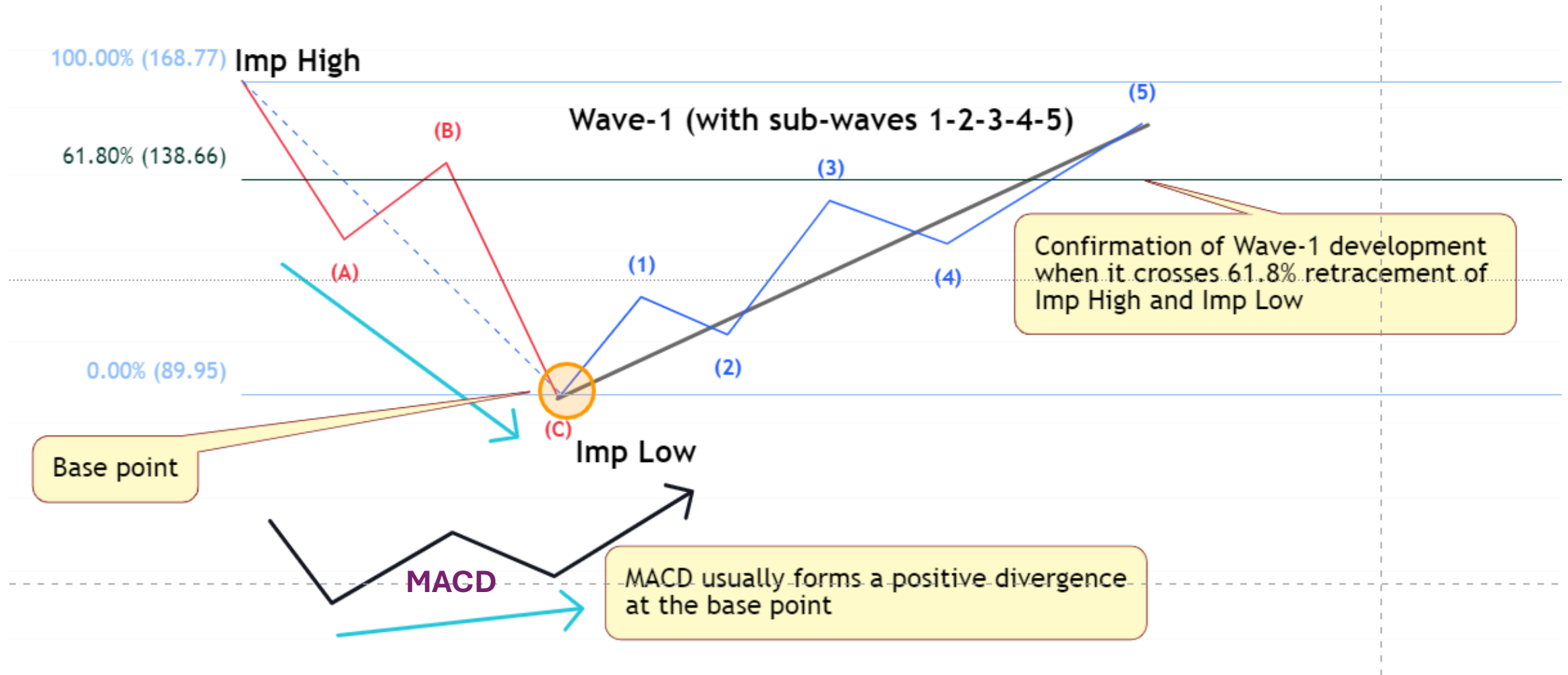
## Special feature

- Subordinate of Wave-1 can form a Leading Diagonal

# Examples

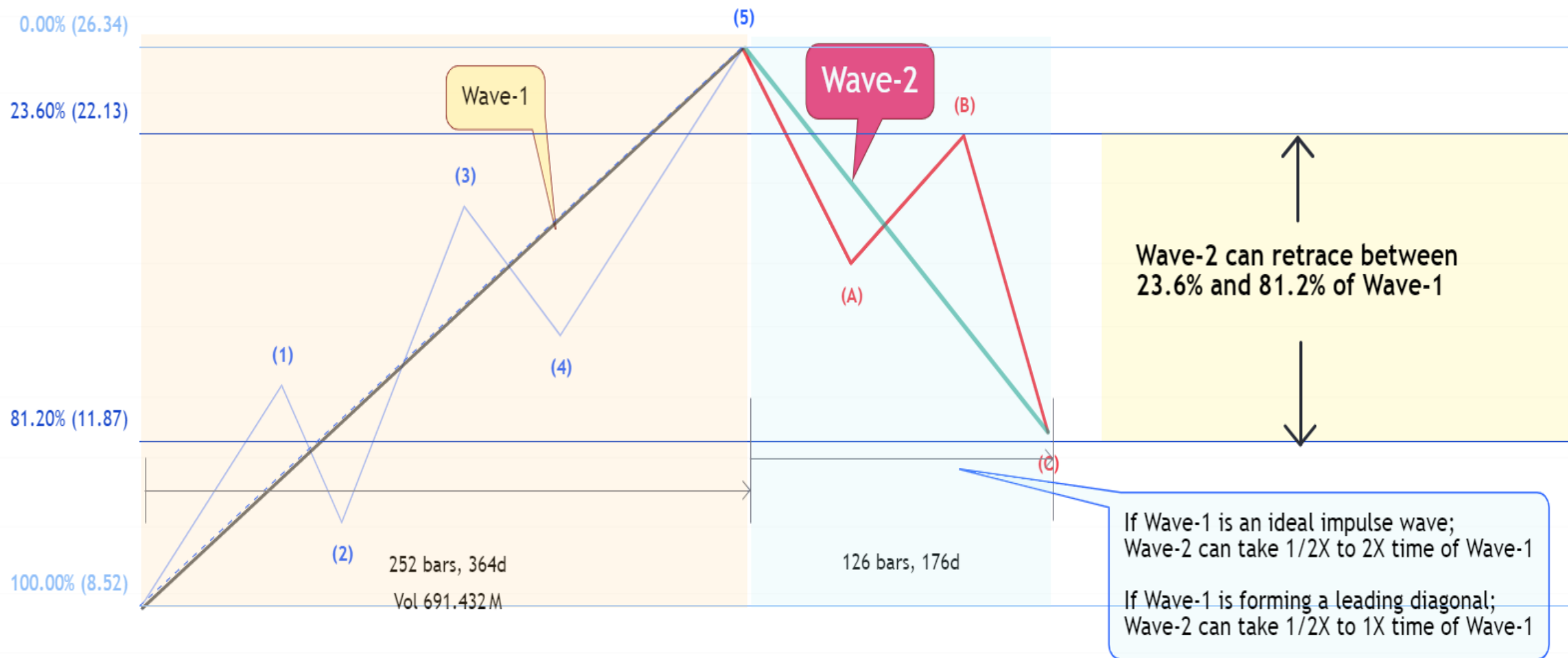


# Development of Wave-1



# Wave-2

|                     |                                                                                                   |
|---------------------|---------------------------------------------------------------------------------------------------|
| Nature              | • Corrective                                                                                      |
| Sub-moves           | • 3 (A-B-C OR W-X-Y)                                                                              |
| Type                | • Zig-Zag (price-wise) or Flat (time-wise) Correction and sometimes Single leg correction         |
| MACD                | • MACD falls slowly, mostly forms a positive divergence                                           |
| Retracement (0-1)   | • Min 23.6%, Max 81.2% Fib retracement of Wave-1, but cannot stay below 81.2% for long time       |
| Time                | • Cannot take more time than Time (Wave-1)                                                        |
| Entry               | • Trade should be taken after the formation of sub-wave C with SL of the base point               |
| Trade               | • Aggressive trade at retracement Fib levels, safe trade after breakout of Wave-1                 |
| Reversal            | • When 0-B TL is broken in <b>Flat</b> or <b>Zig-Zag</b> correction                               |
| Special feature:1   | • If microscopic ( <b>Min 14% Fib retracement</b> ); then Wave-3 will be extended                 |
| Rule of overlapping | • Wave-2 and Wave-4 have similar %fall in price (+/-5%)                                           |
| Rule of alternation | • Wave-2 is price-wise and Wave-4 is time-wise correction. They will have different time periods. |



# Wave-3

## Nature

- Impulsive

## Sub-moves

- 5 (1-2-3-4-5)

## Internal count

- 5-3-5-3-5 (Max 21 moves if Wave-3 is in **extension**)

## MACD

- MACD will be highest

## Fib Extension (0-1-2)

- Degree of Wave-3 can go till Min 161.8%, Max 2700% Fib extension of 0-1-2

## Time:1

- If  $W1 \neq W2$ ;  $W3 = [W1 + W2] / 2$

## Time:2

- If  $W1 = W2$  [ $\pm 5$ ]; then  $W3 = W1 + W2$

## Terminal

- Subordinate Wave-3 can be **terminal** with Min 61.8% extension of 0-1-2

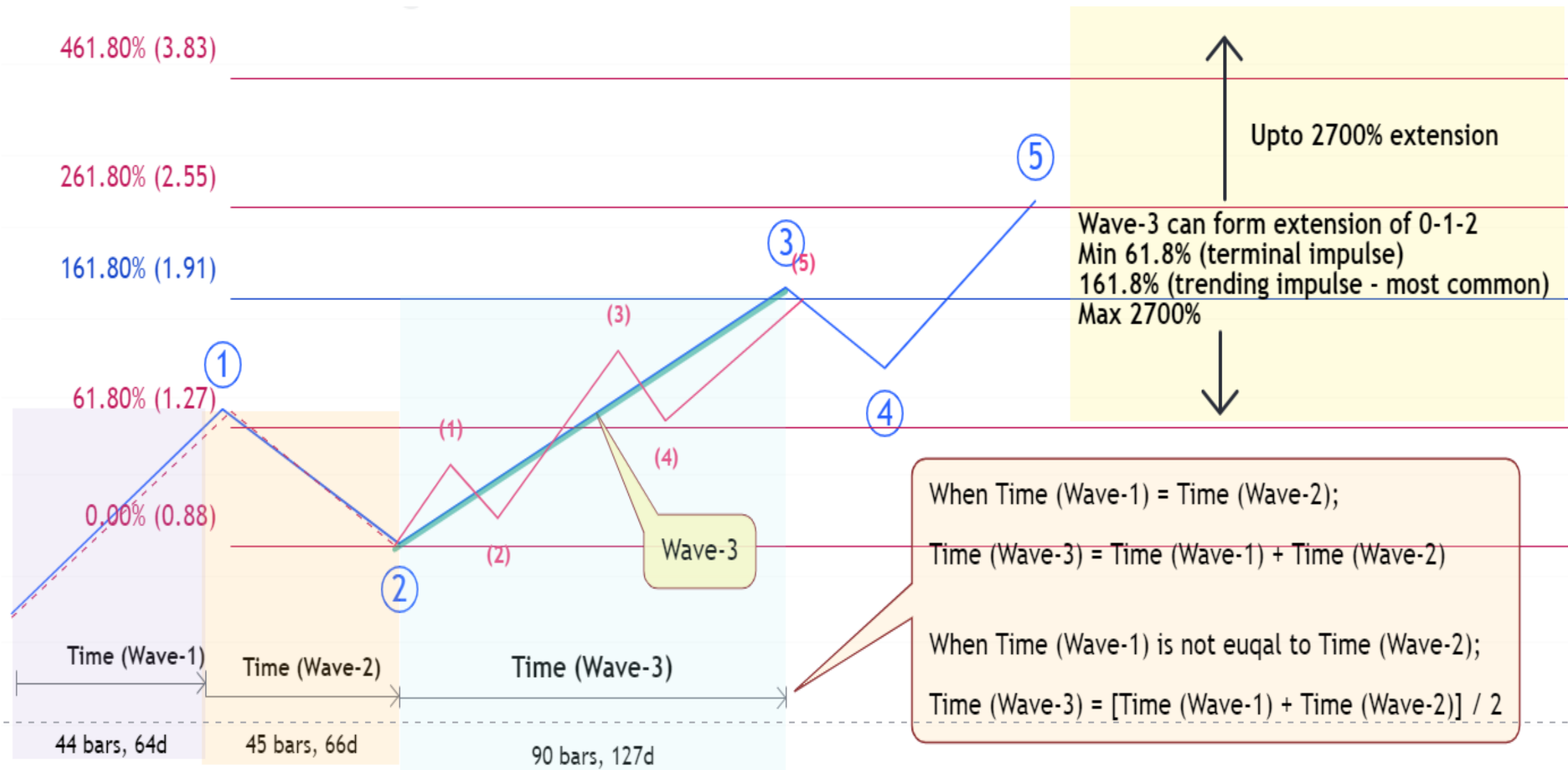
## Breakaway Gap

- If price breaks Wave-1 high through a breakaway **gap**, it should not fill the gap for next 4-5 days

# Microscopic structure of Waves 1 and 2

combat\_trader published on TradingView.com, Aug 26, 2024 00:15 UTC+5:30





# Wave-4

## Nature

- Might form Complex Correction

## Types

- Flat, Zig-Zag, Triangle, Double and Triple Correction patterns

## Internal count

- A-B-C, W-X-Y, W-X-Y-X-Z; A-B-C-D-E

## MACD

- MACD might be at its lowest low (price-wise correction)

## Retracement

- Impulse - from Base Point to W3 with Min 23.6% and Max 50%; in case of terminal impulse 61.8%

## Time

- Can take  $\frac{1}{2}$ , 2X or 3X time of Wave-2 (Cannot take same time as that of Wave-2)

## Feature

- It can never go lower than Wave-2

## Rule of overlapping

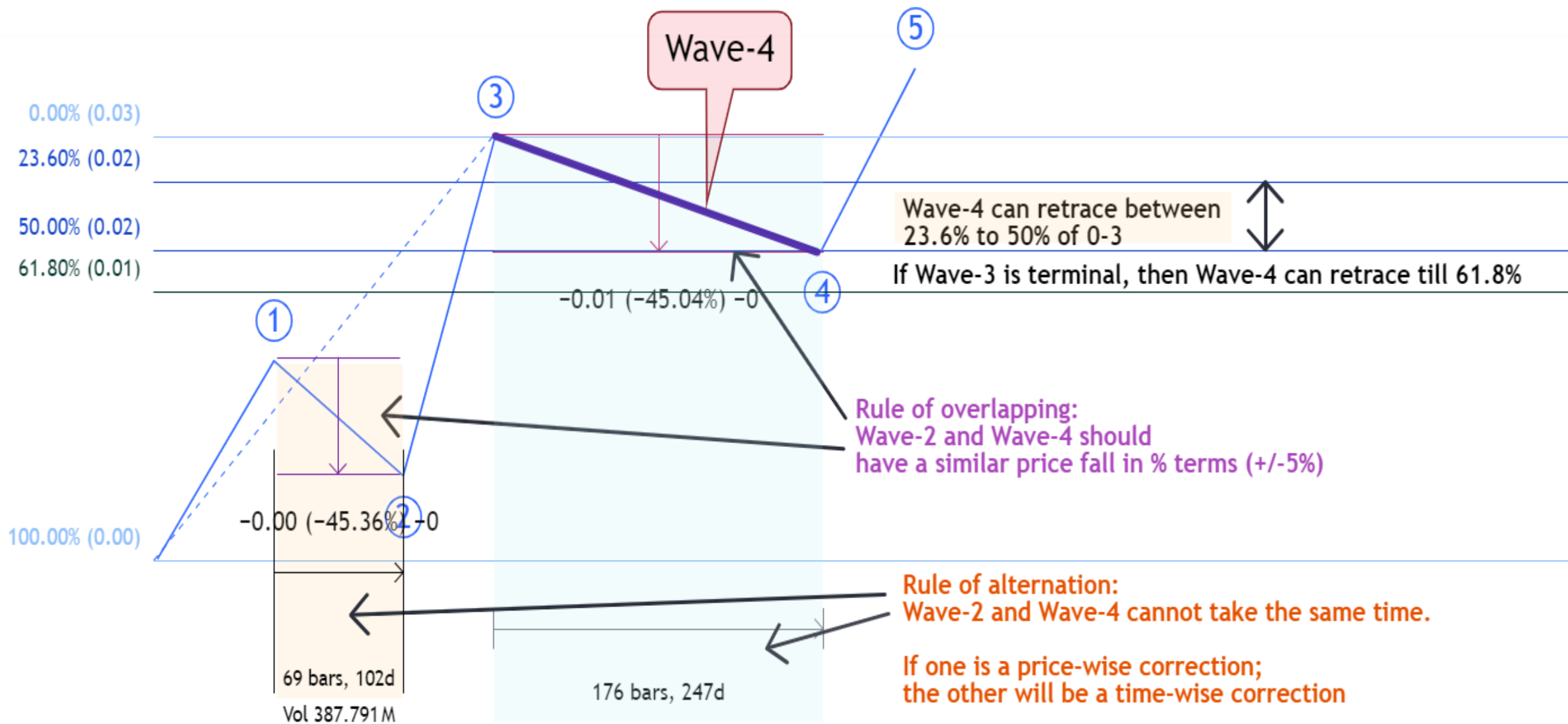
- Should have (+/-5%) price fall similar to Wave-2

## Trade:1

- Shorting opportunity at sub-Wave2 (X or B)

## Trade:2

- Long opportunity when correction ends



# Wave-5

## Nature

- Impulsive

## Sub-moves

- 5 (1-2-3-4-5)

## Internal count

- 5-3-5-3-5 OR (3-3-3-3-3 for Ending Diagonal)

## MACD

- MACD lower than Wave-3's MACD, negative divergence

## Retracement

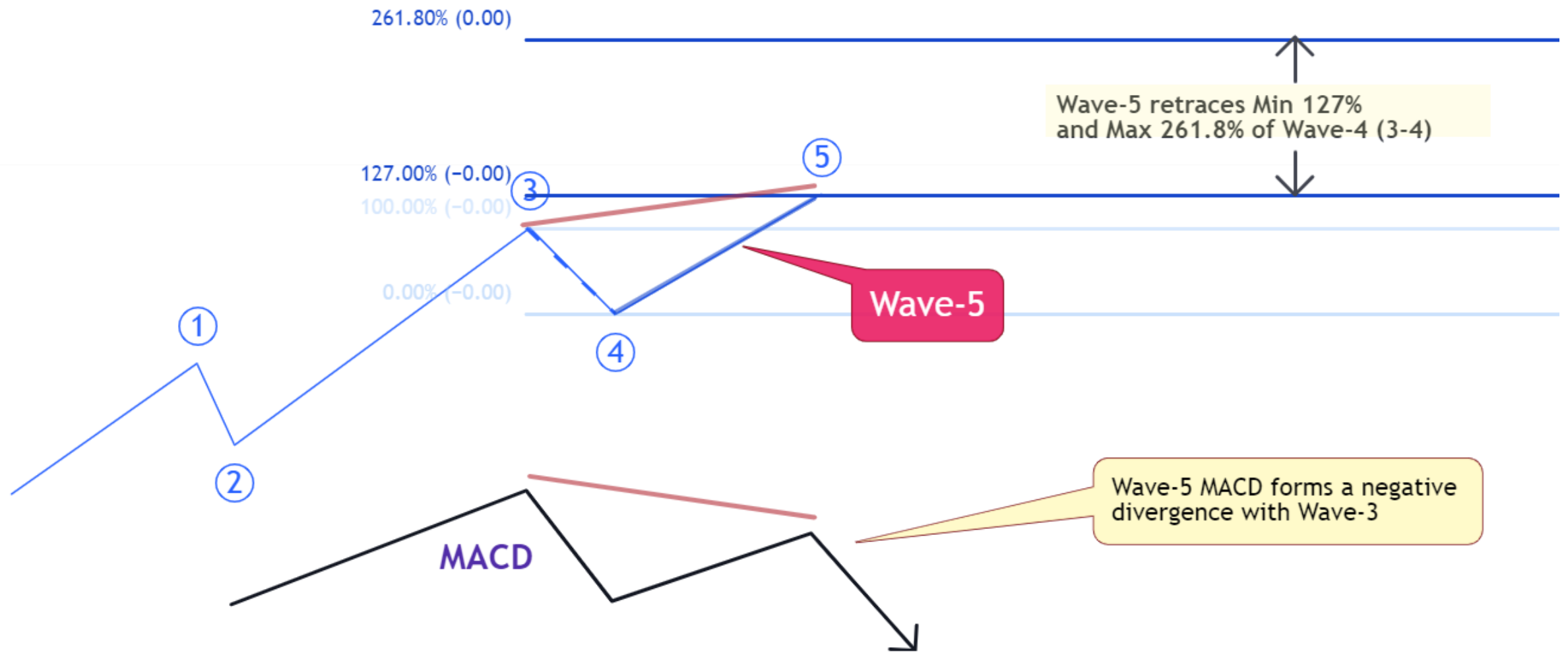
- Min 127%, Max 261.8% Fib retracement of Wave-4 (3-4)

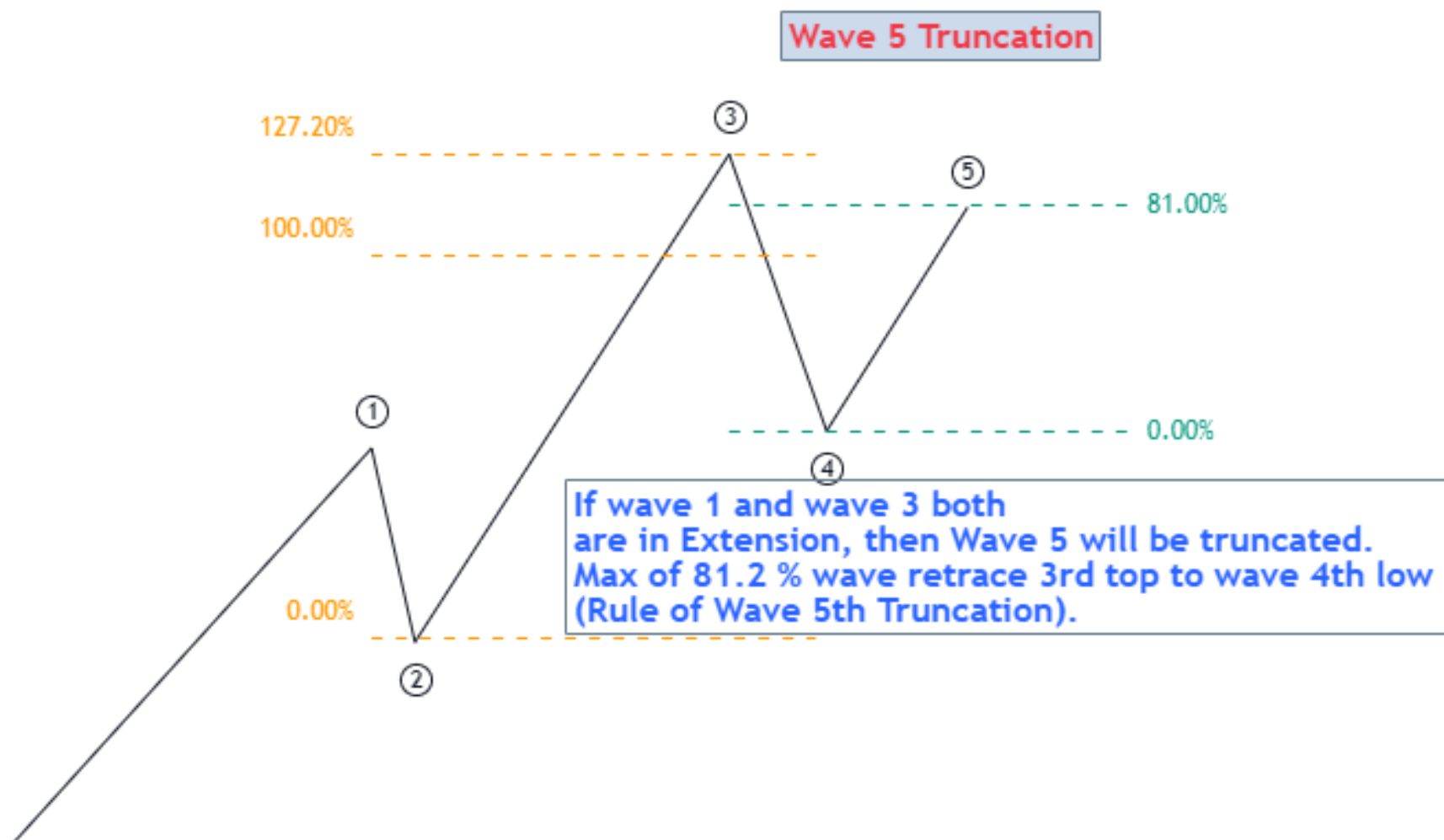
## Feature

- Subordinates of Wave-5 can form an Ending Diagonal

## Trade

- At 127% book profits or use a trailing SL





# Terminal Impulse

|                                     | Trending Impulse | Terminal Impulse |
|-------------------------------------|------------------|------------------|
| Wave-3 Fib Extension                | > 161.8%         | < 161.8%         |
| Wave-4 can enter Wave-2's territory | NO               | YES              |



# Leading Diagonal (5-3-5-3-5)

## Nature

- **Terminal impulse**

## Sub-moves

- Sub-waves (1,3,5) should have 5 moves 1-2-3-4-5, all are slow

## Occurrence

- Within Wave-1 and Wave-A (Zig-Zag correction)

## Retracement

- Wave-4 can retrace Min 23.2% and Max till 61.8% of 0-3

## Feature-1

- Wave-4 may enter Wave-1's territory and will not go below end of Wave-2

## Feature-2

- Wave-3 Fib extension will be terminal Min 61.8% and Max <161.8%

## Feature-4

- Wave-3 will be terminal and is slow in nature

## Feature-5

- Wave-5 is Min 161.8% and Max 261.8%, Wave-5 and Wave-1 may be equal

## Time : W2

- Subordinate W2 =  $\frac{1}{4}$  or  $\frac{1}{2}$  Subordinate W1

## Time:W3

- If W1 not equal to W2; then  $W3 = [W1 + W2]/2$
- If  $W1 = W2$  [ $\pm 5$ ]; then  $W3 = W1 + W2$

## Next pattern

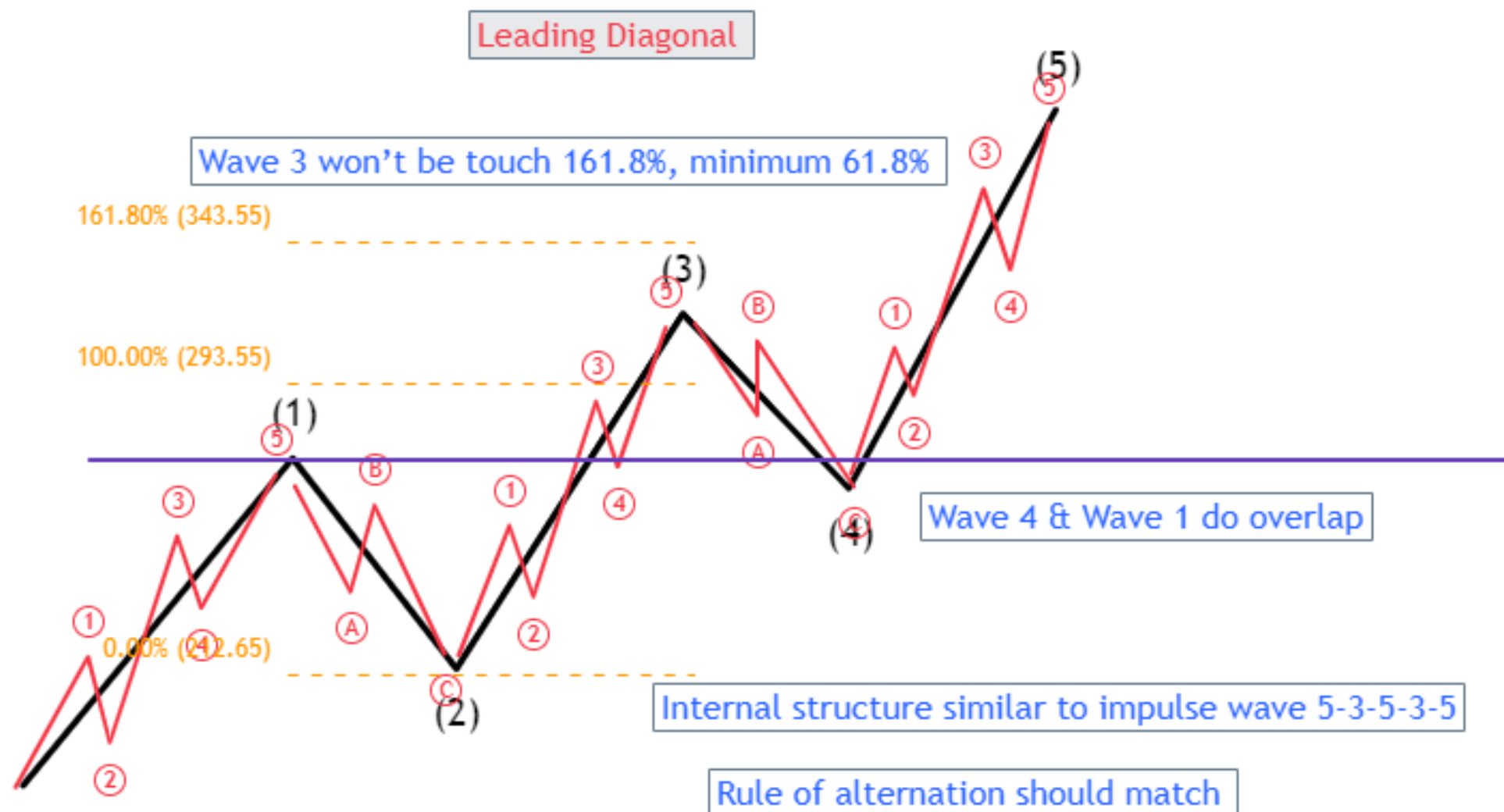
- Wave-2 (degree) after the entire leading diagonal should take  $\frac{1}{4}X$ ,  $\frac{1}{2}X$  or  $X$

## Wave-3

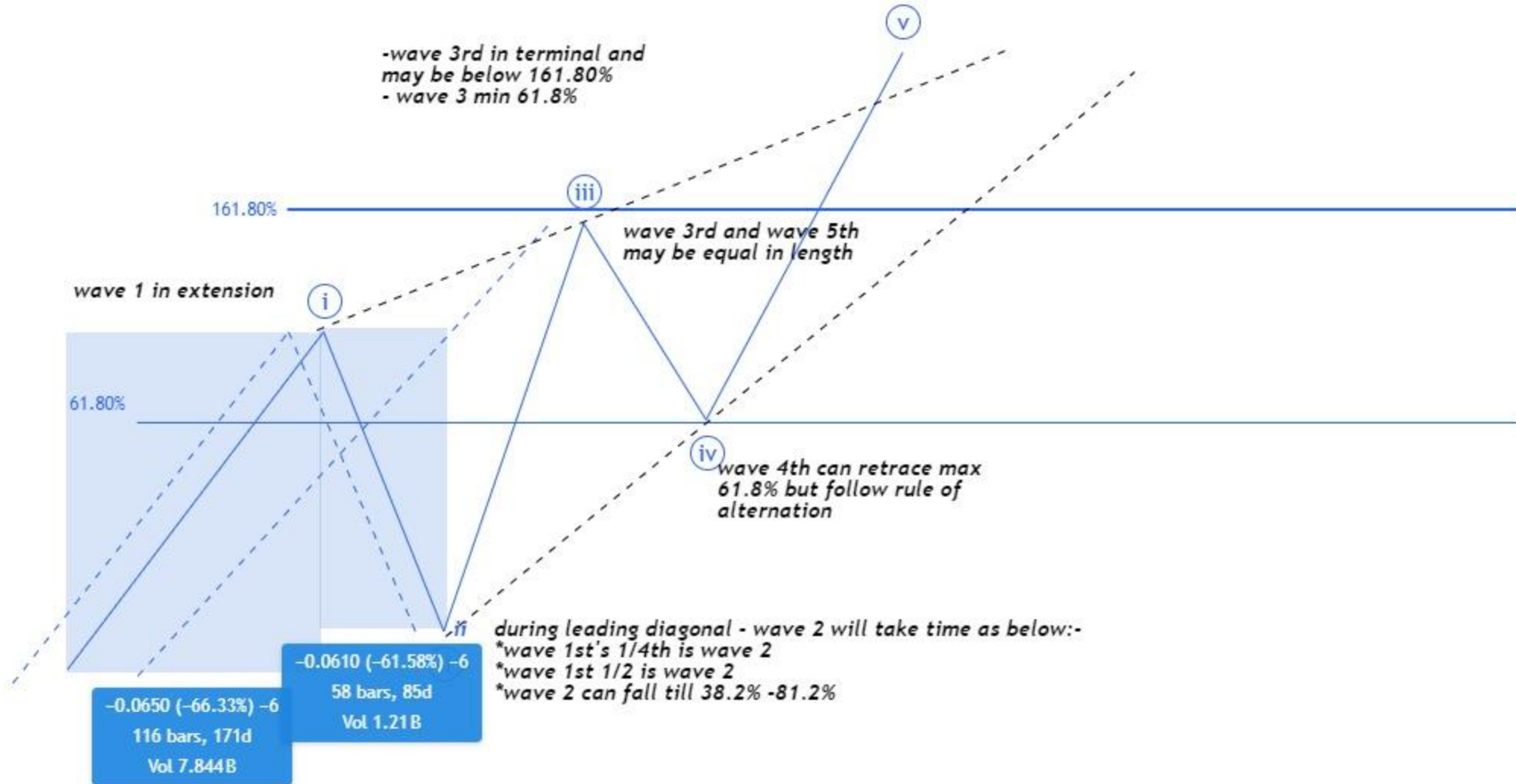
- Wave-3 (degree) after Wave-1 is an LD, would mostly be extended

## Special feature

- Fall of Wave-2 (degree) after completion of the leading diagonal can go till sub-Wave-4, sub-Wave-2 or Max till 81.2%



Leading Diagonal - formed in wave 1st



Leading Diagonal

infouff3 published on TradingView.com, Aug 25, 2024 14:33 UTC+5:30



# Ending Diagonal (3-3-3-3-3)

Nature

- **Terminal impulse**

Sub-moves

- 3-3-3-3-3 (Triple Zig-Zag)

Occurrence

- Wave-5 and Wave-C (If Wave-3 is in extension, Wave-4 is a sharp move, then Wave-5 will be an ED)

Retracement

- Wave-4 can retrace Min 23.2% and Max till 61.8% of 0-3

Feature-1

- Wave-4 enters Wave-1's territory and will not break Wave-2 low

Feature-2

- Wave-3 Fib extension may be terminal Min 61.8% and Max <161.8%

Feature-3

- Wave-2 and 4 won't retrace more than 50%

Feature-4

- Wave-3 is slow in speed

Feature-5

- Wave-5 is Min 127% and Max 261.8%, Wave-5 and Wave-1 may be equal in length

MACD

- MACD forms negative divergence from Wave-3 (degree)

Time : W2

- Subordinate W2 =  $\frac{1}{4}$  or  $\frac{1}{2}$  Subordinate W1

Time:W3

- If W1 not equal to W2; then  $W3 = [W1 + W2]/2$
- If  $W1 = W2 [+/- 5]$ ; then  $W3 = W1 + W2$

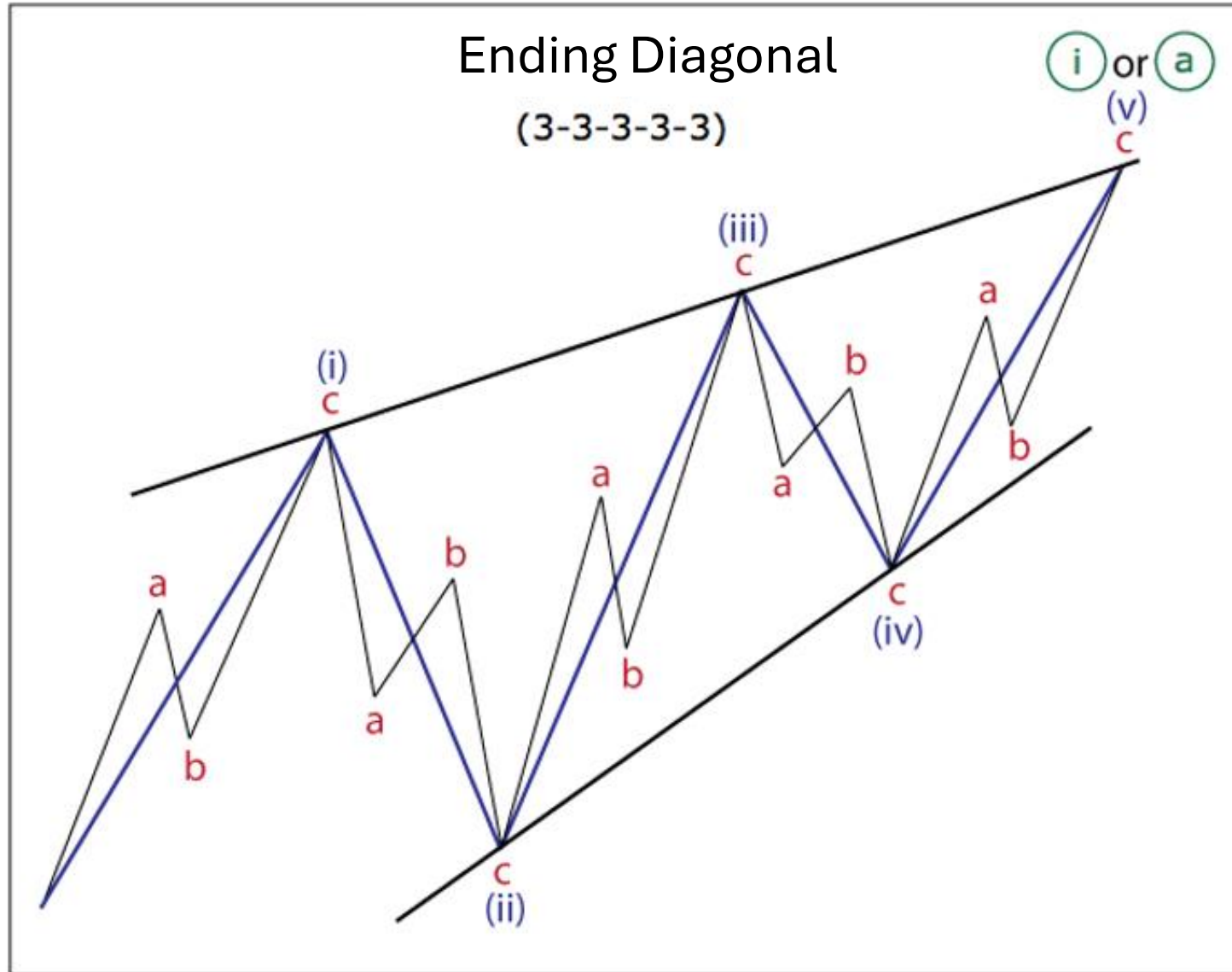
Pattern End

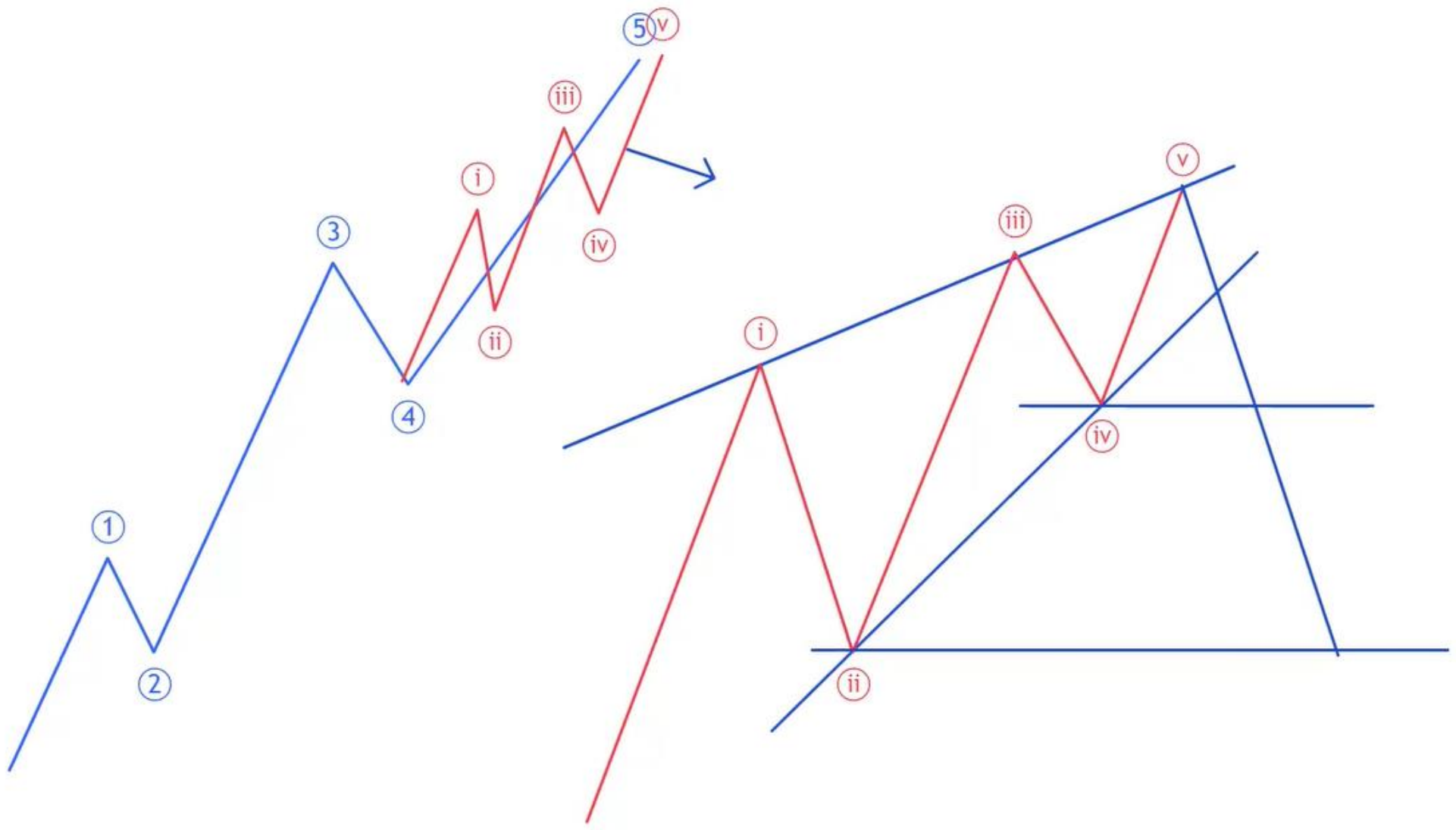
- Correction after the entire ending diagonal should take  $\frac{1}{4}$ <sup>th</sup> or  $\frac{1}{2}$  its time

Criteria

- LD and ED will not form in the same impulse move (If  $W1 = LD$ ,  $W5 = ED$ )

# Examples





# Wave extension

No. of moves based on Lucas numbers -> **5,9,13,17,21** – Max 21 moves

When Wave-1 and Wave-3 are in extension: (double extension) (not in equity, only possible in commodity and forex)

- Wave-5 is truncated – it can reach Max till 81.2% retracement of 3-4 (it will still have 5 sub-moves)

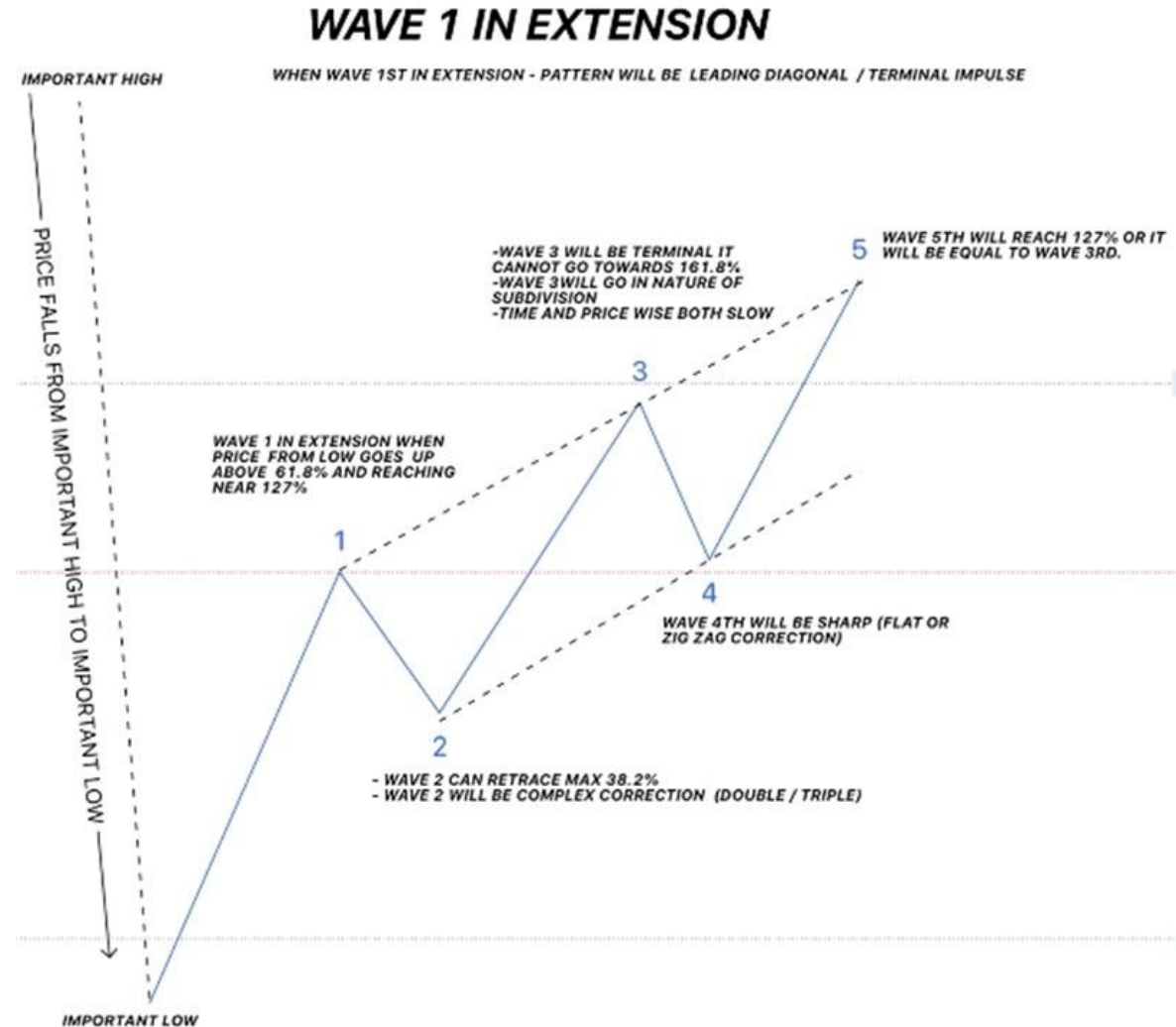
When Wave-1 is in Extension: (entire move forms a LD)

- Very slow speed time-wise and price-wise
- Wave-1 crosses 61.8% retracement of Imp High and Imp Low and when it reaches 127% it can be said to be in extension
- Wave-2 can retrace Max till 38.2% and will be in complex correction
- Wave-3 will be terminal (<161.8%) and will go very slow (in the nature of sub-division)
- Wave-4 will be sharp (flat or zig-zag)
- Wave-5 will reach 127% or maybe equal to Wave-3

# Wave extension rules

## When Wave-1 is in extension: (entire move forms a Leading Diagonal)

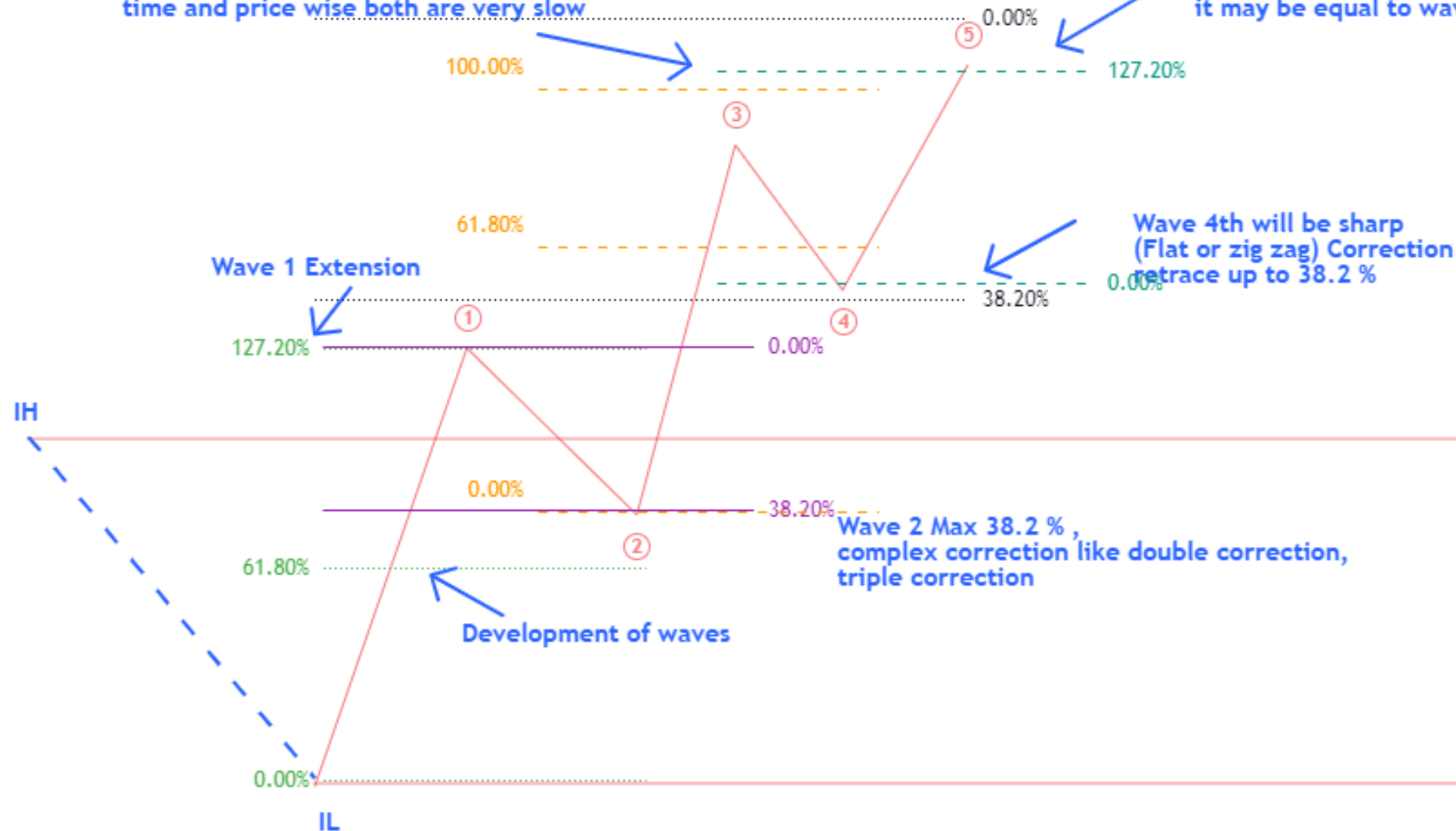
- Wave-2 will fall Max till 38.2% and will be complex (double/ triple) and will never cross 50%,
- Wave-3 will be slow and would not touch 161.8% (terminal)
- Wave-4 fall will be sharp and will take place in a single correction (Zig-zag or Flat), will retrace Max till 50% of the entire move
- Wave-5 retraces till 127% of 3-4, and will be equal to Wave-3
- Wedge pattern will be formed in the entire move



## Wave 1 Extension

Wave 3rd will be terminal impulse  
i.e it can't go till 161.8%.  
will go in the nature of Subdivision,  
time and price wise both are very slow

Wave 5th will reach 127% or  
it may be equal to wave 3rd

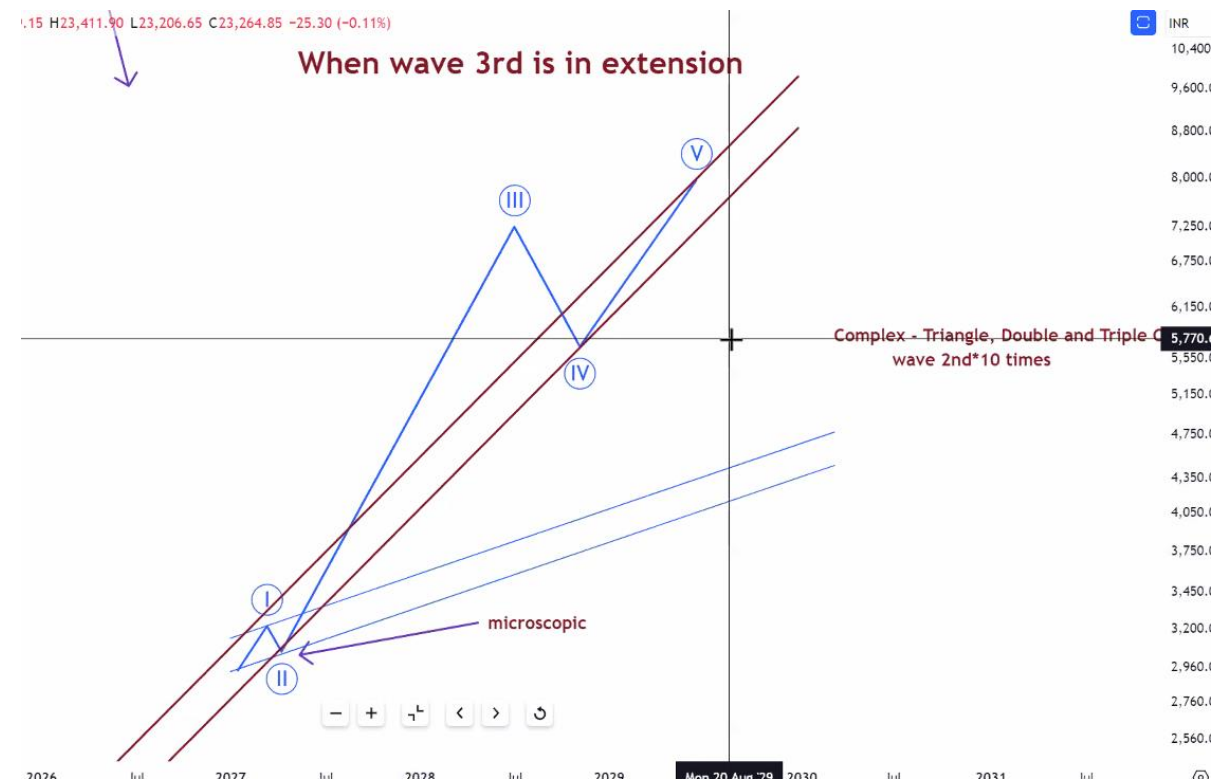


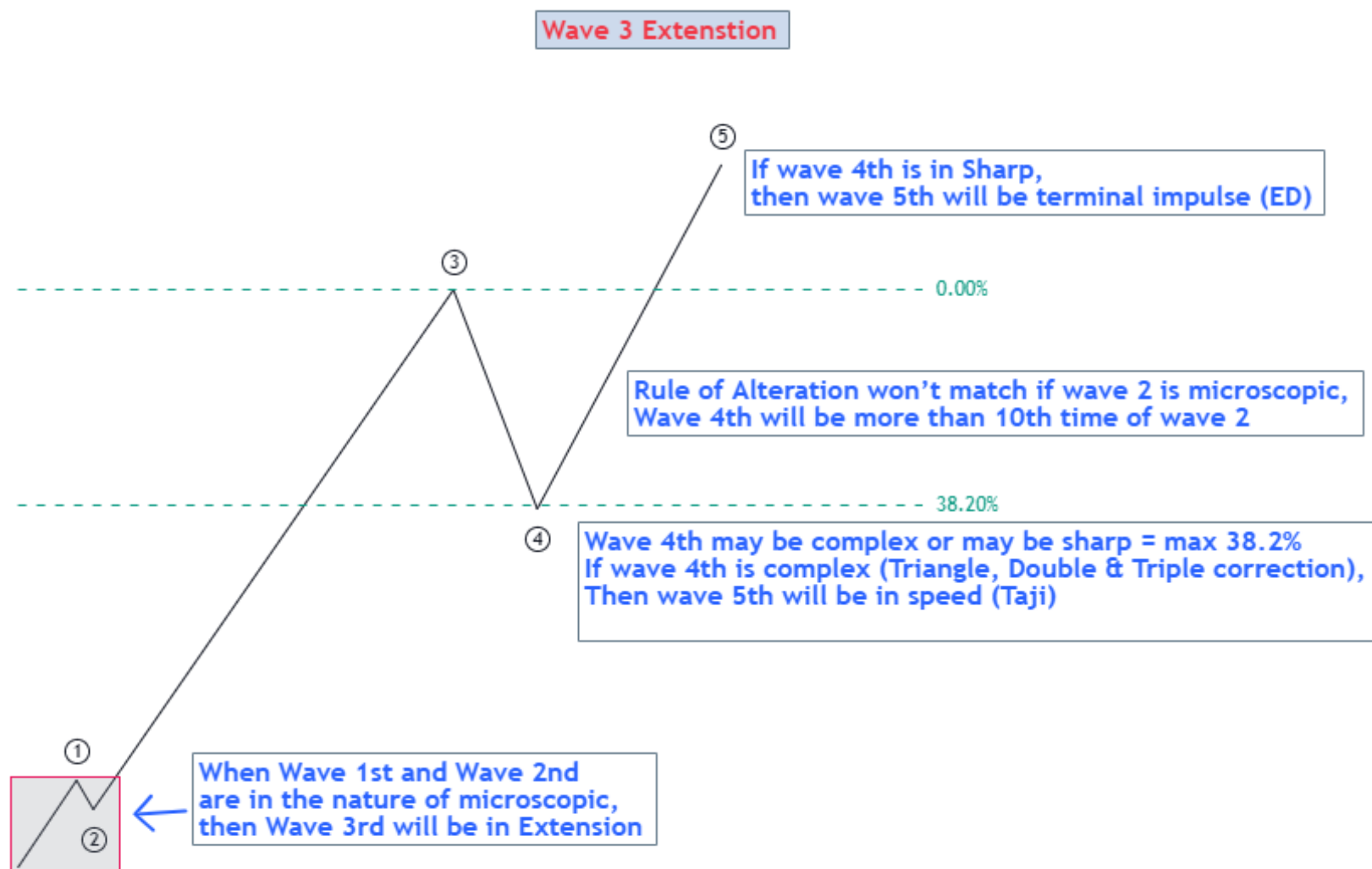
# Wave extension rules

## When Wave-3 is in extension: Wave-5 will form an Ending Diagonal

- Wave-1 and Wave-2 are microscopic
- Wave-4 will be 10X the size of Wave-2
- Wave-4 fall will be complex (triangle, double and triple correction) or sharp and will retrace Max till 38.2%
- Wave-5 will be slow, and will remain in the channel drawn over wave-1 and wave-2
- Wave-5 forms an Ending Diagonal

**In Microscopic: what is the Max retracement of Wave-2?**  
**Mostly found Wave-2 as microscopic, how to filter?**

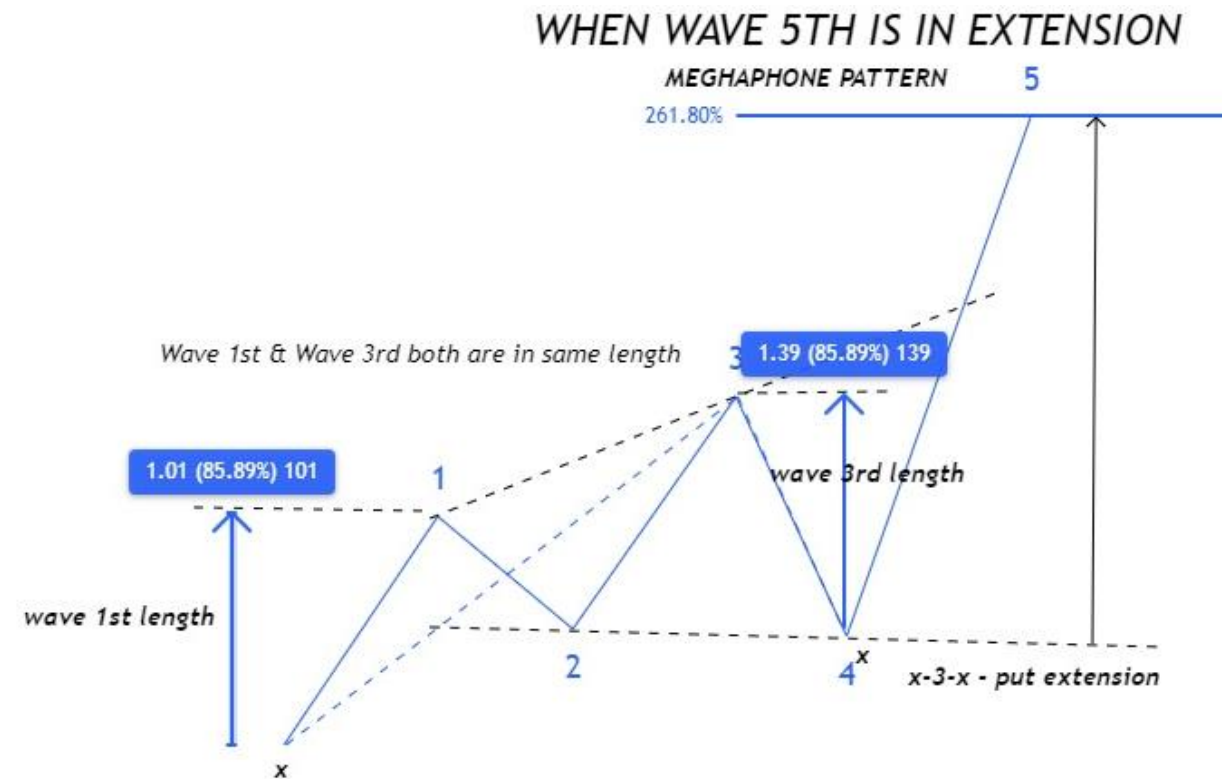


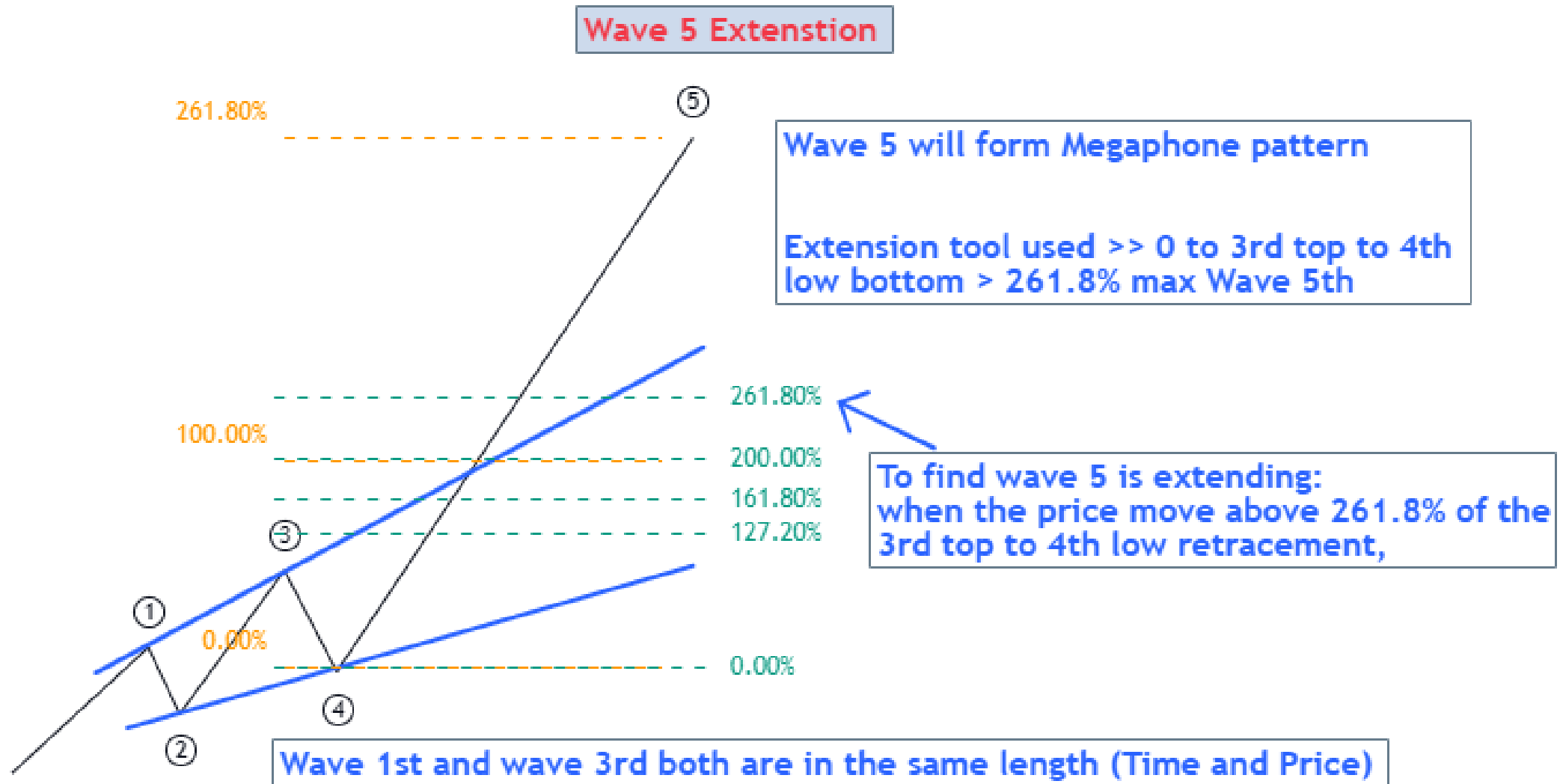


# Wave extension rules

When Wave-5 is in extension: (not possible in Indices, only in Stocks)

- Formed when Wave-1 and Wave-3 are both equal time-wise
- Wave-5 does not go into extension of Index in any timeframe
- Wave-5 does not cross 261.8% level of extension drawn over 0-3-4
- Wave-2 fall will be sharp in a single move (Flat or Zig-zag).
- Wave-3 can go till 61.8% - 100%
- Wave-4 will be complex – double and triple correction or Triangle
- It forms a megaphone shape. The correction that follows will never cross the trendline connecting 2-4





# Wave extension nature

## When Wave-1 is in Extension: (entire move might forms a LD)

- Very slow speed time-wise and price-wise
- Wave-1 crosses 61.8% retracement of Imp High and Imp Low and when it reaches 127% it can be said to be in extension
- Wave-2 can retrace Max till 38.2% and will be in complex correction
- Wave-3 will be terminal (<161.8%) and will go very slow (in the nature of sub-division)
- Wave-4 will be sharp (flat or zig-zag)
- Wave-5 will reach 127% or maybe equal to Wave-3

## When Wave-3 is in Extension: (Wave-5 forms an ED)

- Wave-1 and Wave-2 will be in microscopic nature
- If Wave-2 is microscopic, Wave-4 can be 5-10 times of Wave-2, so alternation rule does not apply
- Wave-4 can fall Max till 38.2% and may be sharp (flat or zig-zag) or complex
- Wave-5 will be an ED - very slow speed time-wise and price-wise
- Wave-5 will be in a steep up move if Wave-4 is complex, or can be truncated if Wave-4 is in a sharp correction

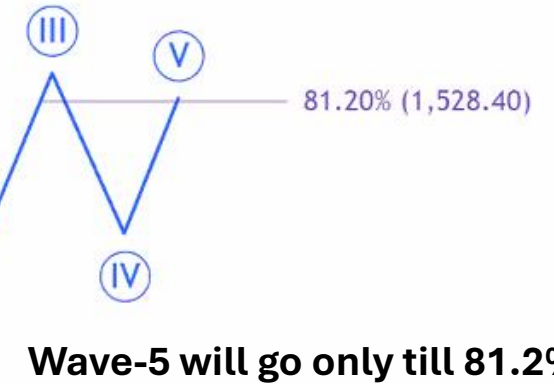
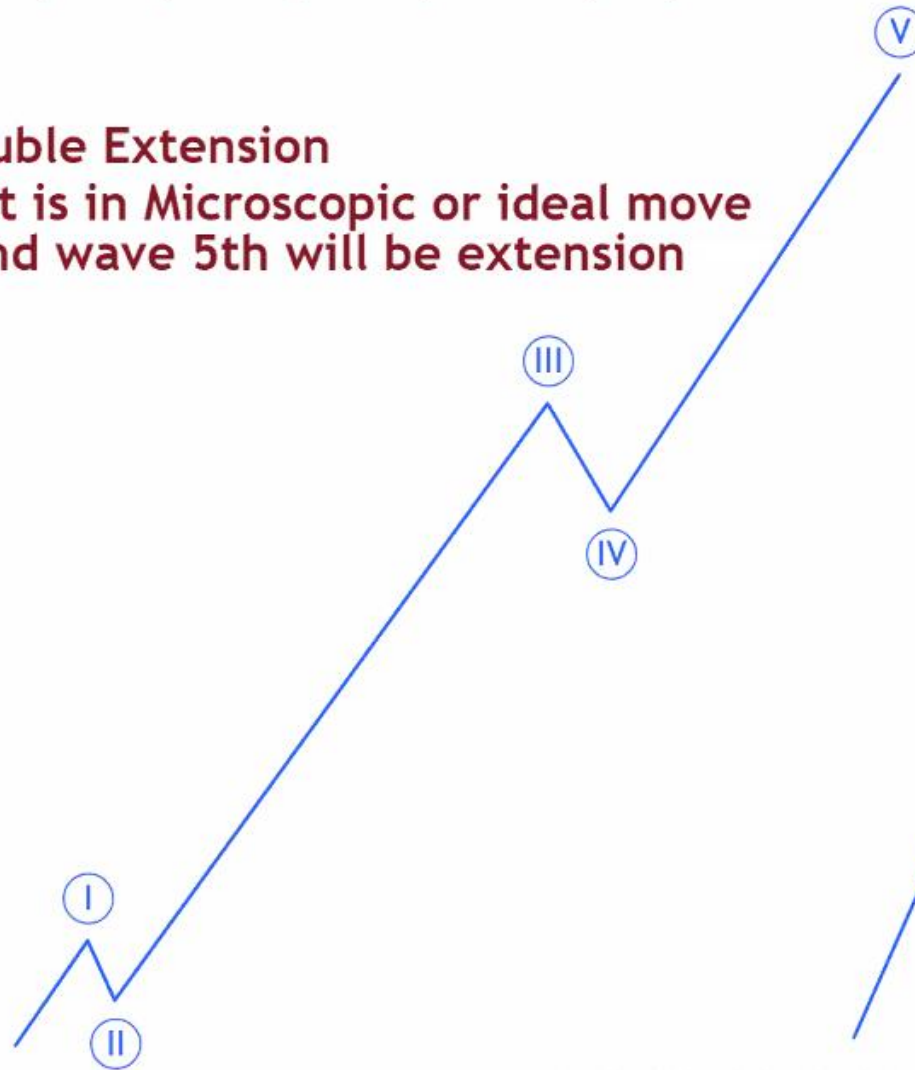
## When Wave-5 is in Extension: (entire move forms a Megaphone)

- Wave-1 and Wave-3 will be equal (time and price -wise)
- Join 1-3 and 2-4 via trendlines to form a megaphone structure
- Wave-5 can go Max till 261.8% in extension of 0-3-4

23264.85 0.00 23264.85

## Double Extension

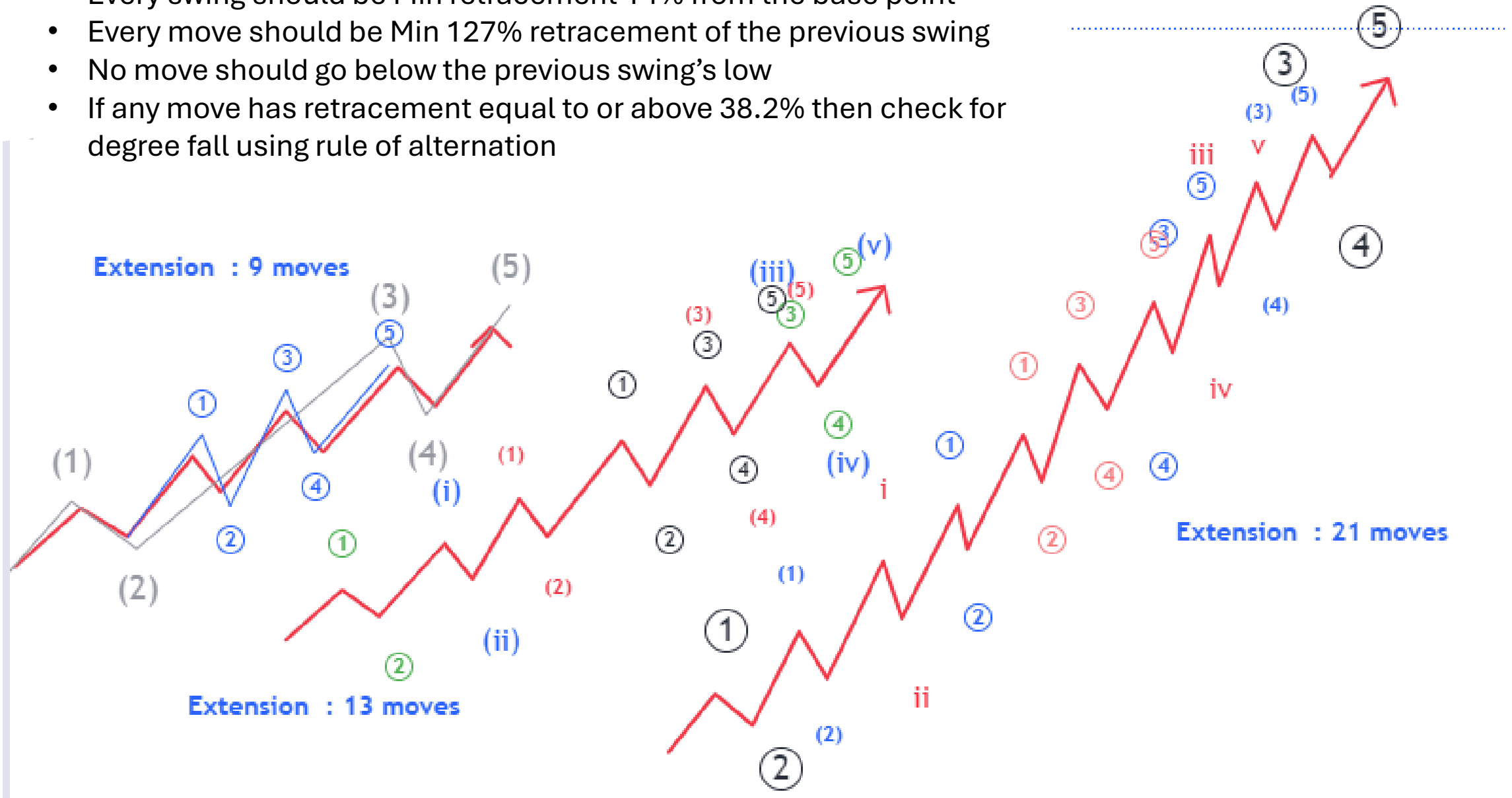
1. When wave 1st is in Microscopic or ideal move then wave 3rd and wave 5th will be extension



When wave 1st and wave 3rd both are in extension then wave 5th will be truncated

### Rules to check for extension:

- Every swing should be Min retracement 14% from the base point
- Every move should be Min 127% retracement of the previous swing
- No move should go below the previous swing's low
- If any move has retracement equal to or above 38.2% then check for degree fall using rule of alternation



## EXTENSION COUNTING



TRENT LTD, 1W, NSE O7,000.00 H7,097.95 L6,907.90 C6,925.60 -23.15 (-0.33%)



# Zig-Zag Correction (A-B-C)

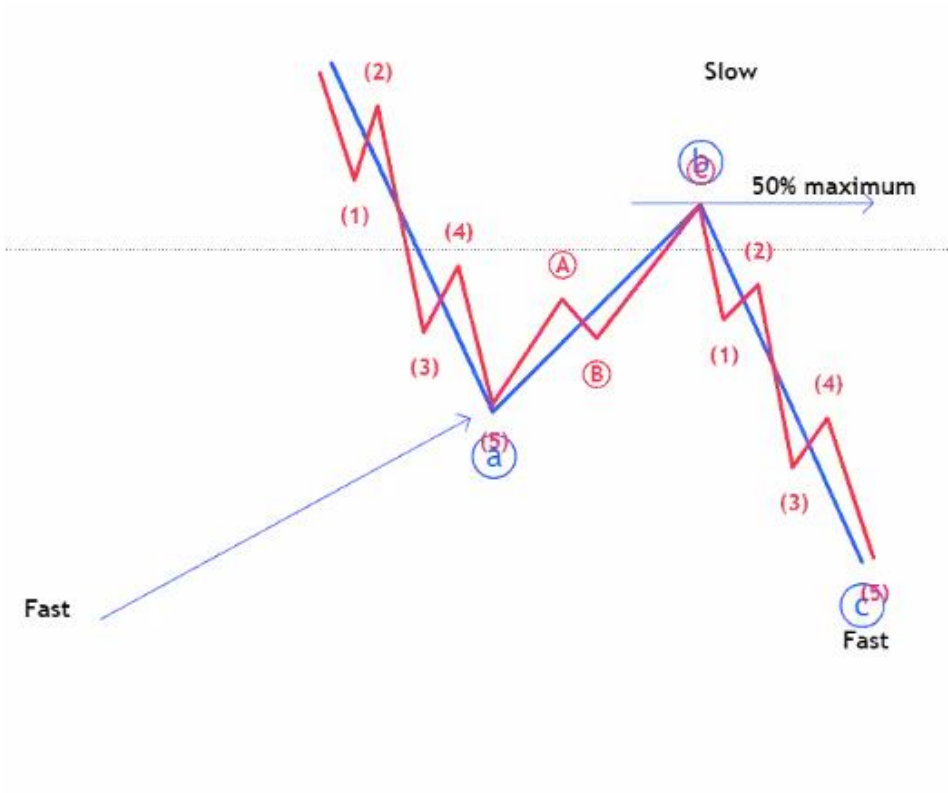
|                           |                                                                                 |
|---------------------------|---------------------------------------------------------------------------------|
| Correction Type           | •Single correction                                                              |
| Occurrence                | •Mostly found in Wave-2/ sometimes in Wave-4 and in double or triple correction |
| Category                  | •Price-wise correction                                                          |
| No. of moves              | •3 (A-B-C)                                                                      |
| Internal count            | •5-3-5                                                                          |
| Speed                     | •A Fast, B Slow, C Fast                                                         |
| Rule for Wave-A           | •Min 61.8% retracement of previous degree Wave-5                                |
| Wave-B Time period        | •B >= A (up to 5 times of A)                                                    |
| Fib Ext Wave-C (0-A-B)    | •C = A (length wise), Min 61.8%, Max 261.8% Fib extension (0-A-B)               |
| Wave-C retracement        | •Wave-C should be Fib retracement 127% of Wave-B                                |
| Wave-B retracement        | •Less than 61.8%, if >61.8% then it is Wave-2                                   |
| Time taken for Wave-C : 1 | •If A = B, C = A + B                                                            |
| Time taken for Wave-C : 2 | •If A < B, C = [ A + B ] / 2                                                    |

|                        |                                                                           |
|------------------------|---------------------------------------------------------------------------|
| Entry                  | • On crossing 3 <sup>rd</sup> Fib Ratio in Wave-C                         |
| SL                     | • Previous Fib Level of entry                                             |
| Target                 | • Bullish Candle formation at Fib levels 61.8%, 100%, 161.8%, 261.8%      |
| Pattern confirmation-1 | • When price crosses 0-B trendline in half the time (Wave-C)              |
| Pattern confirmation-2 | • When price crosses point B at the same time (Wave-C)                    |
| Pattern End            | • Complete correction should retrace Min 38.2% of the entire Impulse move |

|                                                          |             |                                                                               |
|----------------------------------------------------------|-------------|-------------------------------------------------------------------------------|
| Types of C :<br>Trend based<br>Fib extension<br>on 0-A-B | Normal C    | 61.8% to 161.8%                                                               |
|                                                          | Elongated C | 161.8% to 461.8%                                                              |
|                                                          | Truncated C | 1. Reverses before 61.8%<br>2. Confirmation: 81.2% retracement of A-B-C (0-C) |

# Examples

## Zig-Zag Correction



Regular Flat

Running Flat

Irregular/ Expanding Flat

## Correction

There are 2 types of correction:-

1. Time wise correction - Flat and Triangle

2. Price Wise Zig Zag (5-3-5)

\*There are 3 types of Zig Zag : 1. Normal, 2. Elongated and 3. truncated.

3. max correction moves 11 moves

$3+4+4 = 11$  moves (4 is Lucas No.)

Time Period Correction:-

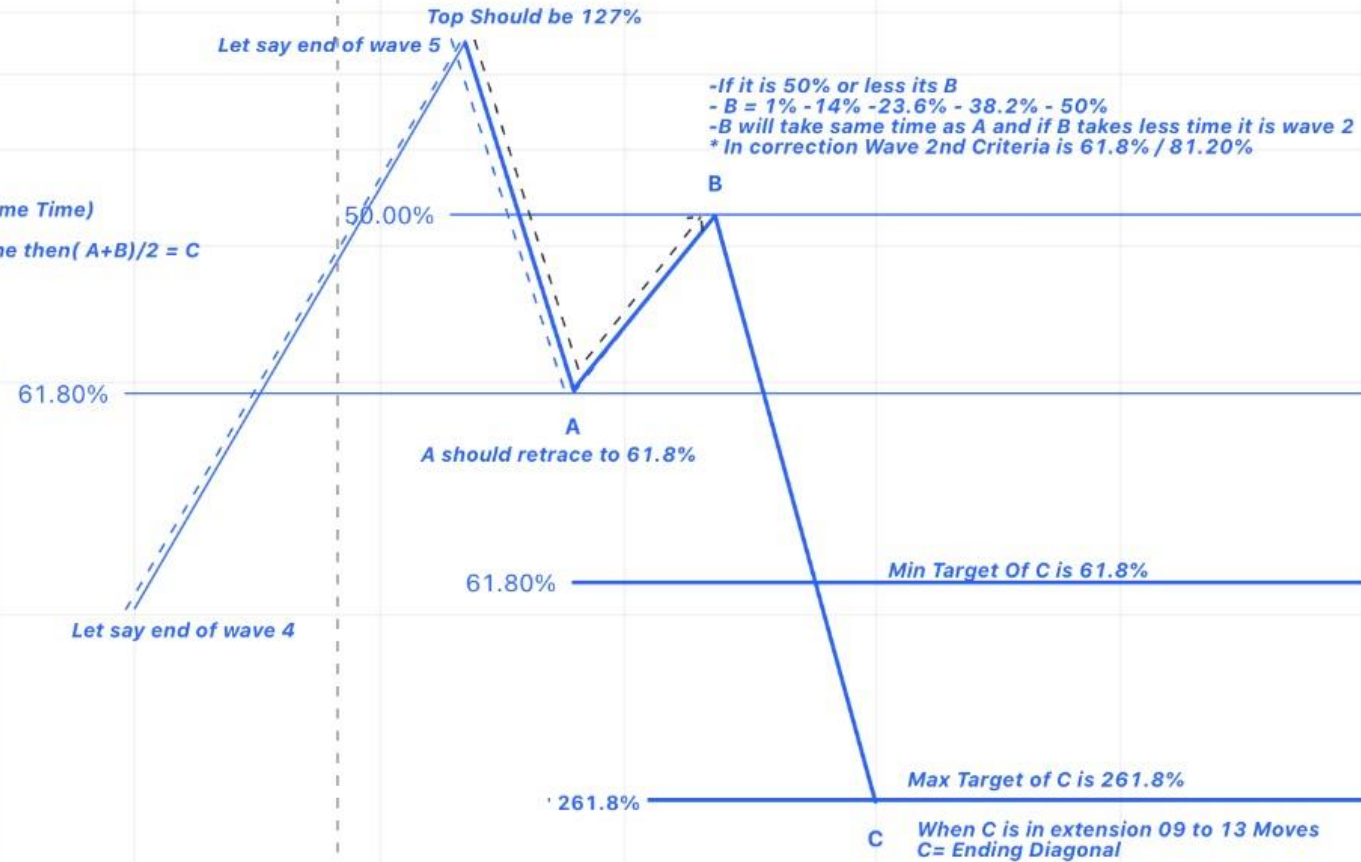
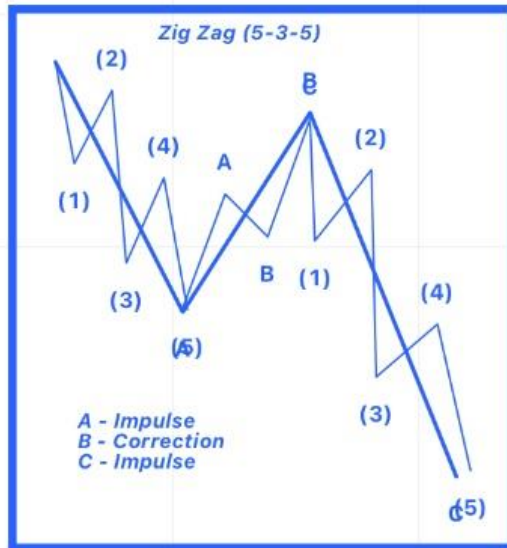
Let say  $A = X$  (Time)

$B = X$  (Time)

$A+B = C$  (If wave A and Wave B Has same Time)

If wave a and wave b has Different Time then  $(A+B)/2 = C$

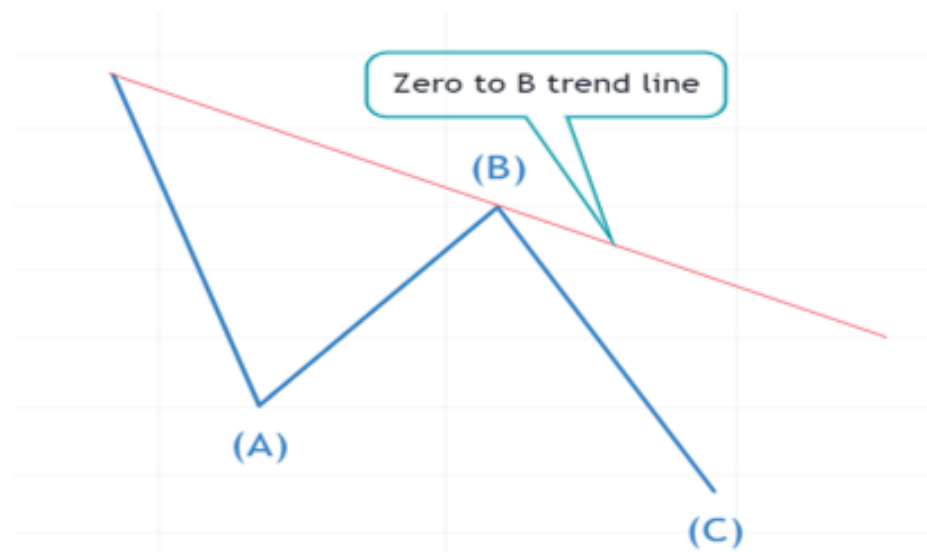
\* $B = A$  or  $A*5$



## How to Apply Trend line in Zig-Zag Correction

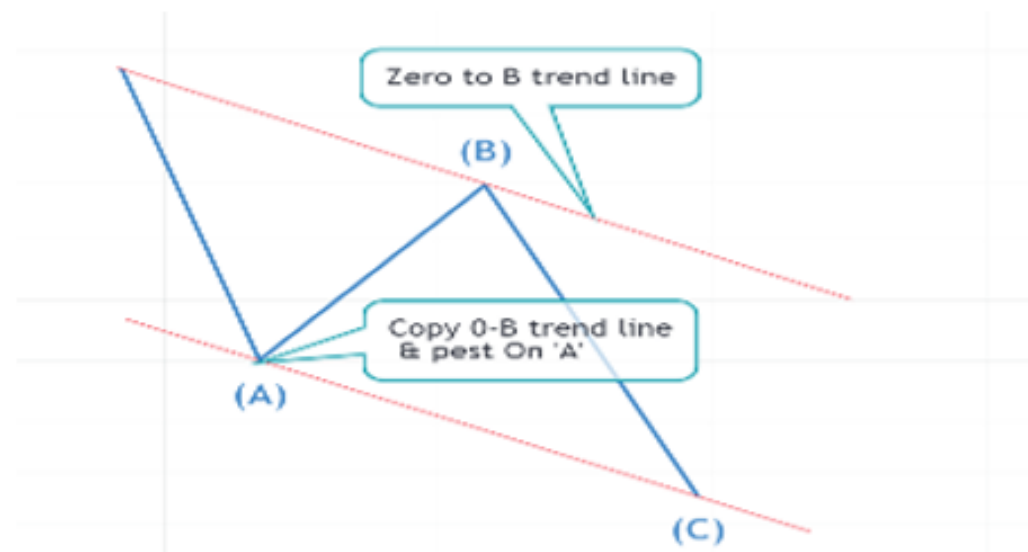
**Step -1** Draw Zero to B (0-B) Trend line

**Figure-1**



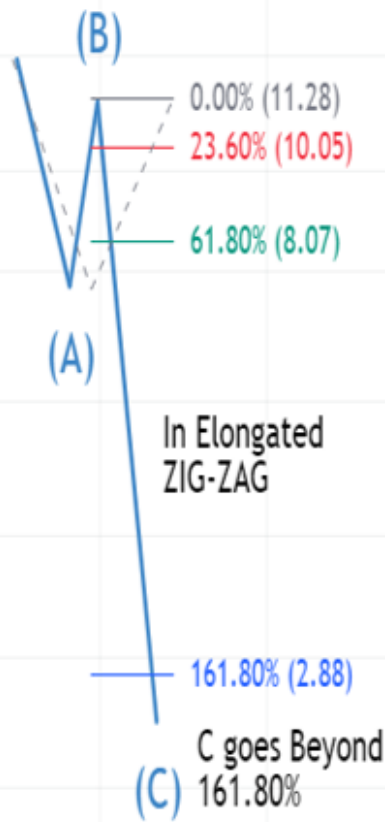
**Step -2** Copy the Zero to B (0-B) Trend line and put on wave A

**Figure-2**



### **Important Point**

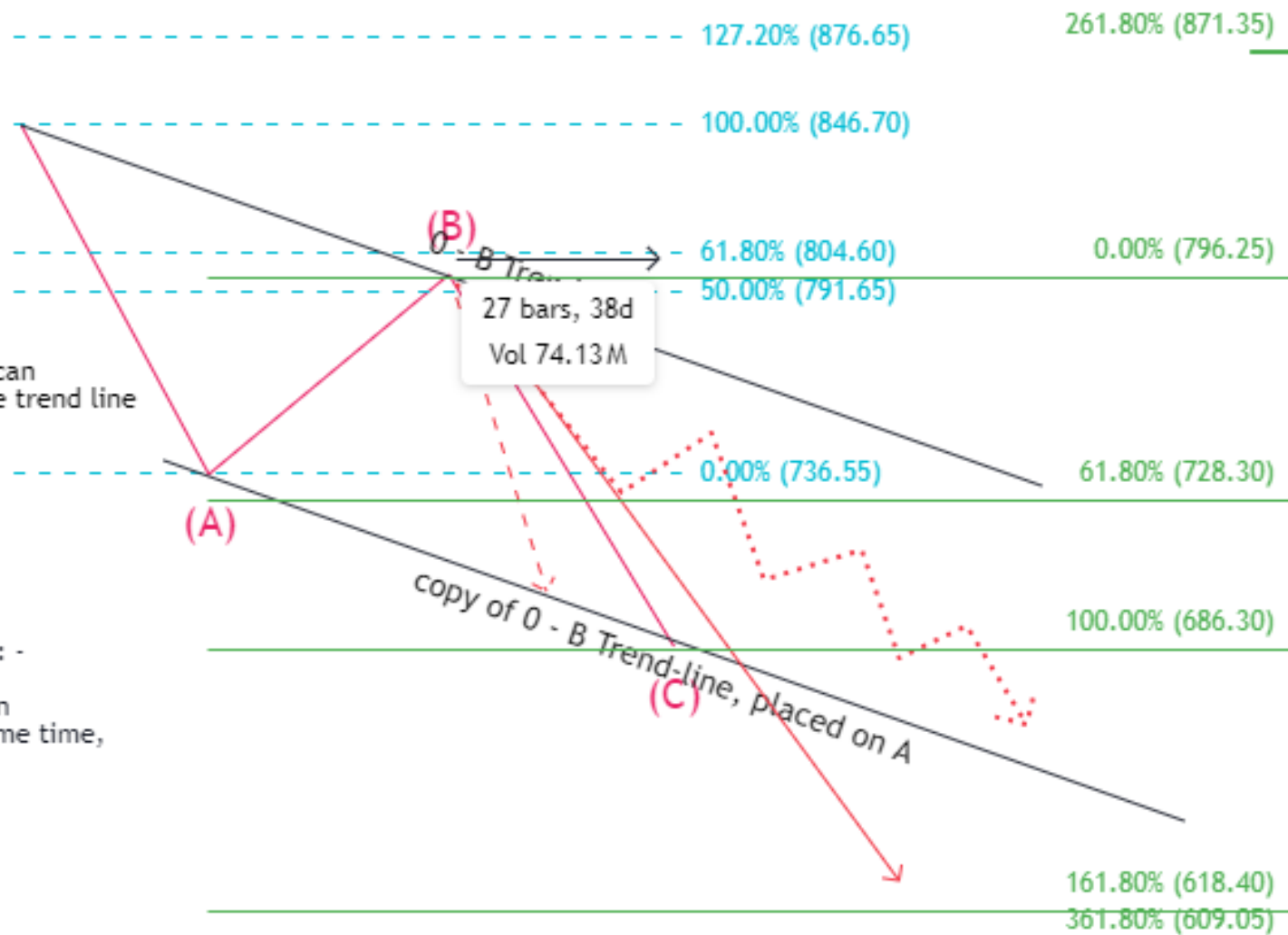
Previous move must have Top = 127% than we can start ABC Zig-Zag counting.

| Target of wave C By figure                                                                                                                                                                                                                                                                              |                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Normal Zig Zag                                                                                                                                                                                                                                                                                          | Elongated Zig Zag                                                                                                                                                                                                                                                                                                         | Truncated Zig Zag                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|  <p>             (B) 0.00% (11.28)<br/>             23.60% (10.05)<br/>             61.80% (8.07)<br/>             (C) C= Min 61.80%<br/>             In normal ZIG-ZAG<br/>             161.80% (2.88)           </p> |  <p>             (B) 0.00% (11.28)<br/>             23.60% (10.05)<br/>             61.80% (8.07)<br/>             (A) In Elongated ZIG-ZAG<br/>             161.80% (2.88)<br/>             (C) C goes Beyond 161.80%           </p> |  <p>             127.20% (18.32)<br/>             100.00% (15.94)<br/>             81.20% (14.29)<br/>             (B) 0.00% (11.32)<br/>             23.60% (9.22)<br/>             38.20% (7.93)<br/>             0.00% (7.18)<br/>             (A) 61.80% (5.83)<br/>             In Truncated ZIG-ZAG<br/>             C= reverse 38.20%-before 61.80% of Extension (0-A-B) &amp; Target 81.20%           </p> |

## The Maturity of the Correction

To find the Maturity of the Correction: -  
Draw a "0 to B" trend line,  
then copy and keep it on "A", the price can  
1) touch, 2) Break or 3) travel with in the trend line

Timing to identify maturity of correction: -  
if time take from B to C = 27 bars,  
the price reverts to break 0-B trend line in  
half (ie .14) bars, or touch top of B in same time,  
it can consider has trend has matured.



# Flat Correction (A-B-C)

|                           |                                                              |
|---------------------------|--------------------------------------------------------------|
| Correction Type           | • Single correction                                          |
| Occurrence                | • Mostly found in Wave-2                                     |
| Category                  | • Price-wise correction                                      |
| No. of moves              | • 3 (A-B-C)                                                  |
| Internal count            | • 3-3-5                                                      |
| Speed                     | • A Slow, B Fast, C Fast                                     |
| Rule for Wave-A           | • Min 38.2% retracement of previous degree Wave-5            |
| Rule for Wave-B           | • $B \geq A$ (up to 2 times of A)                            |
| Wave-B retracement        | • Min 61.8% , Max 111%, (SL 127%)                            |
| Time taken for Wave-C : 1 | • If time (A) = time (B), time (C) = time (A) + time (B)     |
| Time taken for Wave-C : 2 | • If time (A) < time (B), time (C) = [time (A) + time (B)]/2 |

|                      |                                                                           |
|----------------------|---------------------------------------------------------------------------|
| Point of Entry       | • Start of Wave-X or Wave-1                                               |
| Confirmation:1       | • Bullish Candle formation at Fib levels 61.8%, 100%, 161.8%, 261.8%      |
| Confirmation:2       | • On crossing 3 <sup>rd</sup> Fib Ratio                                   |
| SL                   | • 61.8%, 100%, 161.8%, 261.8%                                             |
| Exit (time period)   | • Half the time of Wave-C                                                 |
| Reversal criteria    | • When price crosses 0-B trendline in half the time (Wave-C)              |
| Pattern confirmation | • When price crosses point B at the same time (Wave-C)                    |
| Pattern End          | • Complete correction should retrace Min 38.2% of the entire Impulse move |

|                                                                 |                                           |                  |
|-----------------------------------------------------------------|-------------------------------------------|------------------|
| <b>Types of C :</b><br>Trend based<br>Fib extension<br>on 0-A-B | Normal C (B : Min 61.8%, Max 81.2%)       | 61.8% to 161.8%  |
|                                                                 | Elongated C (B: Min 61.8%, Max 81.2%)     | 161.8% to 261.8% |
|                                                                 | Strong Irregular (B: Min 61.8%, Max 111%) | 61.8% to 161.8%  |
|                                                                 | Running (B: Min 61.8%, Max 111%)          | 161.8% to 261.8% |

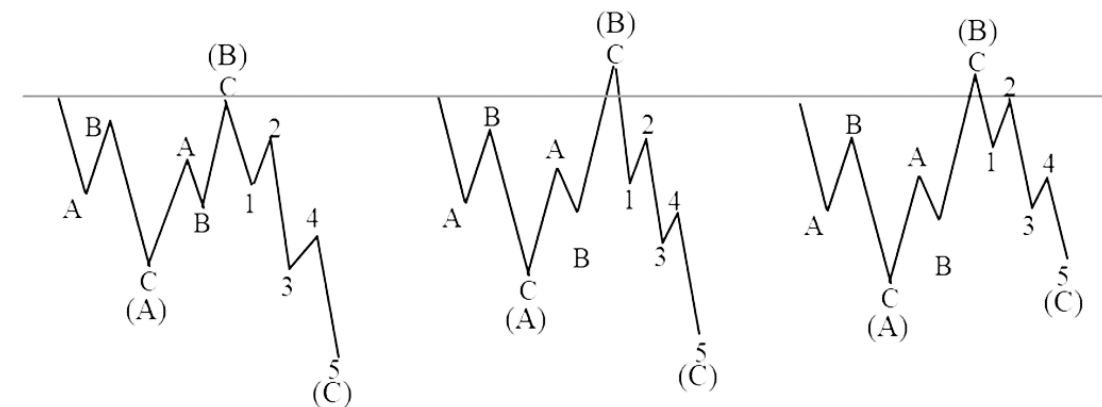
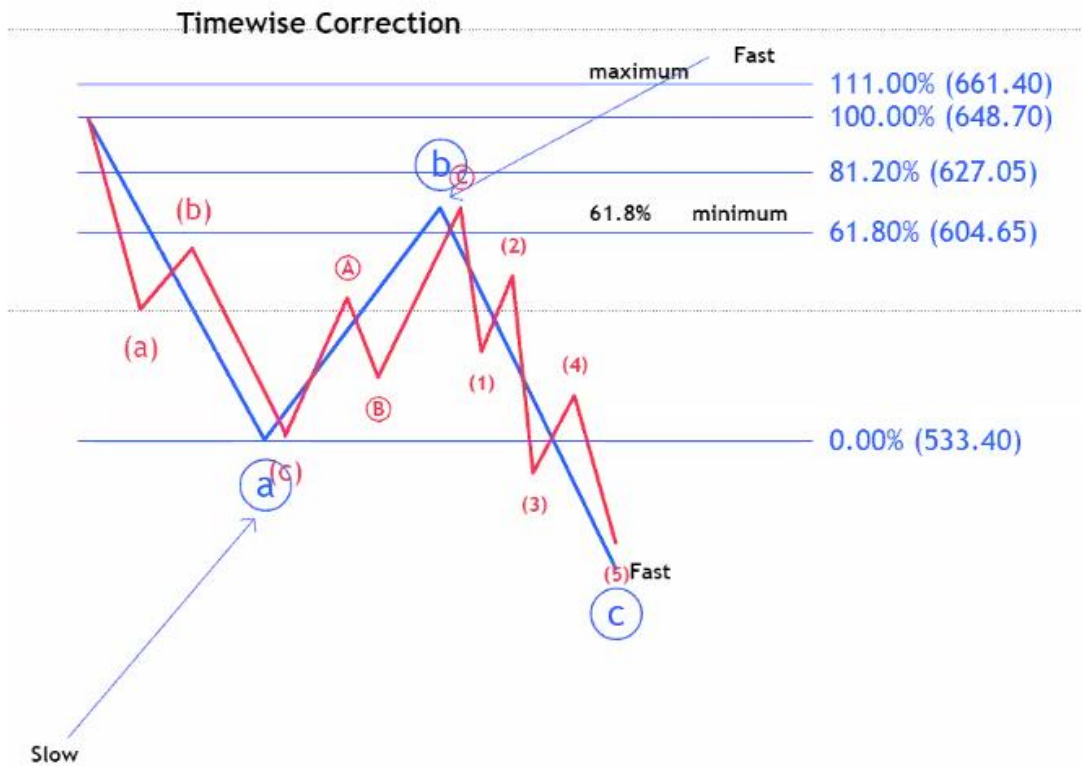


Image 19

## Flat Correction

infouff3 published on TradingView.com, Aug 26, 2024 08:37 UTC+5:30

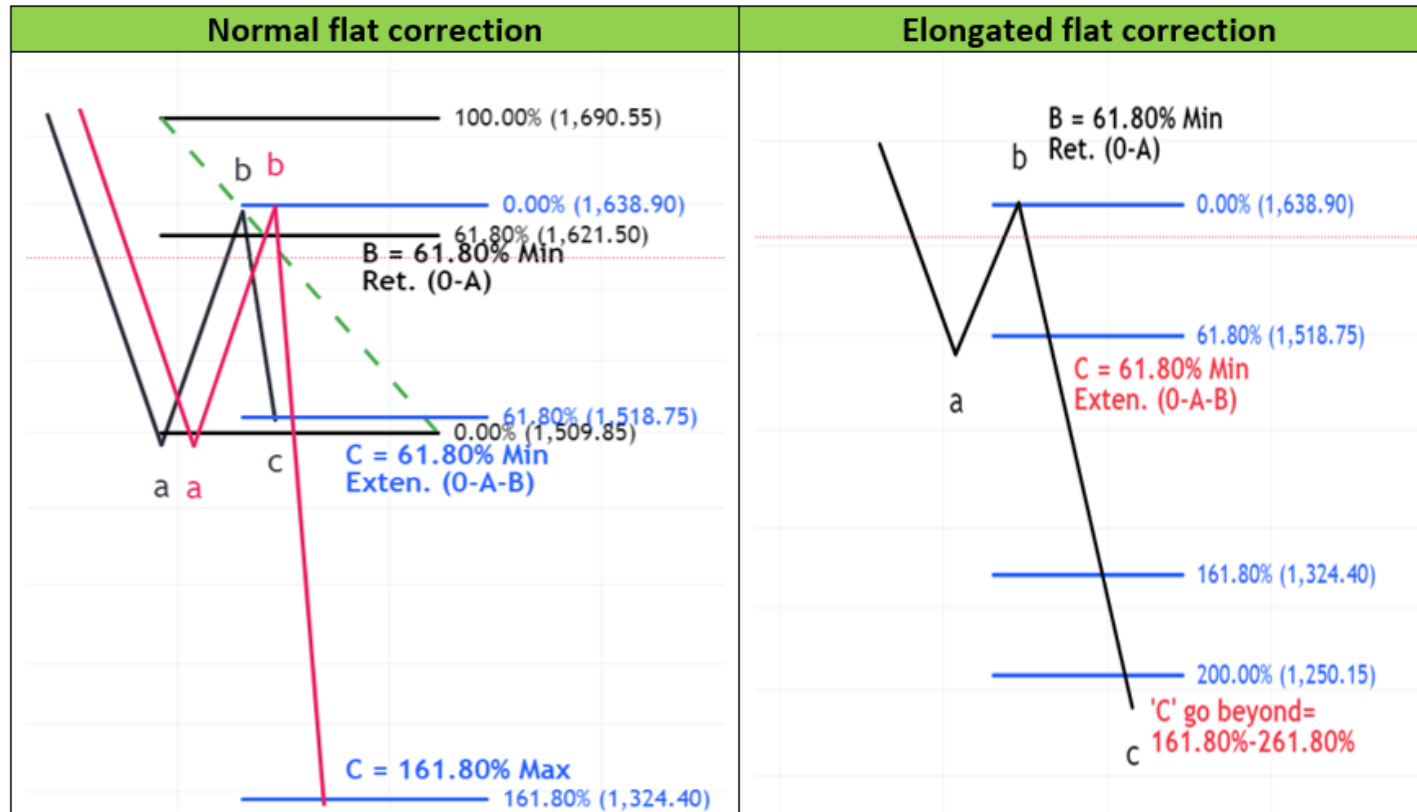


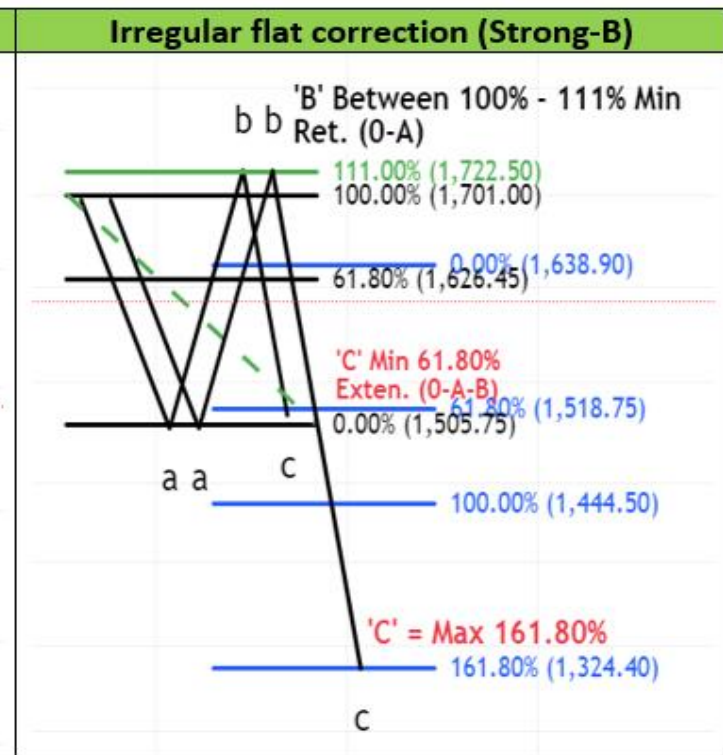
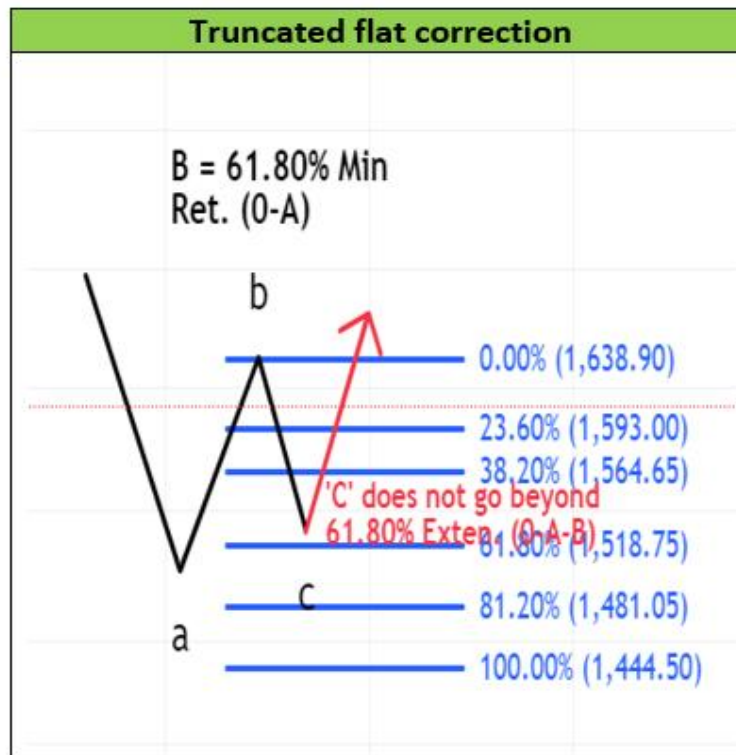
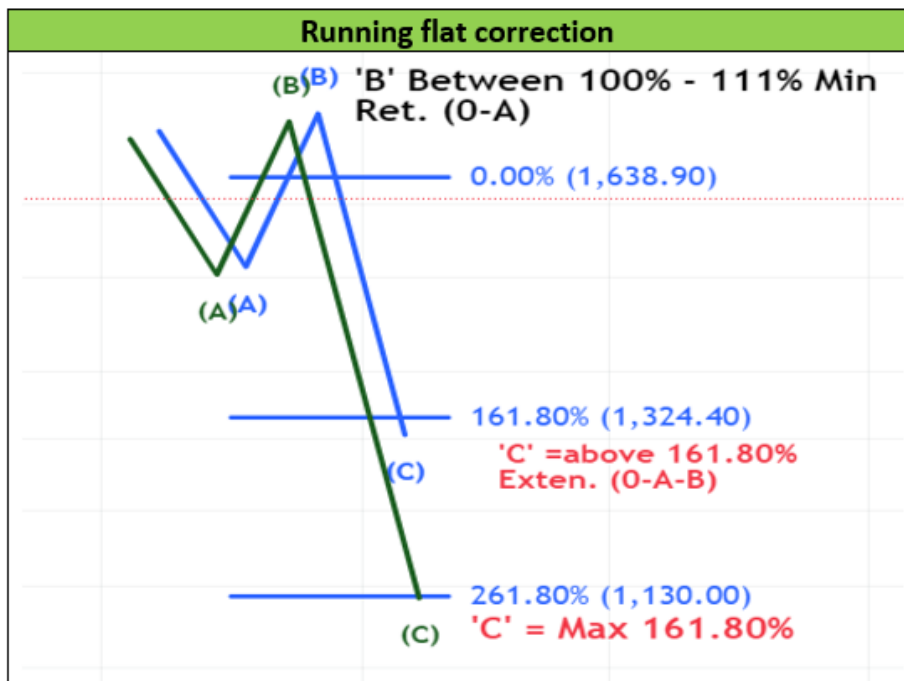
HINDUSTAN OIL EXPLORATION, 1D, NSE O269.50 H274.00 L267.00 C271.60 +1.90 (+0.70%)

INR



| Normal flat correction       | Elongated flat correction      | Truncated flat correction      | Irregular flat correction (Strong-B) | Running flat correction     |
|------------------------------|--------------------------------|--------------------------------|--------------------------------------|-----------------------------|
| A= max61.80%                 | A= max61.80%                   | A= max61.80%                   | A= max61.80%                         | A= max61.80%                |
| B=61.80% min<br>= 81.20% max | B=61.80% min<br>= 81.20% max   | B=61.80% min<br>= 111% max     | B=Between 100% to<br>111%            | B=Between 100%<br>to 111%   |
| C=61.20% min<br>161.80% max  | C=Go beyond<br>161.80%-261.80% | C=does not go<br>beyond 61.80% | C=61.20% min<br>161.80% max          | C=above 161.80%<br>-261.80% |





# Wave-A

## Nature

- Impulsive

## Sub-moves

- 3 (A-B-C) in Flat Correction OR 5 (1-2-3-4-5) in Zig-Zag

## Internal count

- Max 13 moves (in extension)

## MACD

- MACD bottom in a Zig-Zag correction might be formed

## Retracement

- Min 38.2% (Flat) and 61.8% (ZigZag) Fib retracement of the previous sub-Wave-5

## Confirmation

- The 2-4 TL is broken in half the time of Wave-5

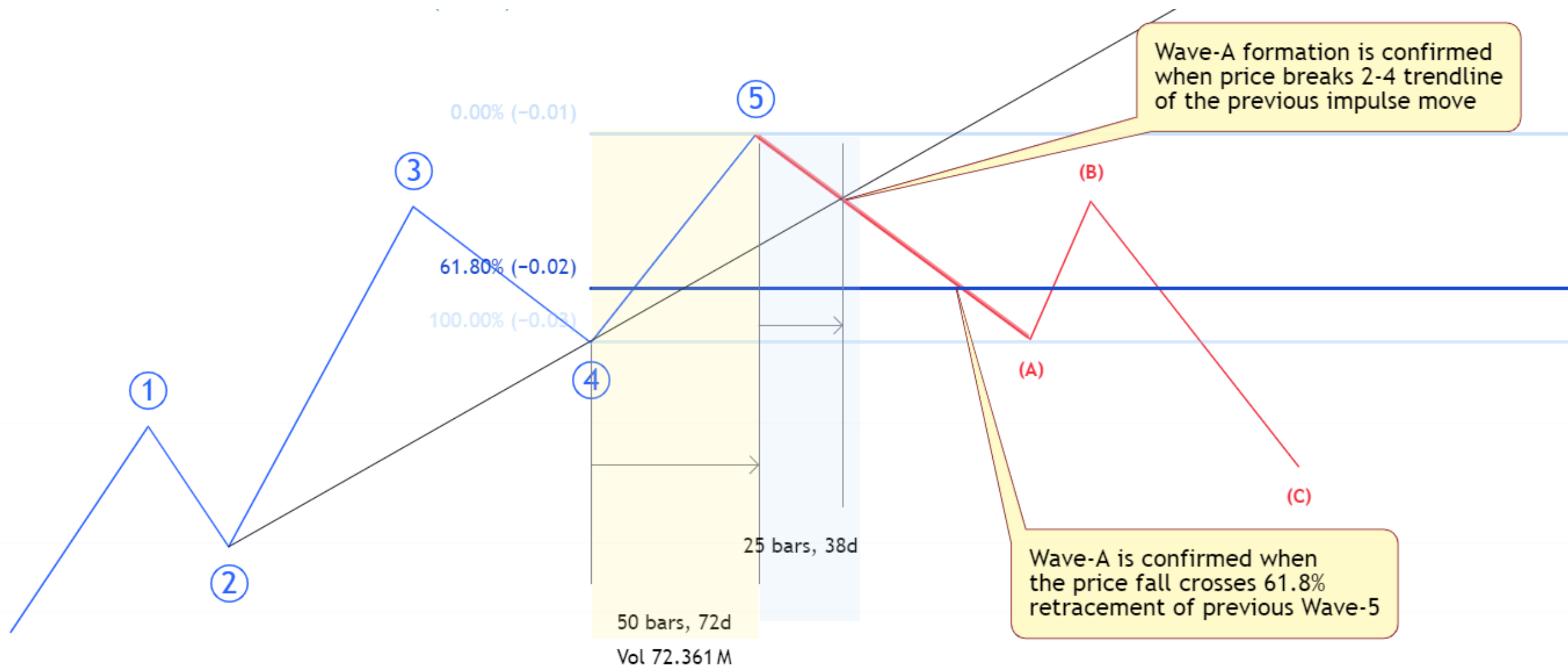
## Speed

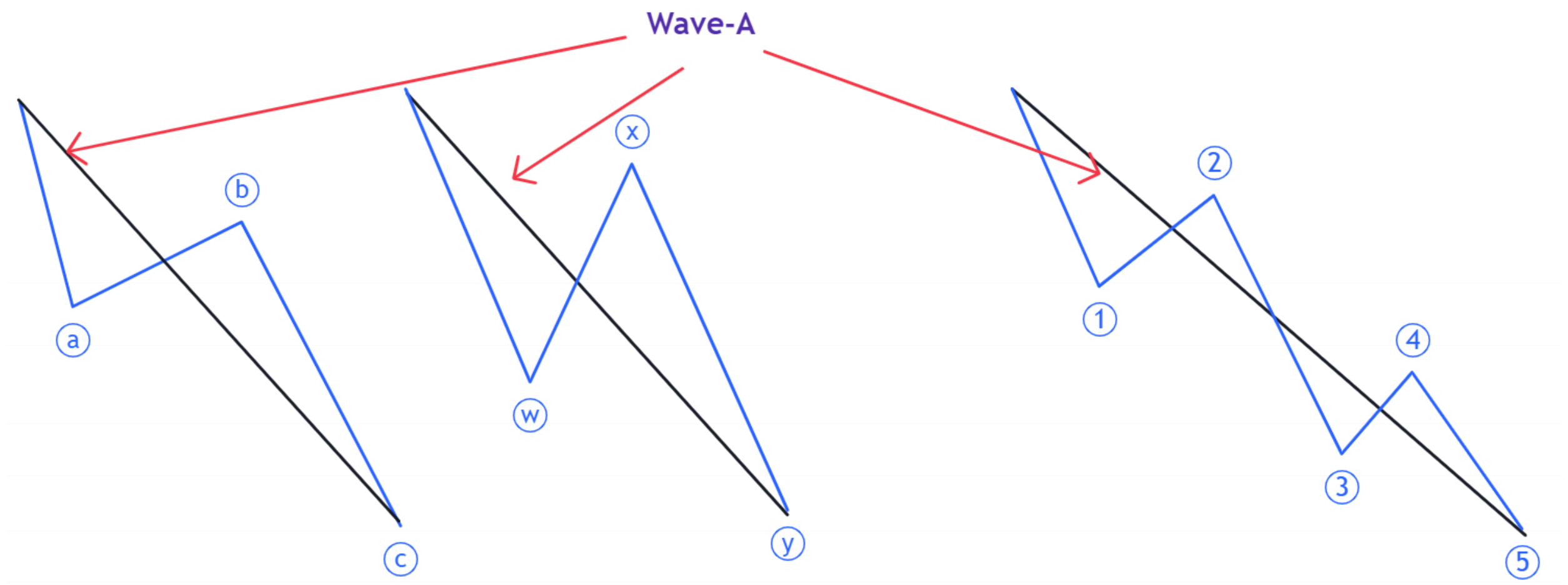
- Fast in a Zig-Zag, slow in a Flat correction

## Feature

- Can be a **Leading Diagonal**

## Trade





**To be depicted via Live charts**

# Wave-B

## Nature

- Corrective - Flat, Double, Triple and Triangle Correction

## Sub-moves

- 3 (A-B-C)

## Internal count

- 5-3-5 or 3-3-5

## MACD

- MACD top with price not confirming 127% Fib retracement

## Retracement

- 1% to 50% Fib retracement (Zig-Zag); 61.8% to 111% (Flat)

## Time

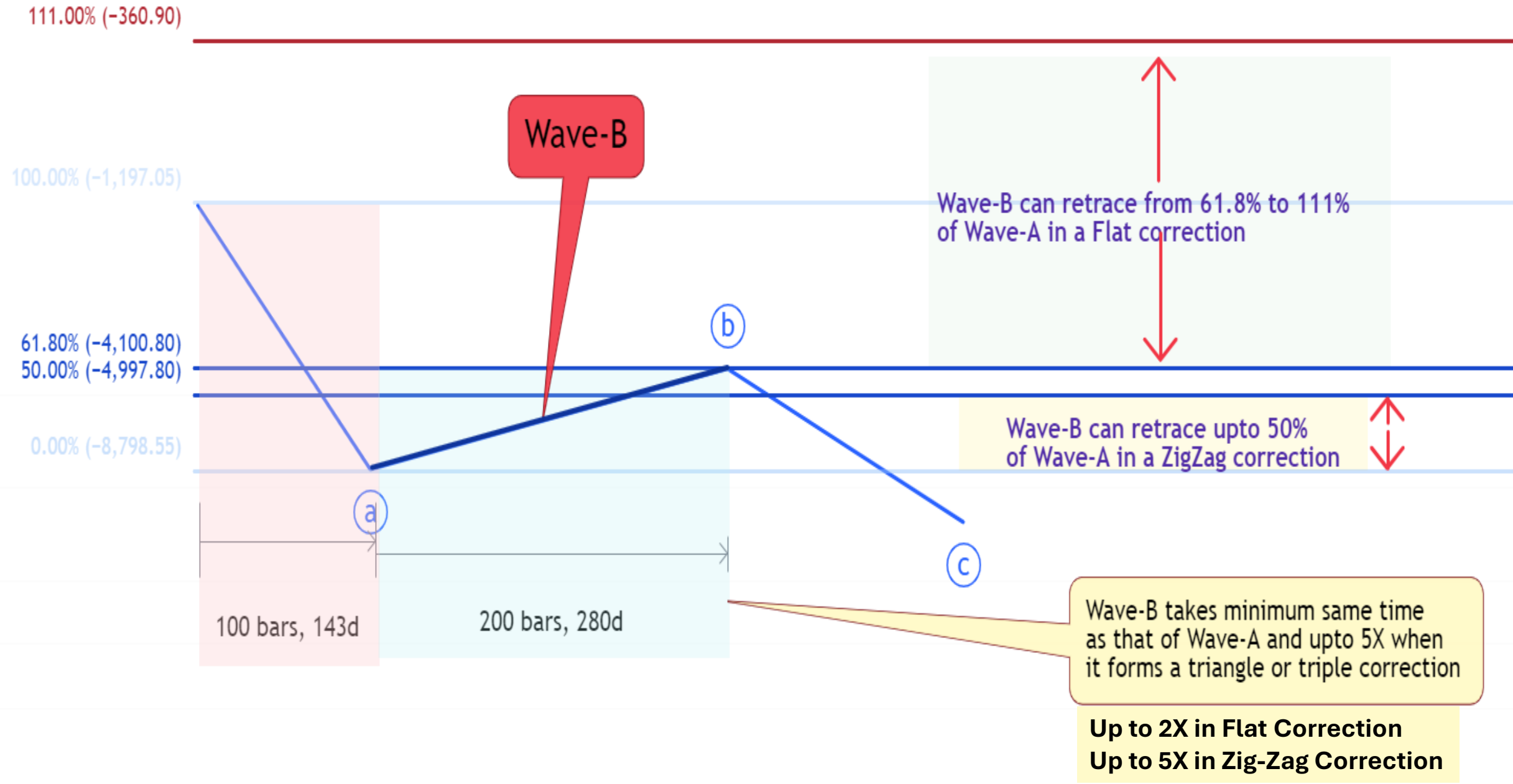
- $\text{Time}(\text{Wave-B}) > \text{Time}(\text{Wave-A})$

## Special feature

- During triple and triangle correction, time (B) = 5A

## Trade

# Wave-B: Flat or ZigZag Correction



# Wave-C

## Nature

- Impulsive

## Sub-moves

- 5 (1-2-3-4-5)

## Internal count

- 5-3-5-3-5, Max 13 moves

## MACD

- MACD forms a positive divergence

## Fib Extension

- Min 61.8% and Max 461.8% Fib extension of 0-A-B

## Retracement

- Wave-C is Min 127% Fib Retracement of Wave-B

## Types

- Normal (61.8%-161.8%), Truncated (<61.8%), Elongated (161.8%-261.8%)

## Time-1

- If  $A = B$ ;  $C = A+B$

## Time-2

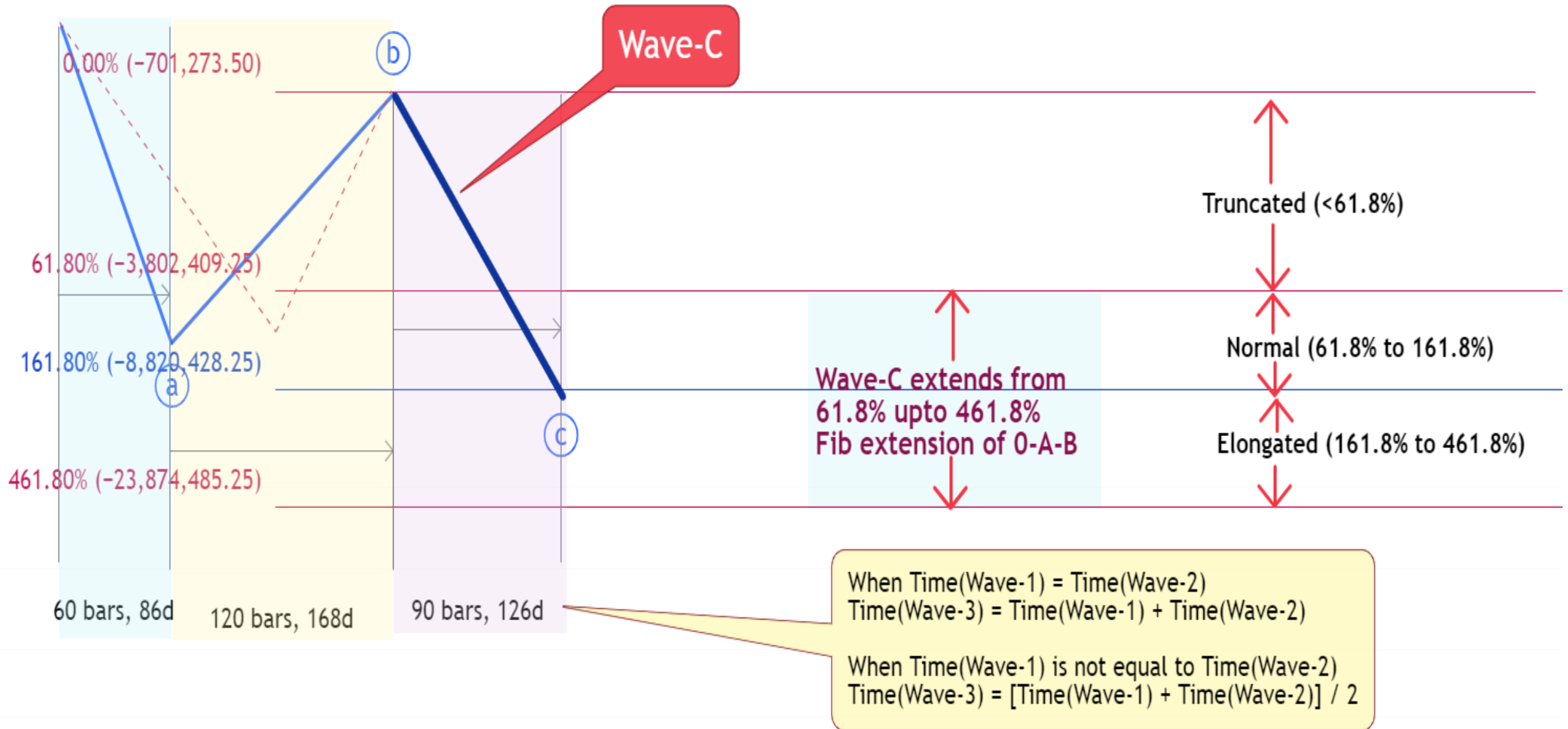
- If  $A < B$ ;  $C = [A + B] / 2$

## Exit

- It is best to book profits in Wave-C @ 100% Fib extension of 0-A-B, ( $A=C$ )

## Features

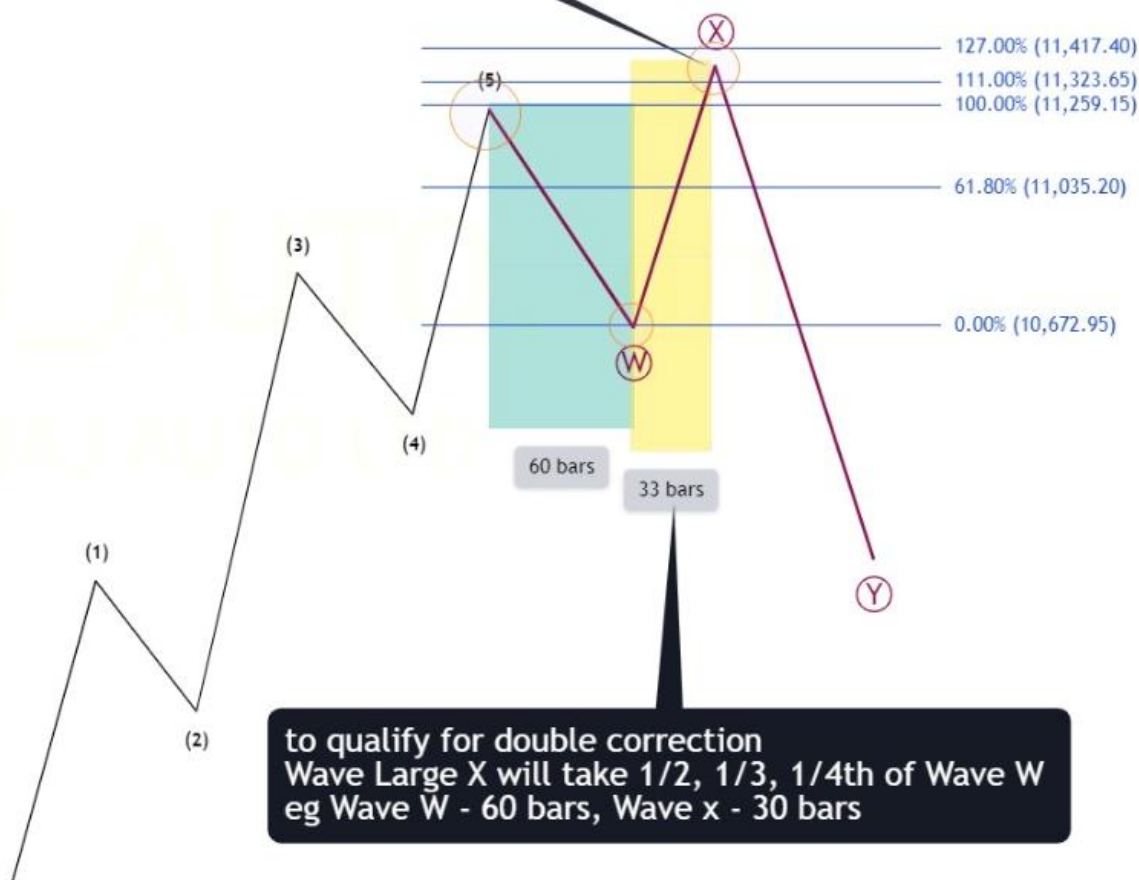
- Can be in extension or can form an ending diagonal



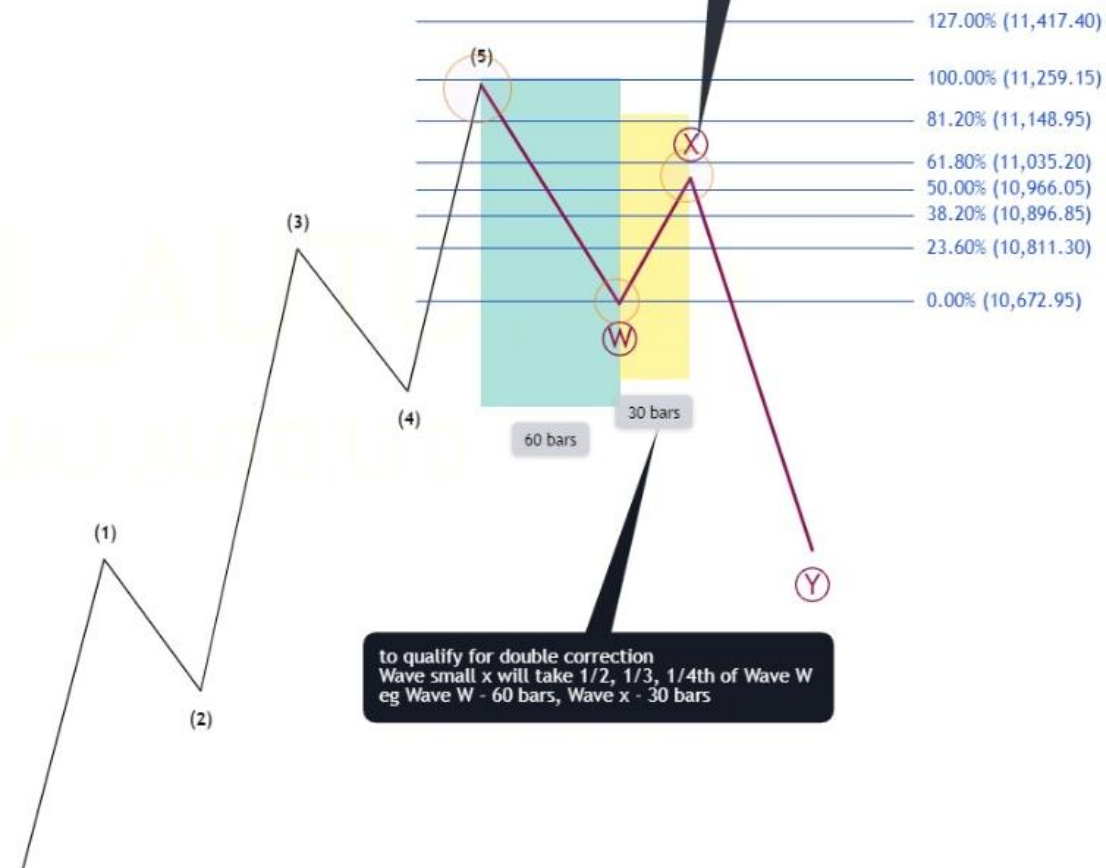
# Double Correction (W-X-Y)

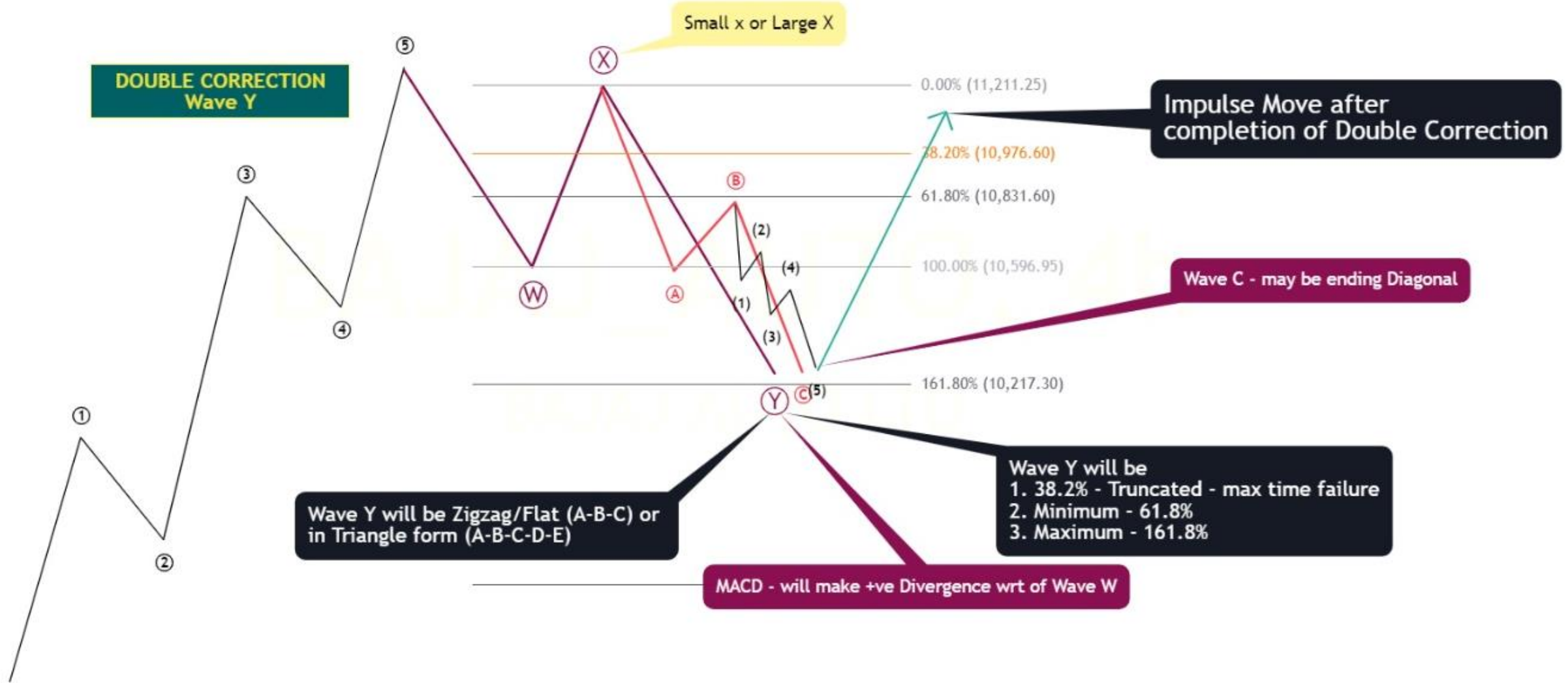
|                         |                                                                                                                                                                                          |                       |                                                                                                                                      |
|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| Correction Type         | <ul style="list-style-type: none"> <li>• Complex correction</li> </ul>                                                                                                                   | Time taken for Wave-Y | <ul style="list-style-type: none"> <li>• Time (Y) = Time (W) OR Time (W+X) OR Time (W+X)/2</li> </ul>                                |
| Occurrence              | <ul style="list-style-type: none"> <li>• Mostly found in Wave-4</li> </ul>                                                                                                               | Time taken for Wave-X | <ul style="list-style-type: none"> <li>• Time (X) &lt; Time (W)</li> </ul>                                                           |
| Category                | <ul style="list-style-type: none"> <li>• Time-wise correction</li> </ul>                                                                                                                 | Point of Entry        | <ul style="list-style-type: none"> <li>• Positive divergence in MACD at Y</li> </ul>                                                 |
| No. of moves            | <ul style="list-style-type: none"> <li>• Total Max 39 -&gt; W(5-3-5), X(11), Y(3-3-3-3-3)</li> </ul>                                                                                     | Confirmation          | <ul style="list-style-type: none"> <li>• ???</li> </ul>                                                                              |
| Internal structure      | <ul style="list-style-type: none"> <li>• W &amp; X: Zig-Zag or Flat ; Y: Zig-Zag, Flat or Triangle</li> </ul>                                                                            | Entry                 | <ul style="list-style-type: none"> <li>• Close above 38.2% retracement of 0-Y</li> </ul>                                             |
| Rule for Wave-W         | <ul style="list-style-type: none"> <li>• If 1<sup>st</sup> Wave takes ½, 1/3 or ¼ Time of 2<sup>nd</sup> Wave, then 1<sup>st</sup> Wave is “W” and 2<sup>nd</sup> Wave is “X”</li> </ul> | SL                    | <ul style="list-style-type: none"> <li>• Trailing SL of 2 Fib levels (SL will be at 50% if price crosses 81.2% Fib level)</li> </ul> |
| Rule for Wave-X (small) | <ul style="list-style-type: none"> <li>• Max 50% retracement of Wave-W</li> </ul>                                                                                                        | Exit (time period)    |                                                                                                                                      |
| Rule for Wave-X (Large) | <ul style="list-style-type: none"> <li>• Min 61.8% and Max 111% retracement of Wave-W</li> </ul>                                                                                         | Reversal criteria:1   | <ul style="list-style-type: none"> <li>• When price crosses 0-X TL in ½ Time (Wave-Y)</li> </ul>                                     |
| Rule for Wave-Y         | <ul style="list-style-type: none"> <li>• 0-W-X Extension: Min 61.8%, Max 161.8%</li> </ul>                                                                                               | Reversal criteria:2   | <ul style="list-style-type: none"> <li>• When price crosses Pt. B in &lt; Time (Wave-Y)</li> </ul>                                   |

Large X - Max Retracement - 111% of Wave W



Small x - Max Retracement - 50% of Wave W



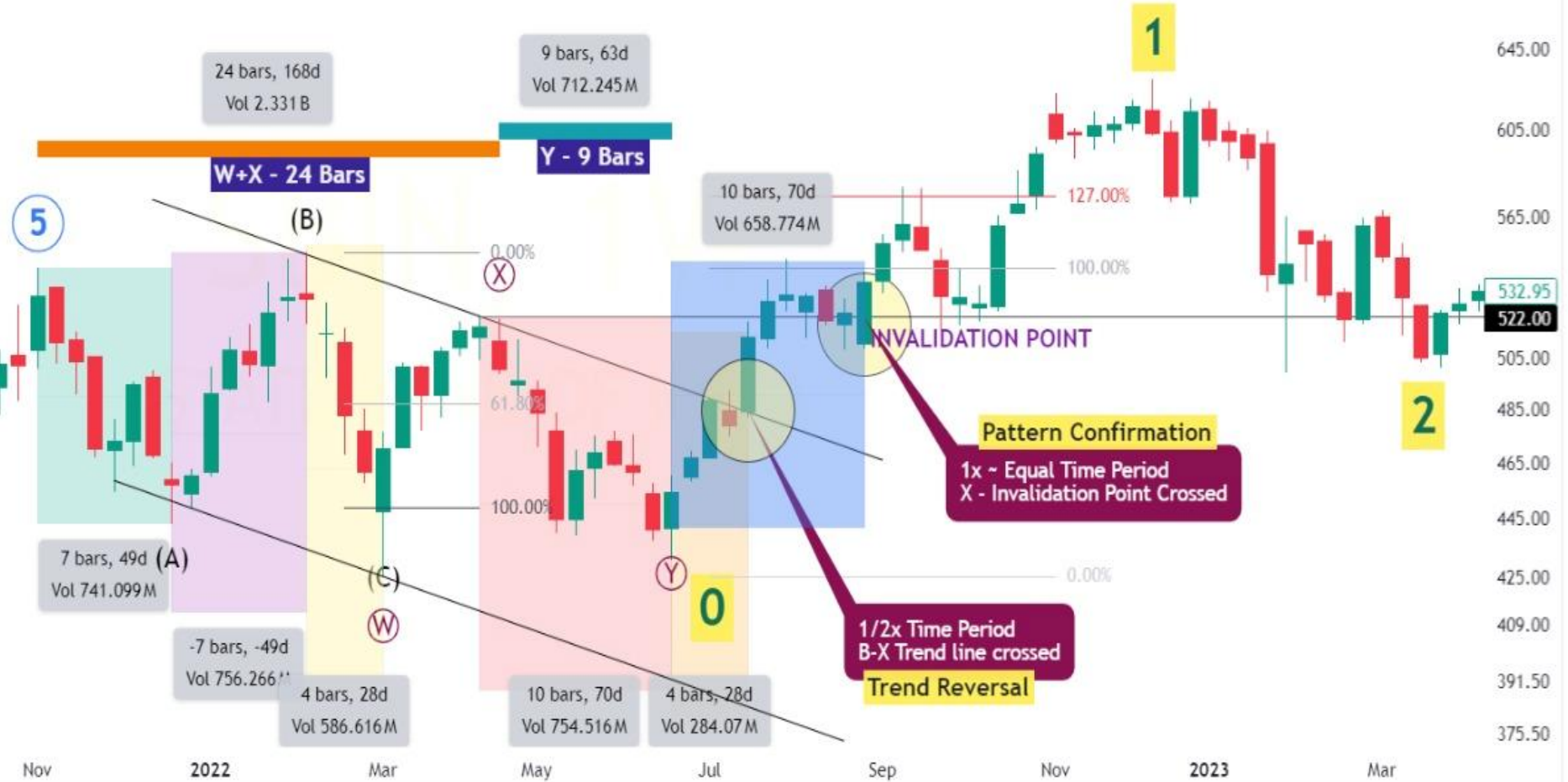


STATE BANK OF INDIA, 1W, NSE O815.00 H825.40 L811.20 C815.35 +3.25 (+0.40%)

## DOUBLE CORRECTION - Time Period & Trend Line

**Y Time Period**

- 1. W Time Period**
- 2. W+X Time Period**
- 3.  $[(W+X)/2]$  Time Period**

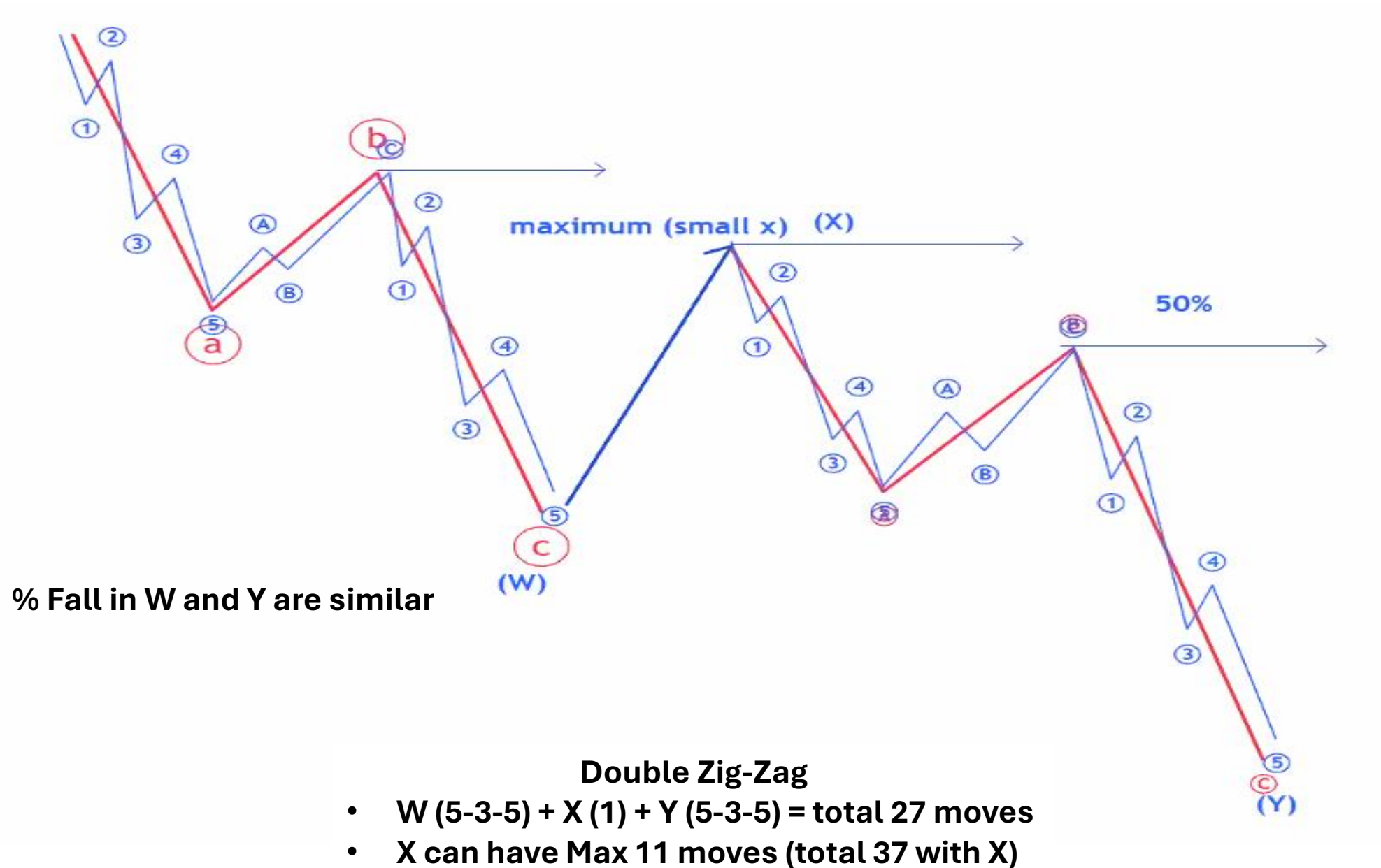


combat\_trader published on TradingView.com, Aug 25, 2024 07:33 UTC+5:30

SJS ENTERPRISES LTD, 1D, NSE O1,010.10 H1,011.45 L987.25 C991.50 -18.90 (-1.87%)



# Double Zig-Zag Correction

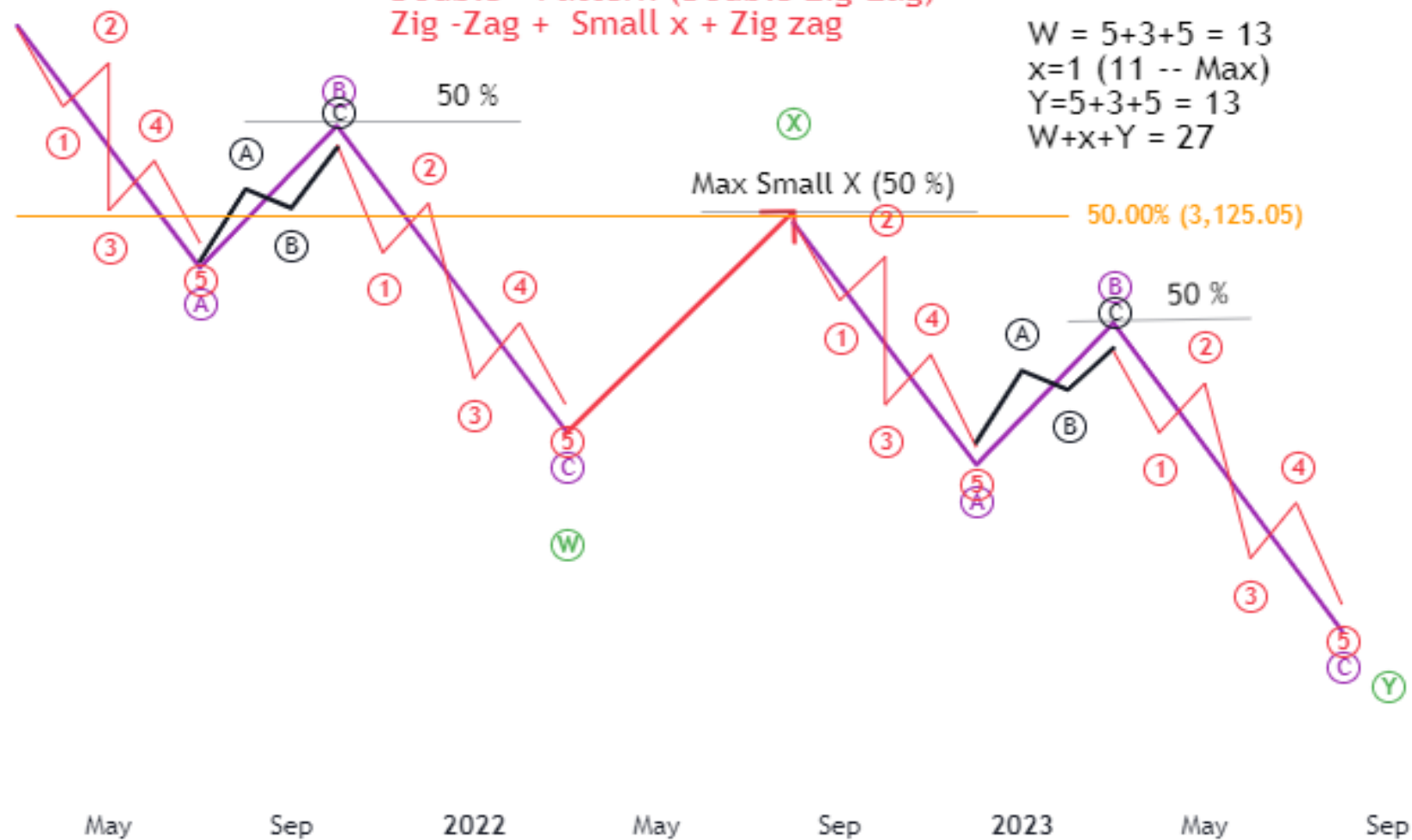


MARUTI SUZUKI IND, 1M, NSE O12,045.00 H13,300.00 L11,960.00 C12,524.30 +490.45 (+4.08%)

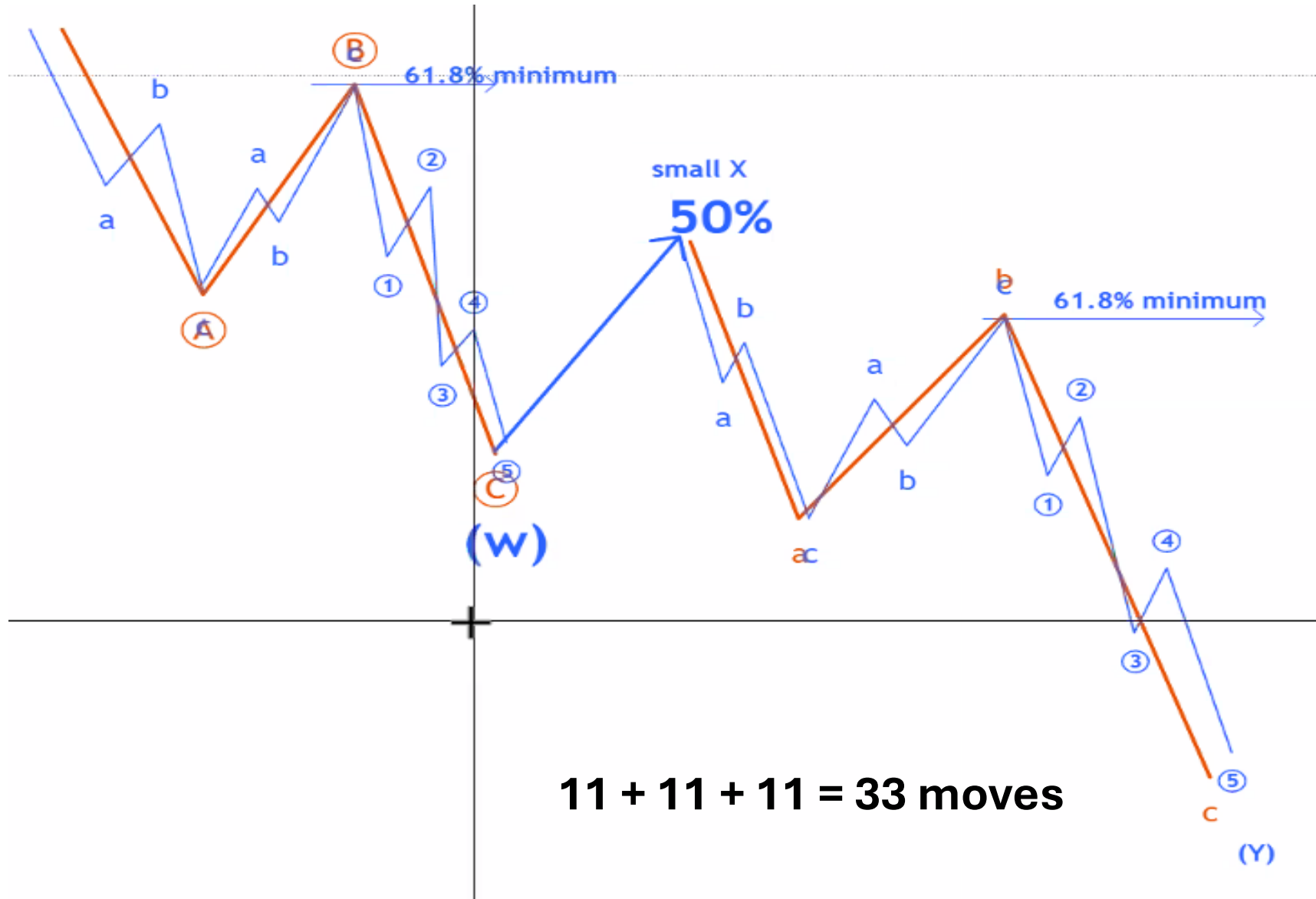
27 Moves or 37 Moves (if  $x=11$ ) -

Double - Pattern (Double Zig-Zag)  
Zig -Zag + Small  $x$  + Zig zag

$$\begin{aligned} W &= 5+3+5 = 13 \\ x &= 1 \text{ (11 -- Max)} \\ Y &= 5+3+5 = 13 \\ W+x+Y &= 27 \end{aligned}$$

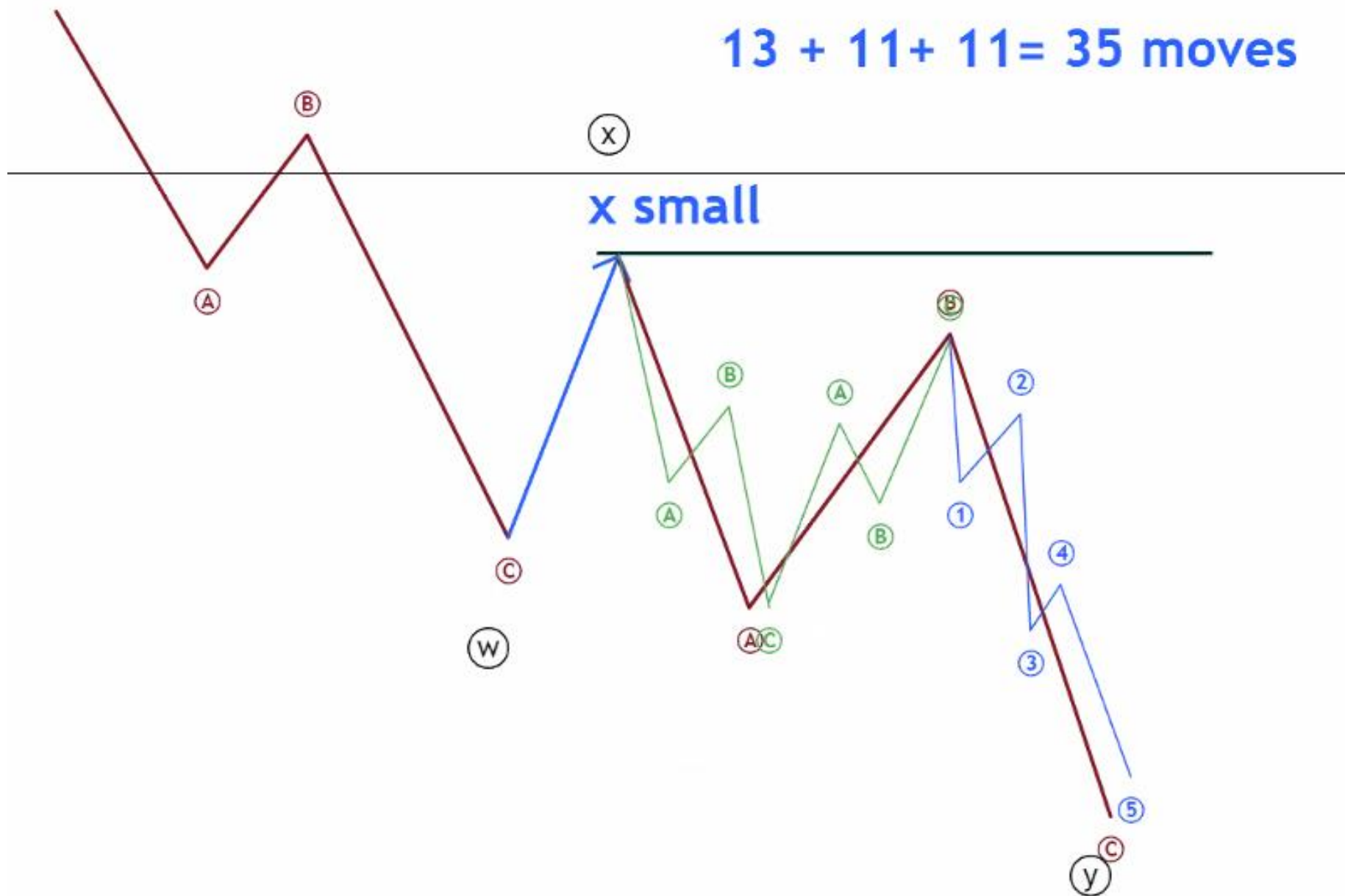


# Double Flat Correction



# Zig - Zag + x + Flat

$13 + 11 + 11 = 35$  moves

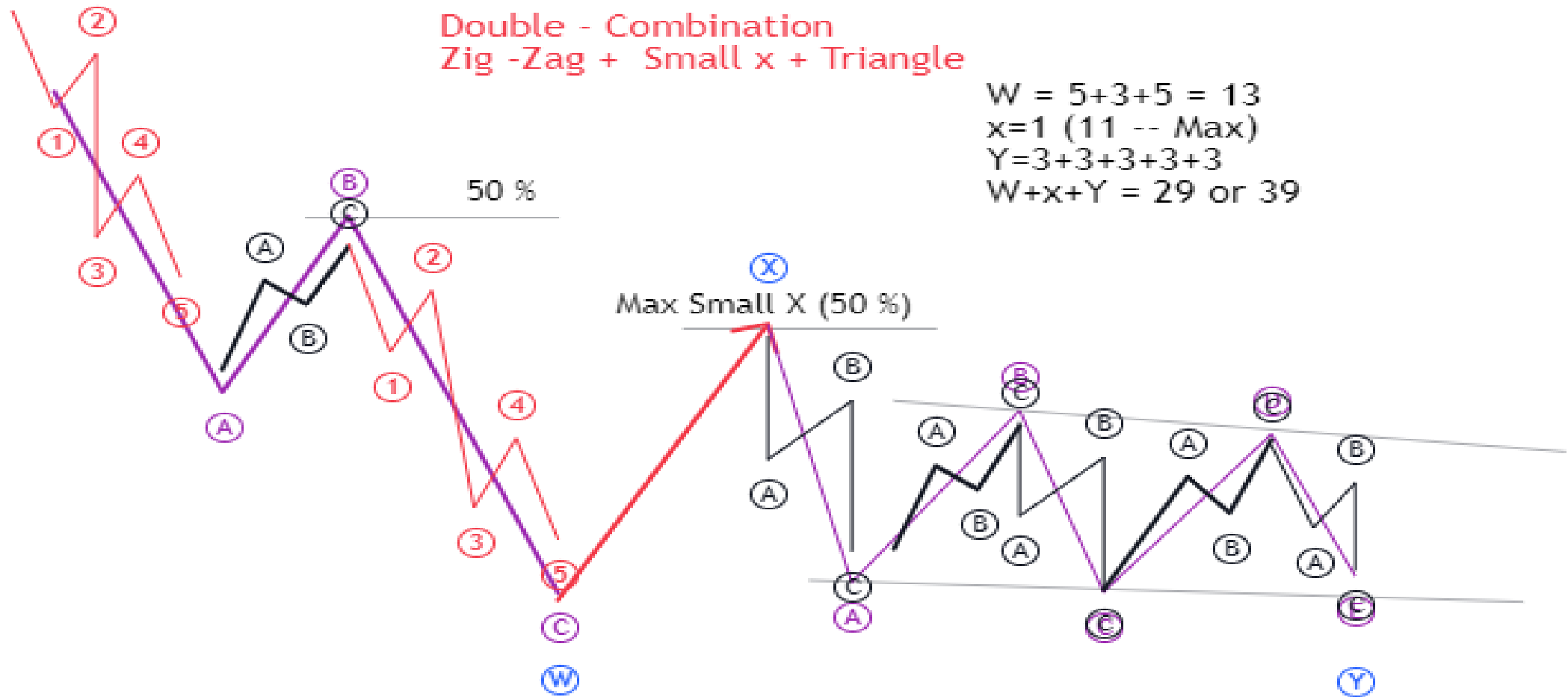


# Zig-Zag + small x + Triangle

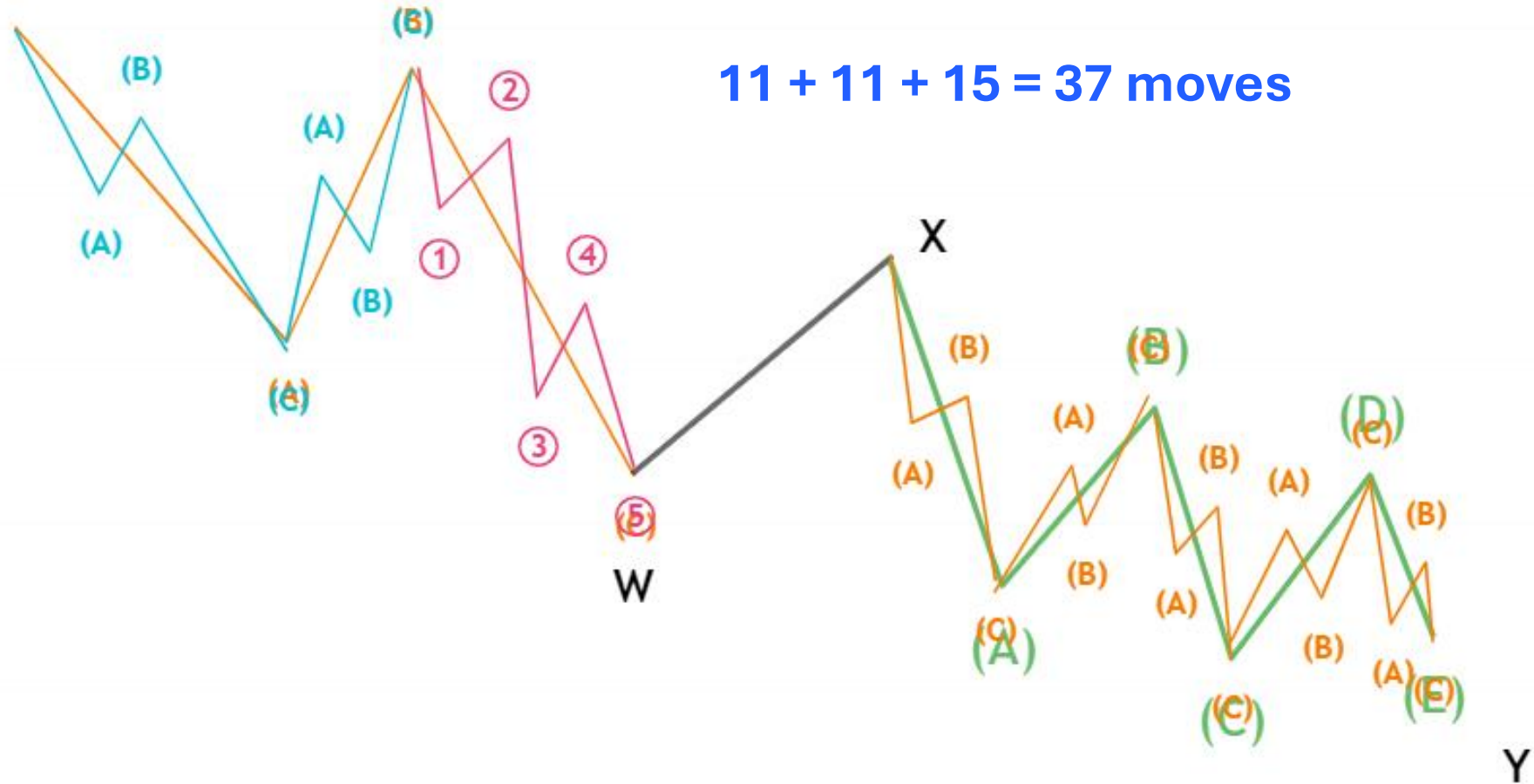
29 Moves or 39 Moves (if  $x=11$ ) -

Double - Combination  
Zig -Zag + Small x + Triangle

$$\begin{aligned} W &= 5+3+5 = 13 \\ x &= 1 \text{ (11 -- Max)} \\ Y &= 3+3+3+3+3 \\ W+x+Y &= 29 \text{ or } 39 \end{aligned}$$



# Flat + Triangle



# Wave-W

Nature

- Corrective (Zig-Zag or Flat correction)

Sub-moves

- 3 (A-B-C) OR (W-X-Y)

Internal count

- 3-3-3 OR 3-3-5 OR 5-3-5

MACD

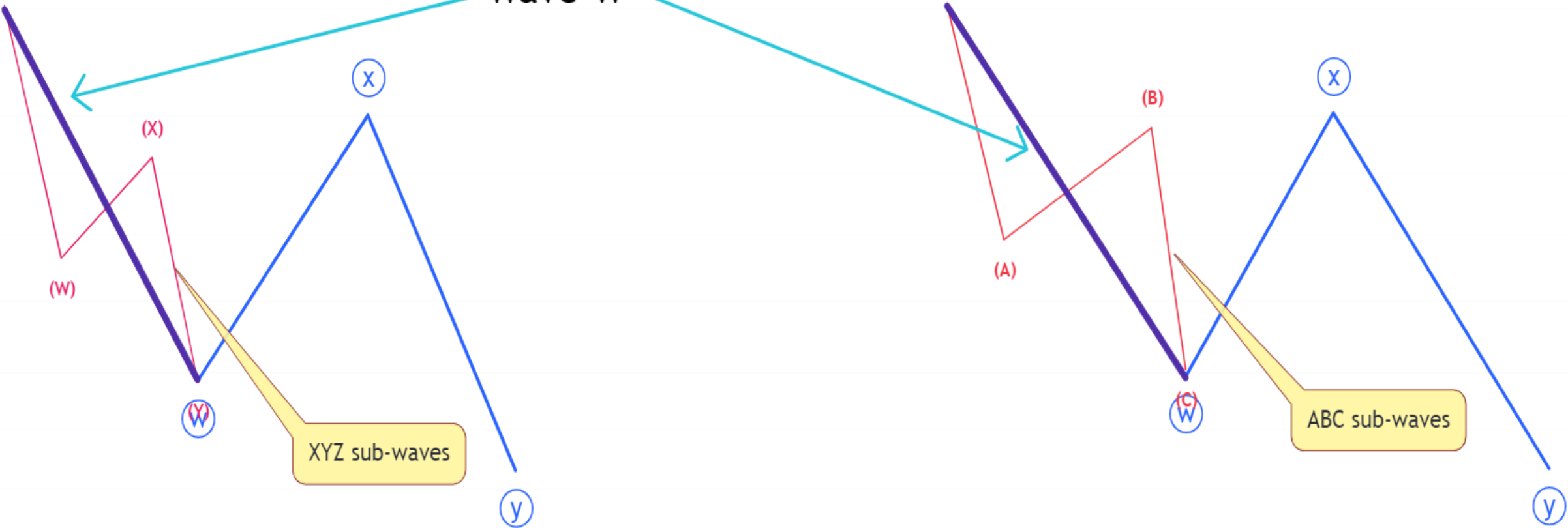
- Can form lowest MACD in a double correction

Retracement

Feature

Trade

Wave-W



# Wave-X

Nature

- Undefined

Sub-moves

- Up to 11 moves

2 Types

- Small 'x' [Min 14%, Max 50% (<61.8%)], and Large X (61.8% - 111%) retracement of W

MACD

- MACD lower than Wave-3 MACD or negative divergence

Retracement

- It can retrace Wave-W Min 61.8% and Max 111%

Feature

- Cannot be a triangle correction, can only be zigzag or flat correction

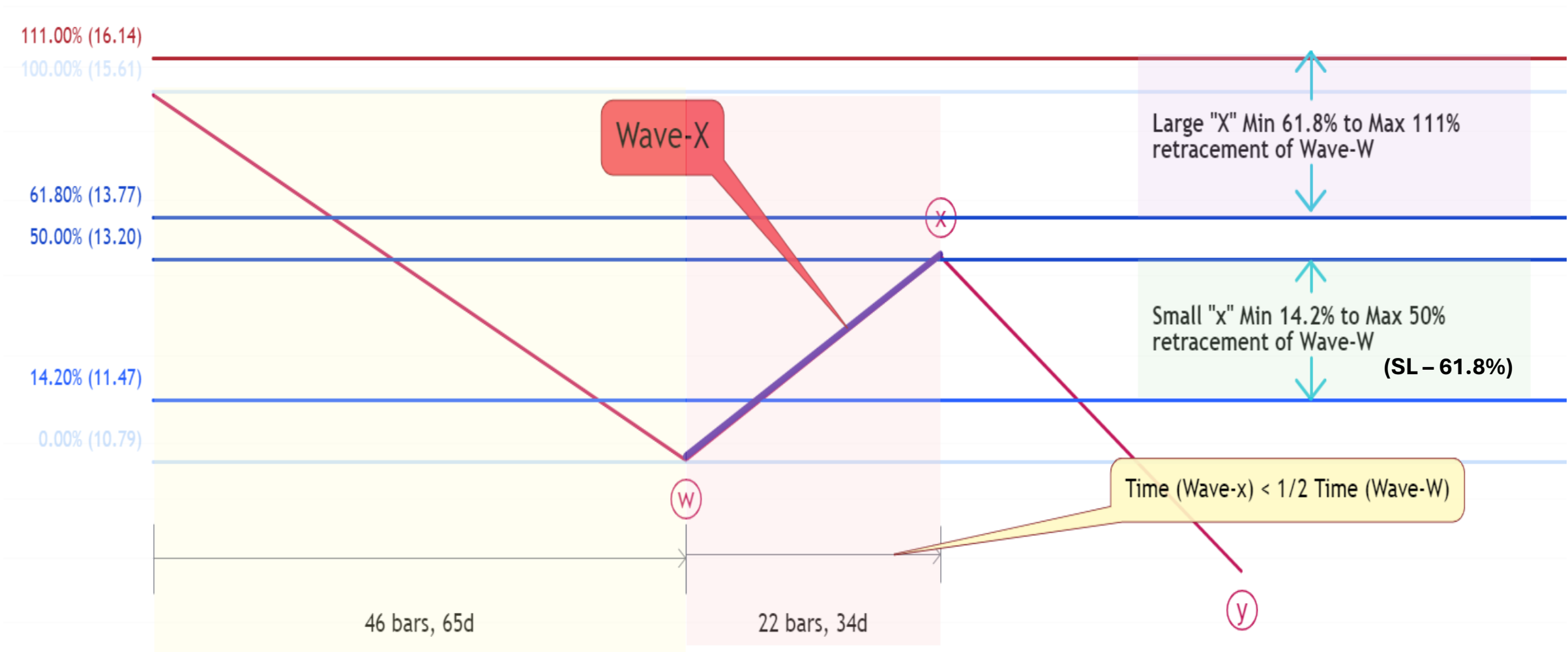
Feature-2

- Small 'x' mostly forms after Zig-Zag, Large 'X' mostly forms after Flat correction

Time period

- Time (X) < Time (W)

Trade



# Wave-Y

## Nature

- Corrective (Zig-Zag, Flat or Triangle correction)

## Sub-moves

- 3 (A-B-C) or 5 (A-B-C-D-E)

## MACD

- Forms a positive divergence in MACD

## Fib Extension

- Min 61.8% and Max 161.8% Fib extension on 0-W-X

## Feature-1

- Never breaks 161.8% Fib extension

## Feature-2

- After small 'x', Y will be fast and will take Min Time of W

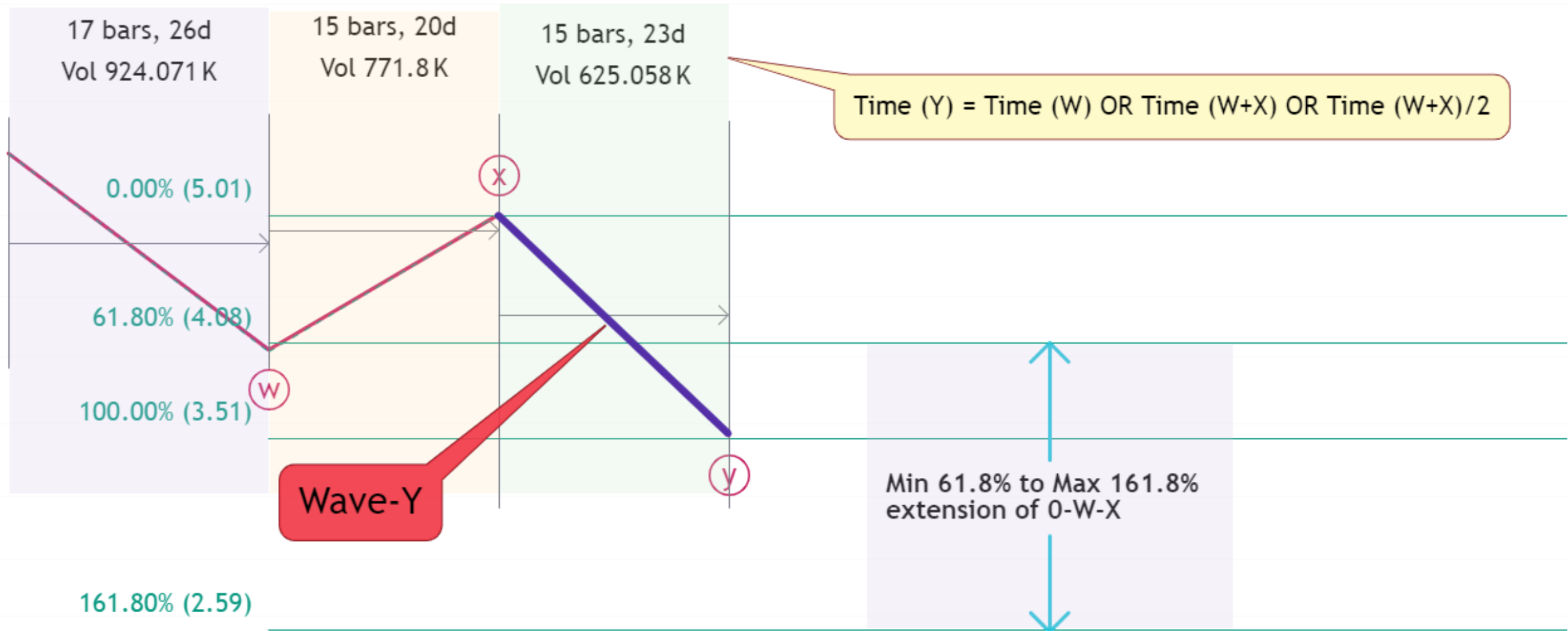
## Feature-3

- Y is usually a failure (38.2%) after Large 'X'

## Time

- $\text{Time (Y)} = \text{Time (W)} \text{ OR } \text{Time (W+X)} \text{ OR } \text{Time (W+X)/2}$

## Trade

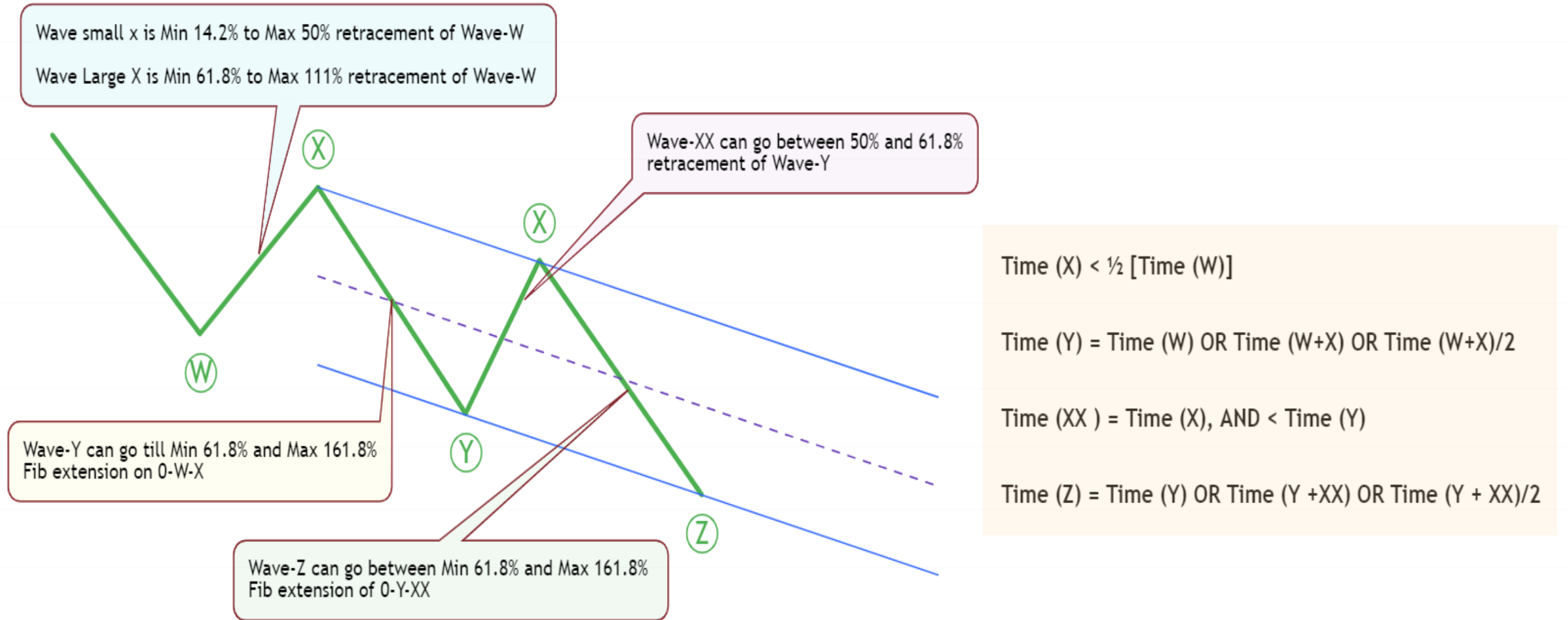


# Triple Correction (W-X-Y-XX-Z)

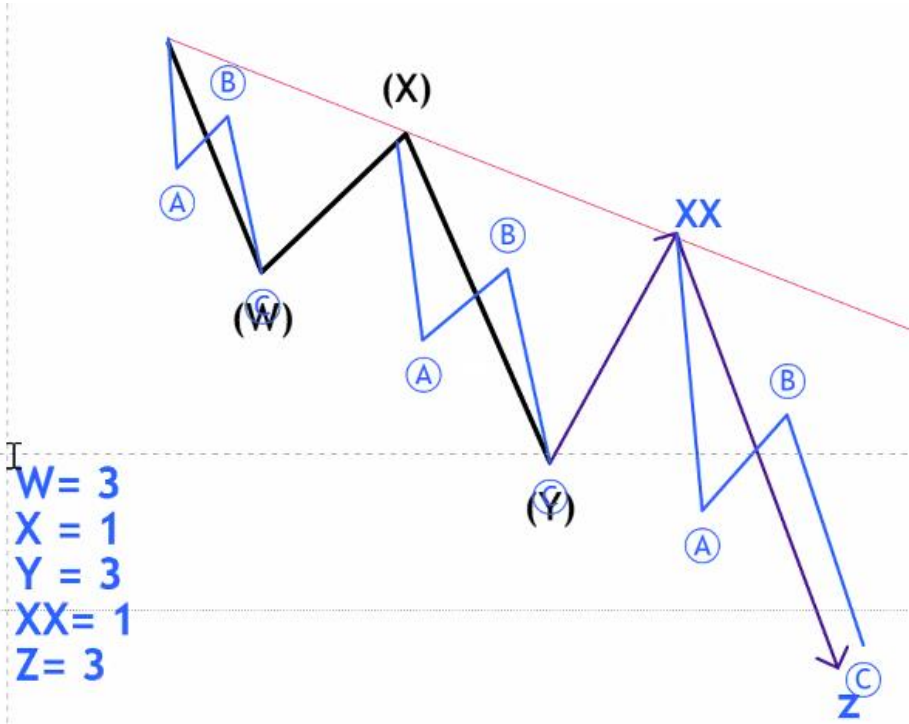
|                         |                                                         |
|-------------------------|---------------------------------------------------------|
| Correction Type         | • Complex correction                                    |
| Occurrence              | • Mostly found in Wave-4                                |
| Category                | • Time-wise correction                                  |
| No. of moves            | • Total Max 37 -> W(5-3-5), X(11), Y(5-3-5)             |
| Internal structure      | • W & X: Zig-Zag or Flat ; Y: Zig-Zag, Flat or Triangle |
| Rule for Wave-W         |                                                         |
| Rule for Wave-X (small) | • Max 50% retracement of Wave-W                         |
| Rule for Wave-X (Large) | • Min 61.8% and Max 111% retracement of Wave-W          |
| Rule for Wave-Y         | • 0-W-X Extension: Min 61.8%, Max 161.8%                |
| Rule for Wave-XX        |                                                         |
| Rule for Wave-Z         |                                                         |

|                       |                                                    |
|-----------------------|----------------------------------------------------|
| Time taken for Wave-Y | •Time (Y) = Time (W) OR Time (W+X) OR Time (W+X)/2 |
| Time taken for Wave-X | •Time (X) < Time (W)                               |
| Point of Entry        | •Start of Wave-Y                                   |
| Confirmation          |                                                    |
| Entry                 |                                                    |
| SL                    |                                                    |
| Exit (time period)    |                                                    |
| Reversal criteria:1   | •When price crosses 0-X TL in ½ Time (Wave-Y)      |
| Reversal criteria:2   | •When price crosses Pt. B in < Time (Wave-Y)       |

|  |  |  |
|--|--|--|
|  |  |  |
|  |  |  |
|  |  |  |
|  |  |  |



# Examples



# Time period rules in a Triple Correction

combat\_trader published on TradingView.com, Aug 26, 2024 07:06 UTC+5:30

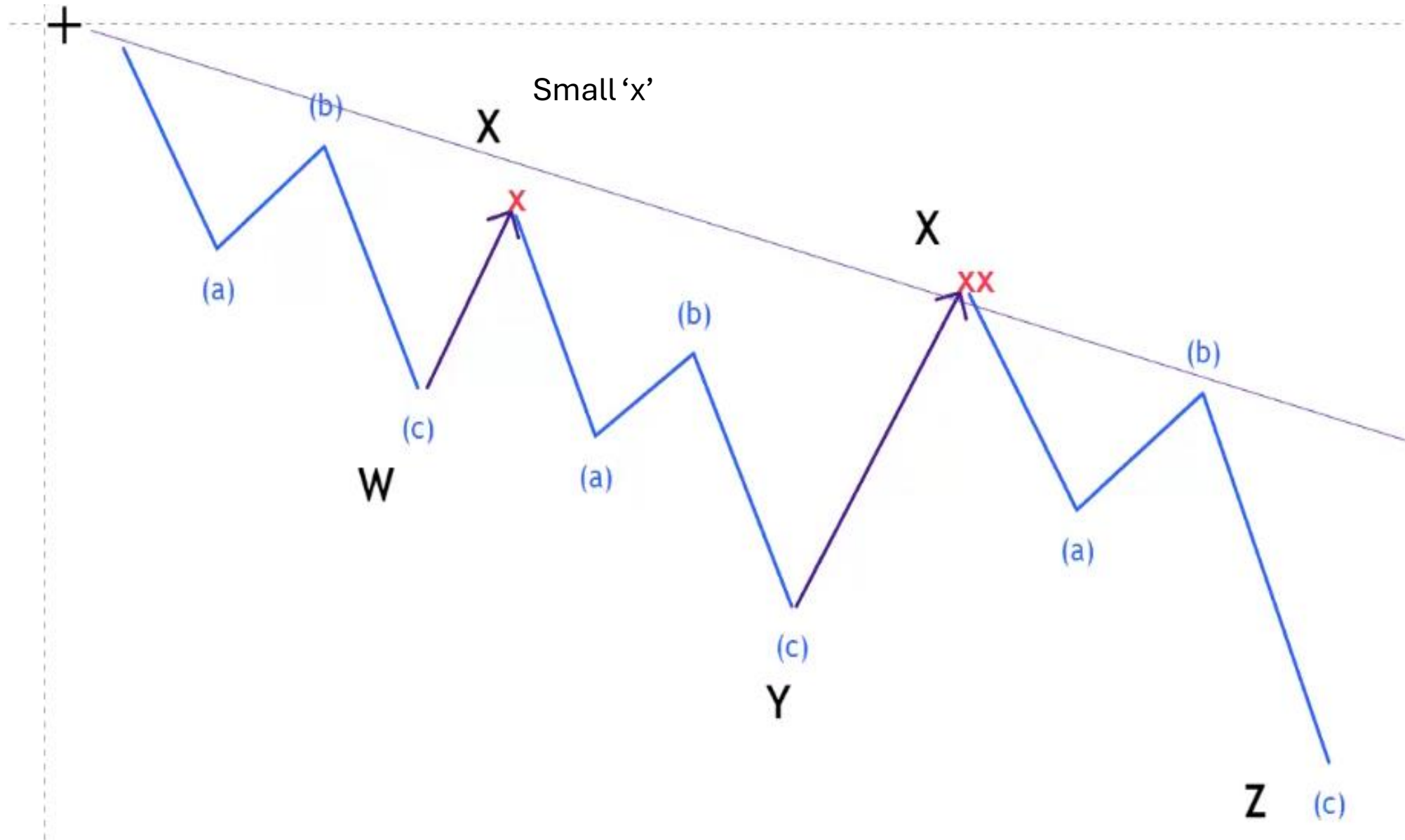


# MACD positive divergence in a Triple Correction

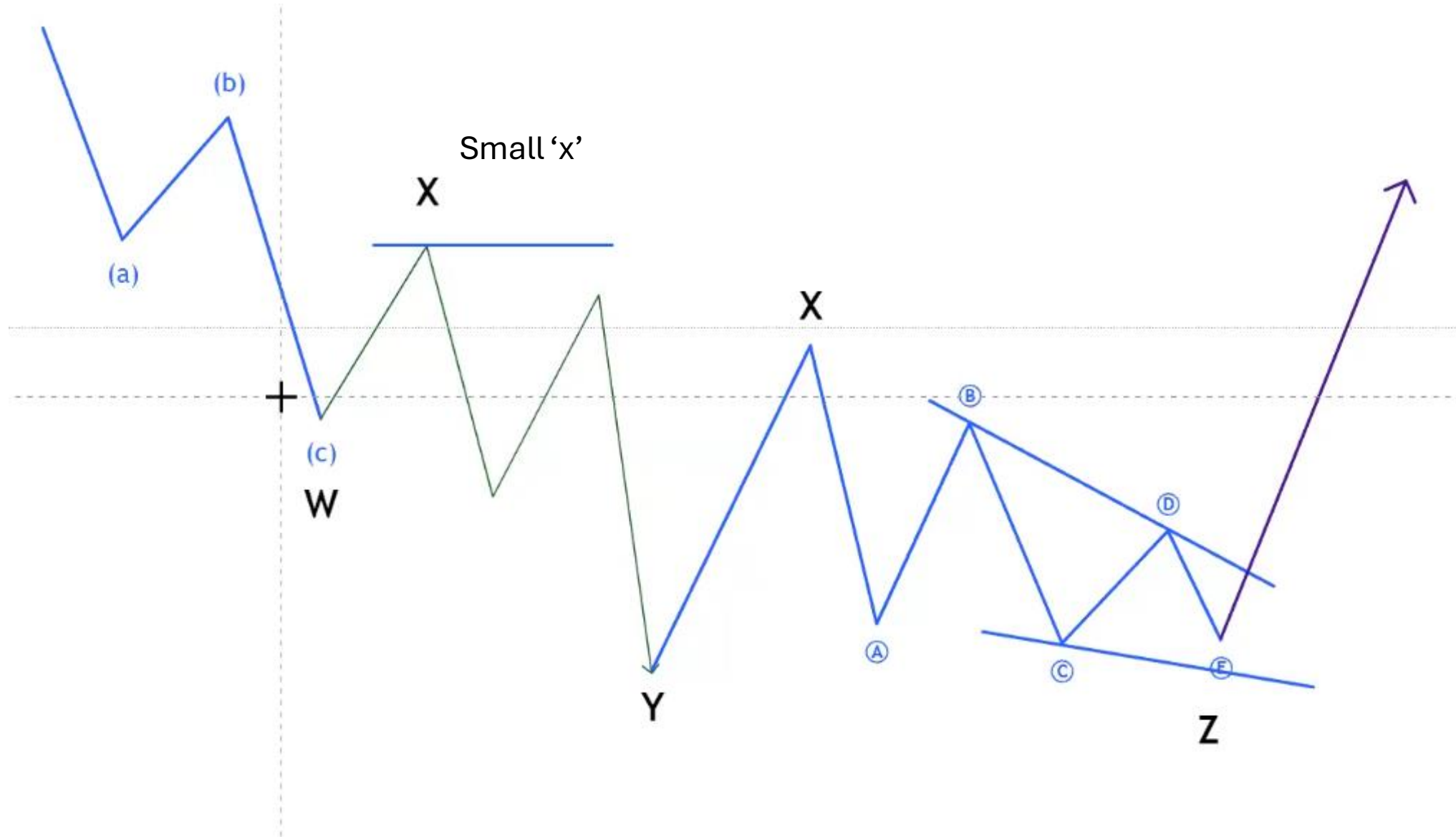
combat\_trader published on TradingView.com, Aug 26, 2024 07:20 UTC+5:30



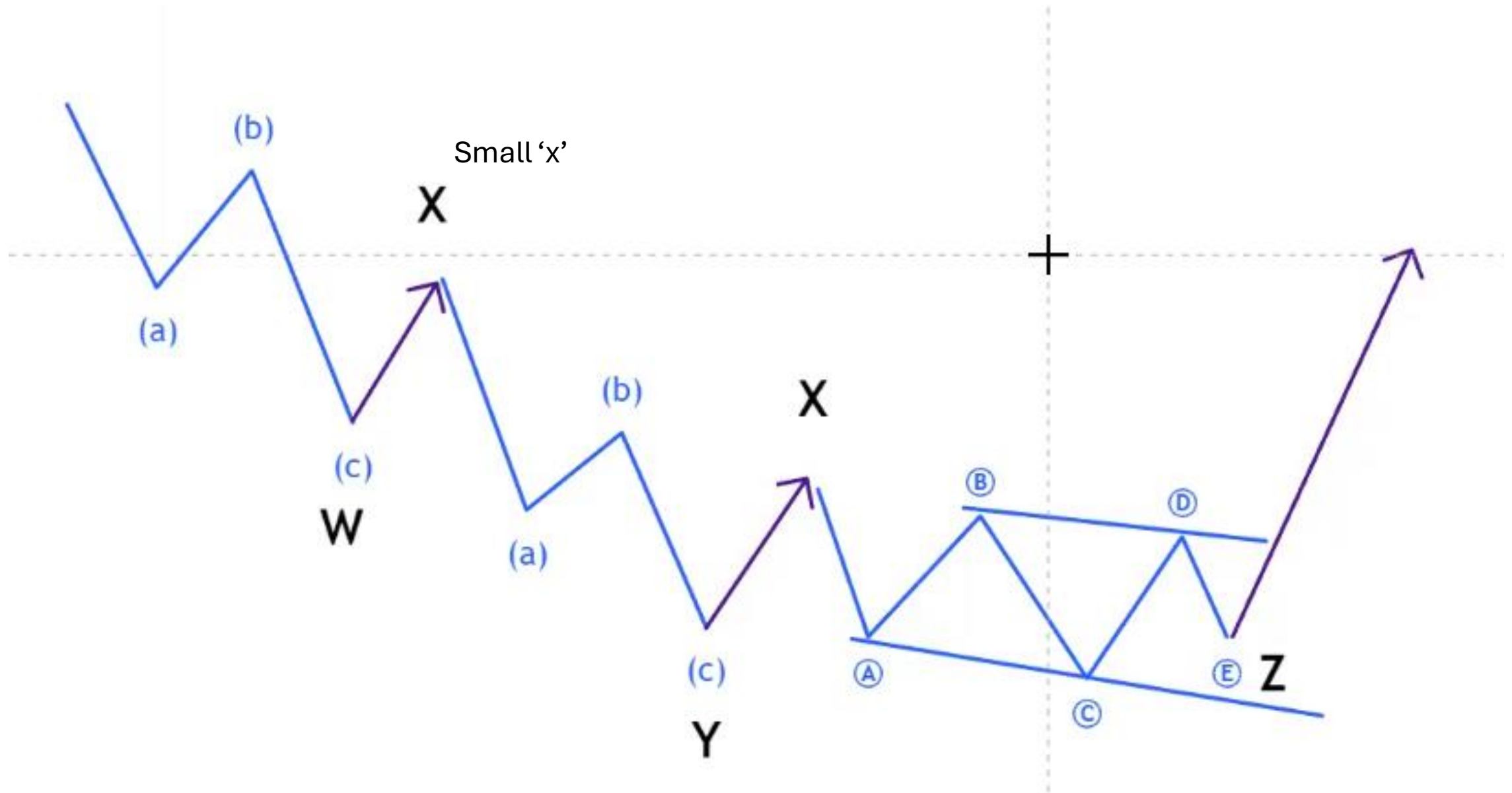
# Triple Zig-Zag



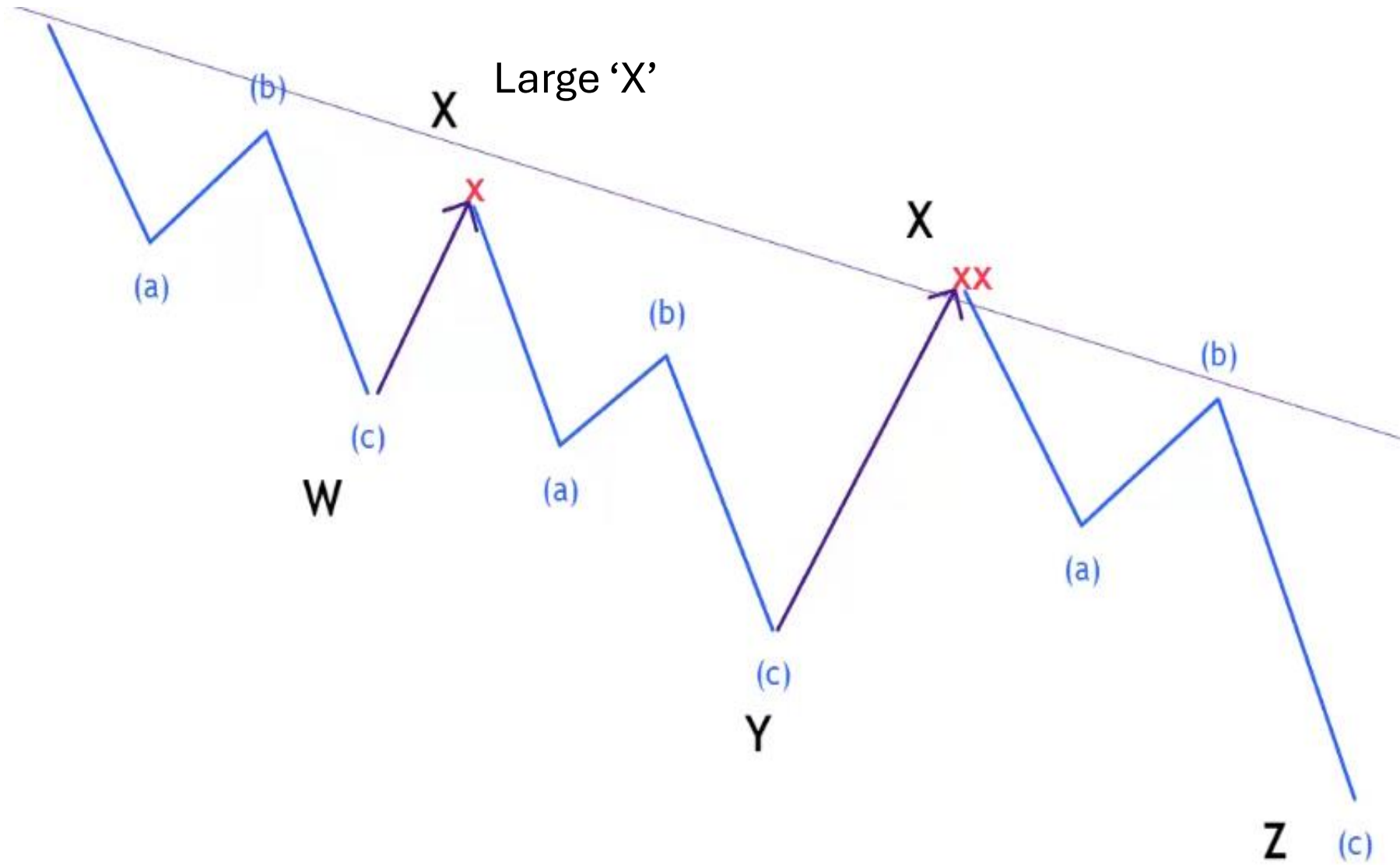
# Zig-Zag + Flat + Triangle



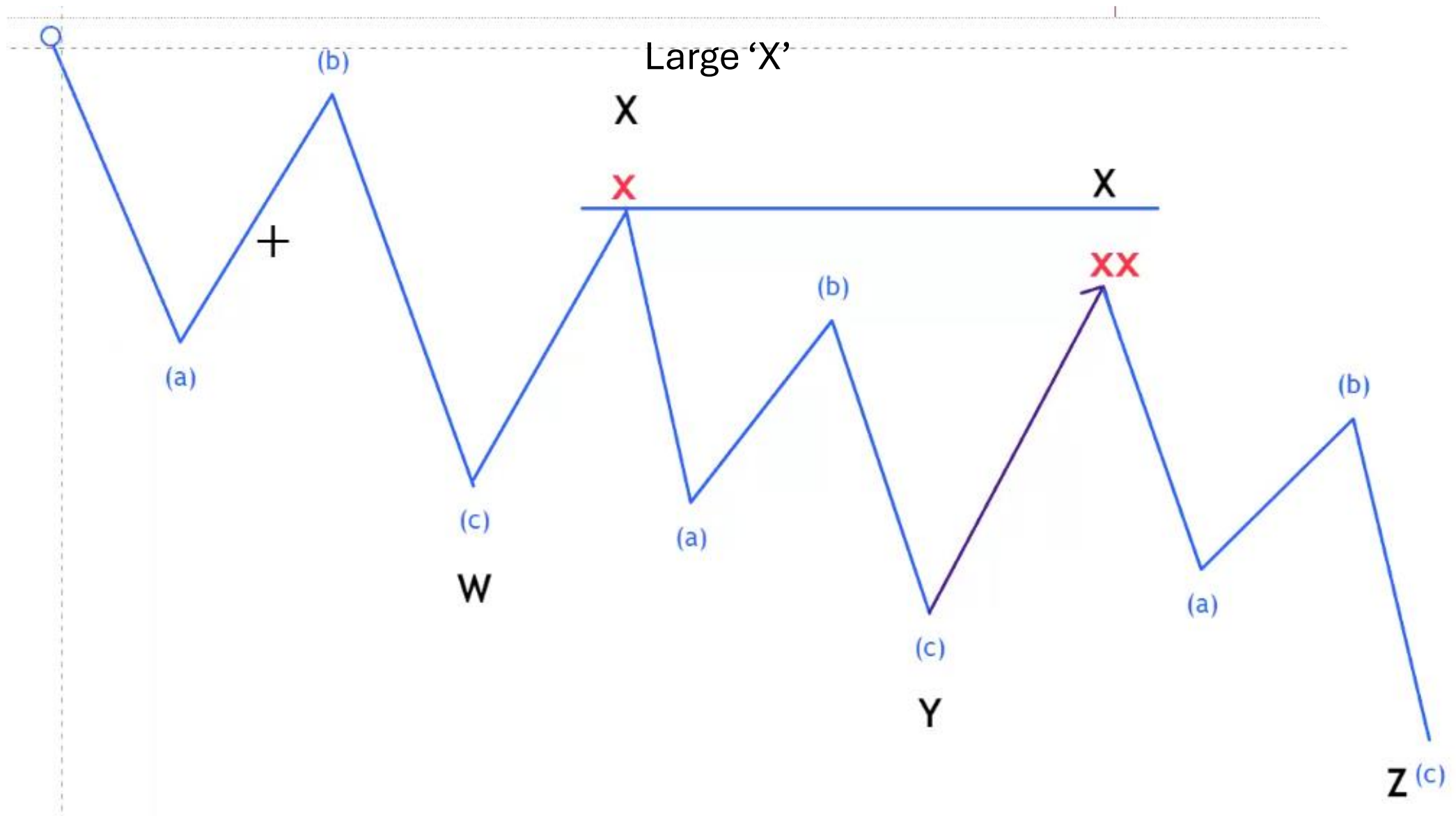
# Double Zig-Zag + Triangle



# Triple Zig-Zag



# Triple Flat



# Wave-XX

Nature

- Undefined

Sub-moves

No. of moves

MACD

Retracement

- XX can go between 50% and 61.8% retracement of Wave-Y

Rule

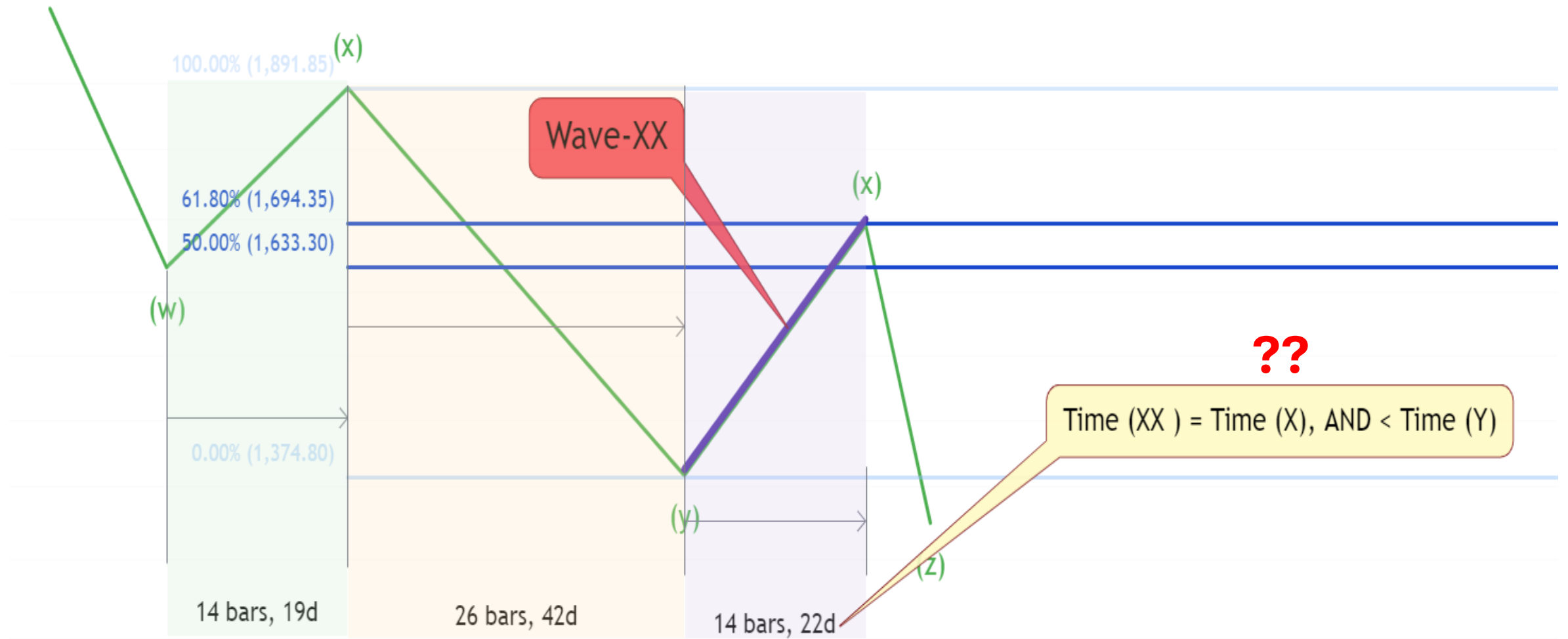
- Cannot go beyond (above) point X

Time

- Time (XX ) = Time (X), AND < Time (Y)

Trade

- At 127% book profits or use a trailing SL



# Wave-Z

Nature

- Corrective

Sub-moves

- 3 (A-B-C) OR (W-X-Y)

No. of moves

MACD

Fib Extension

- Min 61.8% and Max 161.8% Fib extension of 0-Y-XX

Exception

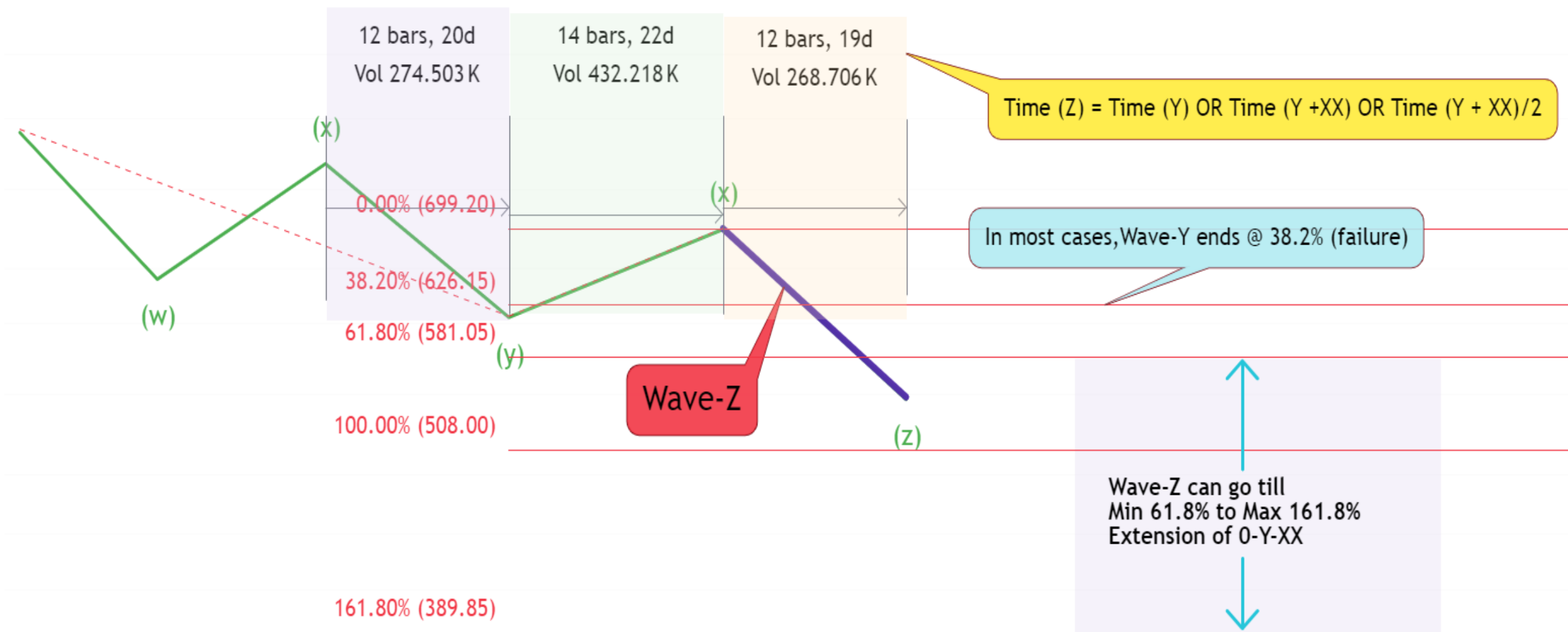
- In case of a failure, it can reverse from 31.8% Fib retracement

Time

- $\text{Time (Z)} = \text{Time (Y)} \text{ OR } \text{Time (Y + XX)} \text{ OR } \text{Time (Y + XX)/2}$

Trade

- At 127% book profits or use a trailing SL



# Types of Triangles

## Contracting Triangle:

- Horizontal Contracting Triangle.
- Irregular Contracting Triangle.
- Running Contracting Triangle

## Expanding Triangle:

- Horizontal Expanding Triangle.
- Irregular Expanding Triangle.
- Running Expanding Triangle.

# Contracting Triangle

## Rule : 1

- Three waves must undergo retracement exceeding 50% of the preceding wave's length.

## Rule : 2

- ABCDE (Each of the five waves exhibits a structure characterized by corrective waves).

## Rule : 3

- Always Draw trend-line on candle chart.

## Rule : 4

- Both the trend-lines will have max 5 touch points.

## Guideline:

- The retracement for the E wave typically hovers around 38.2% and triangles are mostly found in 4th, B, E, X, Y, XX, Z).

## Note:

- Not found in 2nd wave

# Horizontal Contracting Triangle

The trend lines of the triangle must travel in opposite price directions.

Wave-b must be smaller than wave-a.

Wave-c must be smaller than wave-b.

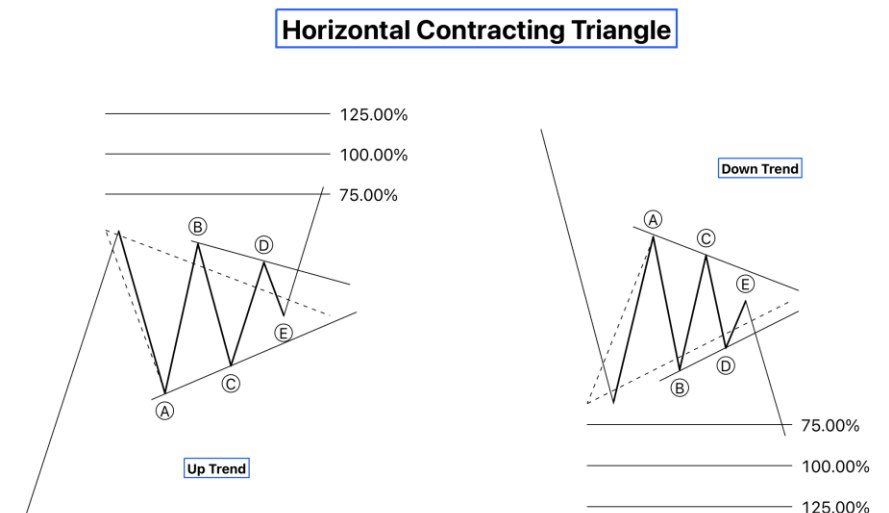
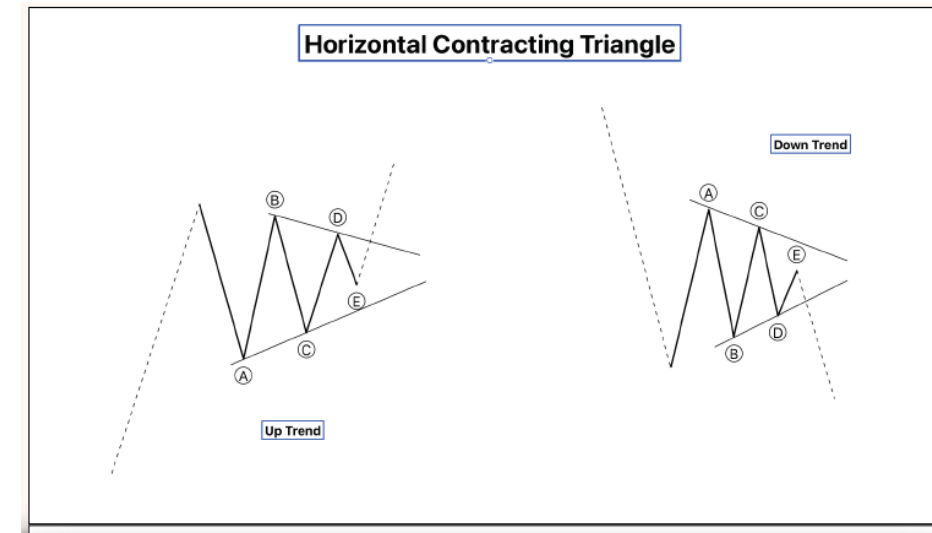
Wave-d must be smaller than wave-c.

Wave-e must be smaller than wave-d.

Wave-a is the widest segment of the triangle.

The apex point of the triangle must fall within a range 61.8% of the longest segment of the triangle, centered in The middle of the longest segment.

After the completion of horizontal contracting triangle, there occurs a "thrust" that must be at least 75% of the widest wave, and under normal circumstances will not exceed 125%.



virajgada published on TradingView.com, Aug 27, 2024 08:58 UTC+5:30



# Irregular Contracting Triangle

Wave-b should not be more than 261.8% of wave-a and will usually be less than 161.8%.

An exact Fibonacci relationship between wave-a and wave-b of any triangle is very unusual.

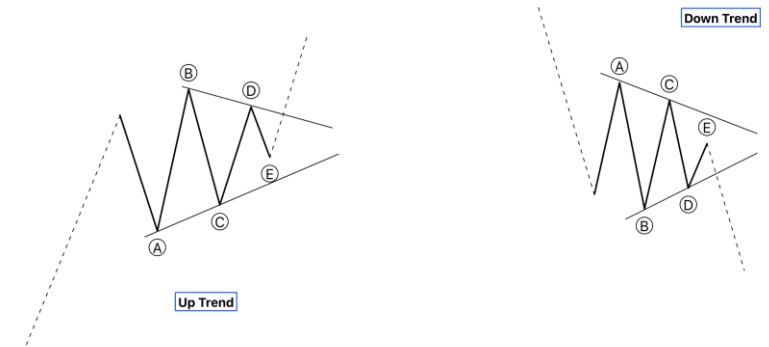
Waves c, d, & e must all be smaller than the previous wave.

The trend lines of the triangle should move in opposite directions.

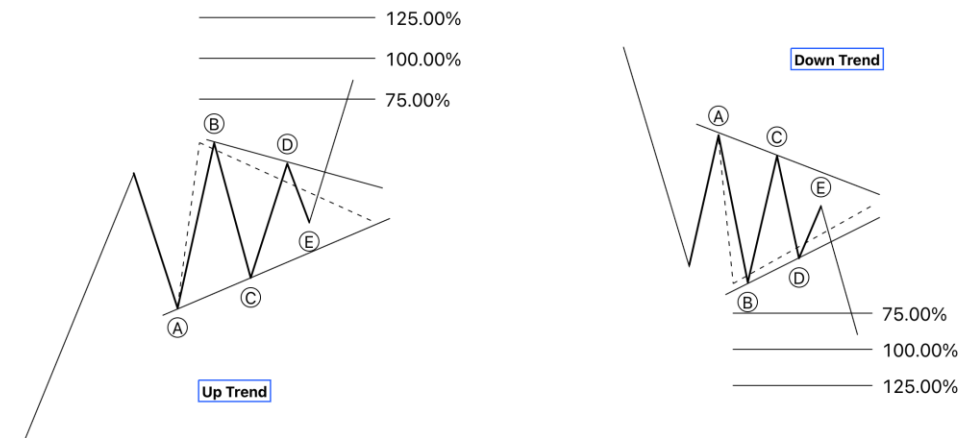
Wave-b is the widest segment of the triangle.

After the completion of irregular contracting triangle, there occurs a "thrust" that must be at least 75% of the widest wave, and under normal circumstances will not exceed 125%.

Irregular Contracting Triangle



Irregular Contracting Triangle



# Running Contracting Triangle

Wave-b is longer than wave-a and is the longest wave of the triangle.

Wave-c is smaller than wave-b.

Wave-d is larger than wave-c.

Wave-e is smaller than wave-d.

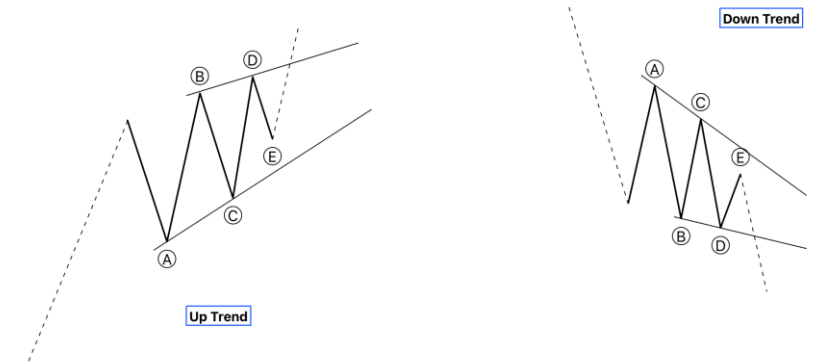
Both trend lines will slope upward or downward.

Wave-b is the widest segment of the triangle.

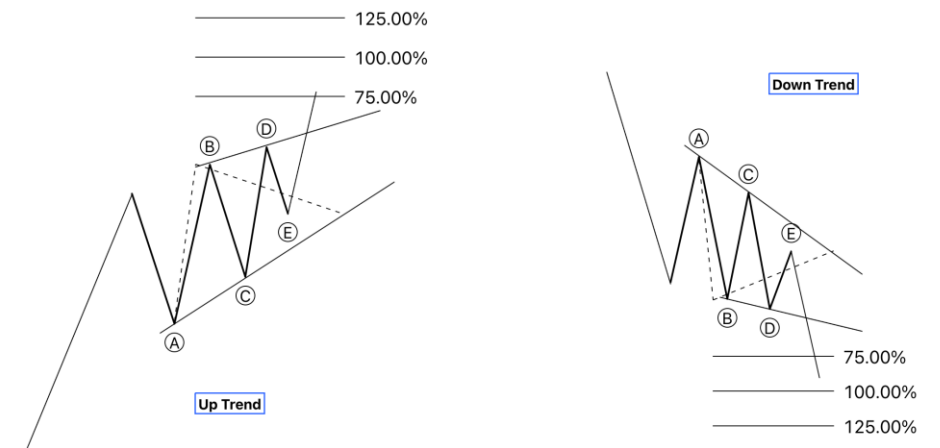
The "thrust" after the triangle will be much larger than the widest leg of the triangle, sometimes as much as 261.8%, but no more.

After the completion of running contracting triangle, there occurs a "thrust" that must be at least 75% of the widest wave, and under normal circumstances will not exceed 125%.

Running Contracting Triangle



Running Contracting Triangle



# Expanding Triangle

## Rule : 1

- The A-wave or the B-wave will always be the smallest segment of the Triangle.

## Rule : 2

- Wave-E will almost always be the largest wave of the pattern.

## Rule : 3

- Expanding Triangles cannot occur as B-waves in Zigzags or B.C. or D-waves of a larger Triangle.

## Rule : 4

- The E-wave will usually be the most time consuming and complex segment of the Triangle. The most typical construction of the E-wave (if you can see any subdivisions), would be a Zigzag (in small Expanding Triangles), or a Complex Combination of corrections in large: patterns.

## Rule : 5

- The E-wave will almost always break beyond the trend line drawn across the top of wave-A and wave-C.

## Rule : 6

- The "thrust" out of an Expanding Triangle should be less than the widest wave of the Triangle (which, in this case, is wave-E) unless it concludes a powerful, larger Correction.

## Rule : 7

- Backward from wave-E, three of the previous waves must be at least 50% of the wave to the right.

## Note

- Not found in 2nd wave

# Horizontal Expanding Triangle

Wave-A must be the smallest wave in the pattern.

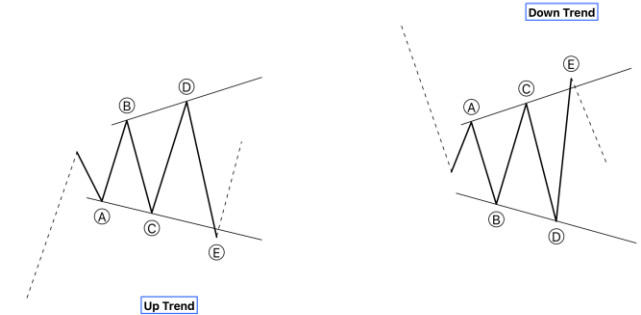
Wave-e is the widest segment of the triangle.

The Wave-E will probably break beyond the trend line drawn across wave-a & c.

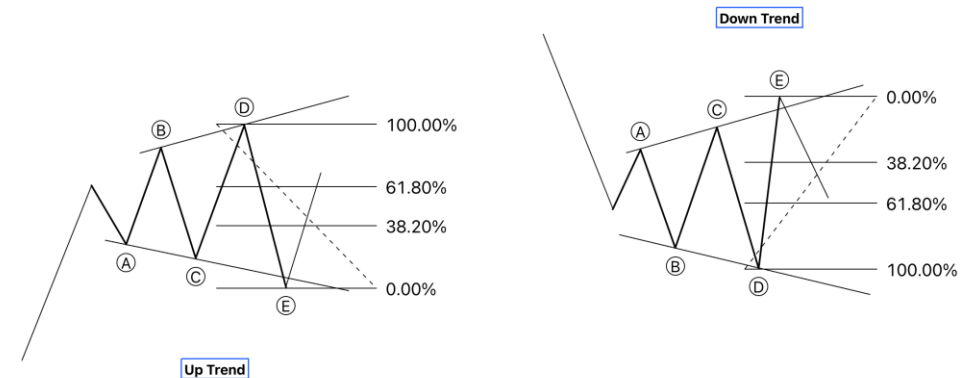
Wave-B,C,D,E must each exceed the previous segment's termination point (which may or may not be the highest or lowest price).

After the completion of horizontal expanding triangle, there occurs a "thrust" that must be at least 61.8% of the widest wave, and under normal circumstances will not exceed 100%.

Horizontal Expanding Triangle



Horizontal Expanding Triangle



# Irregular Expanding Triangle

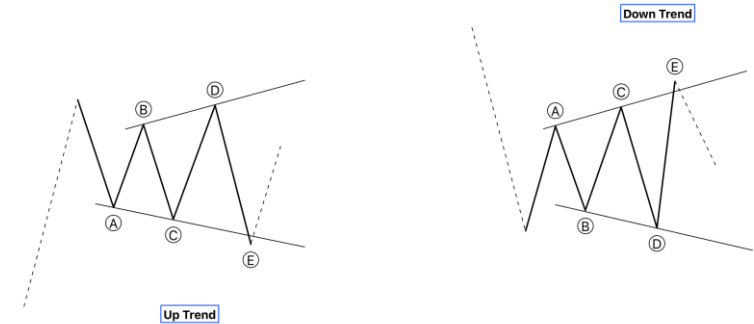
Wave-b is smaller than wave-a and all the rest of the waves are larger than the previous.

The longer the period of time covered by the pattern, the more likely the channeling of the pattern will be upwardly or downwardly skewed.

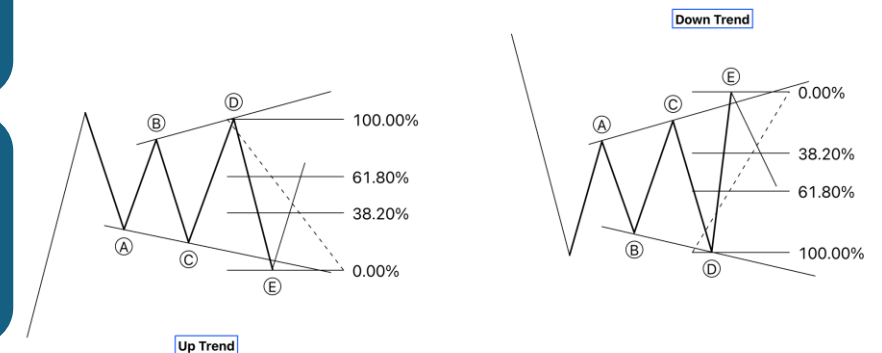
After the completion of irregular expanding triangle, there occurs a "thrust" that must be at least 61.8% of the widest wave, and under normal circumstances will not exceed 100%.

Wave-e is the widest segment of the triangle.

Irregular Expanding Triangle



Irregular Expanding Triangle



# Running Expanding Triangle

Wave-b being slightly larger than wave-a and wave-d being slightly shorter than the wave-c.

Instead of the trend lines going in opposite directions, they both go in the same direction, but still diverge.

The e-wave in this type of pattern can be quite violent.

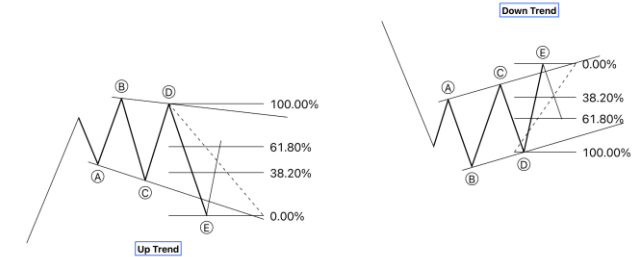
When all waves are larger than the previous except wave-c (which is shorter than the wave-b).

Wave-e is the widest segment of the triangle.

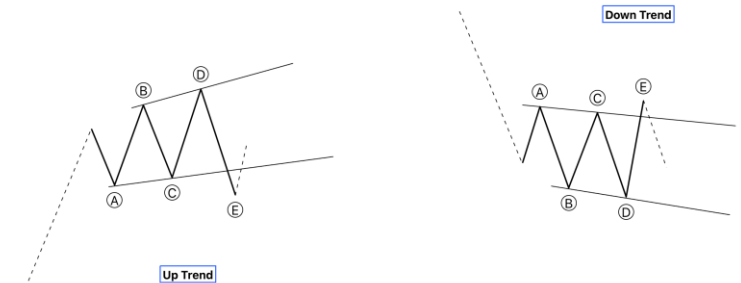
Instead of the trend lines going in opposite directions, they both go in the same direction, but still diverge.

After the completion of running expanding triangle(part-2), there occurs a "thrust" that must be at least 61.8% of the widest wave, and under normal circumstances will not exceed 100%.

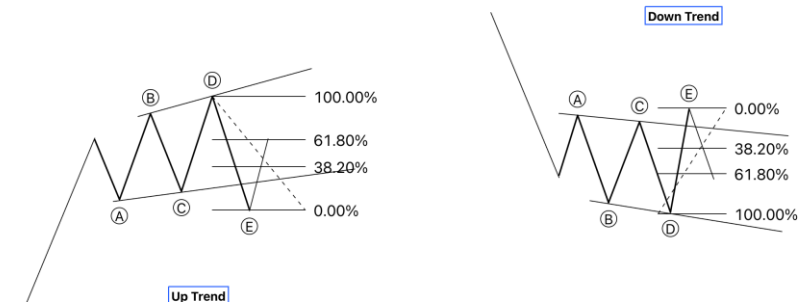
Running Expanding Triangle(Part-1)



Running Expanding Triangle(Part-2)

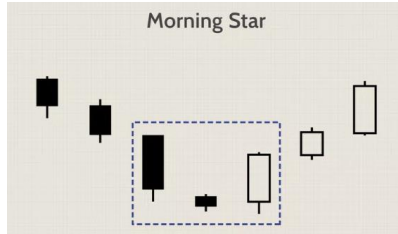


Running Expanding Triangle(Part-2)

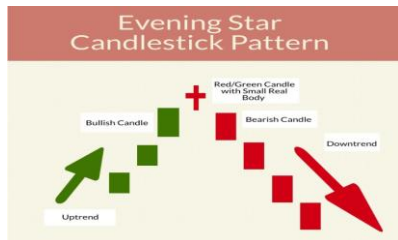


# Candlestick Patterns

## Triple candlestick pattern:



**1. Morning Star** - A morning star is a visual pattern made up of a tall black candlestick, a smaller black or white candlestick with a short body and long wicks, and a third tall white candlestick. The middle candle of the morning star captures a moment of market indecision where the bears begin to give way to bulls. The third candle confirms the reversal and can mark a new uptrend.

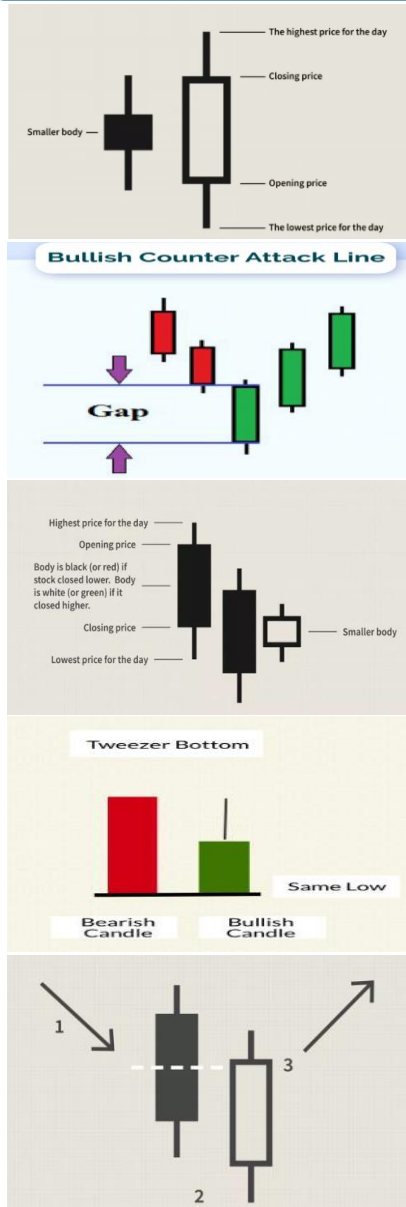


**2. Evening Star** - The evening star pattern is considered to be a very strong indicator of future price declines. Its pattern forms over three days: The first day consists of a large white candle signifying a continued rise in prices. The second day consists of a smaller candle that shows a more modest increase in price. The third day shows a large [red candle](#) that opens at a price below the previous day and then closes near the middle of the first day.



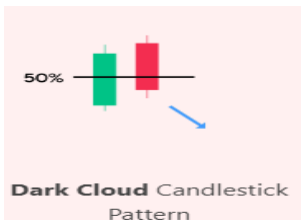
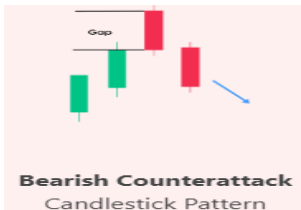
**3. Tri-Star** - A tri-star is a three line candlestick pattern that can signal a possible reversal in the current trend, be it bullish or bearish. Tri-star patterns form when three consecutive doji candlesticks appear at the end of a prolonged trend. A tri-star pattern near a significant support or resistance level increases the probability of a successful trade.

# Double Candlestick Patterns- Bullish



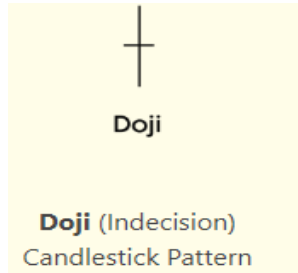
- 1. Bullish Engulfing** - A bullish engulfing pattern is a candlestick pattern that forms when a small black candlestick is followed the next day by a large white candlestick, the body of which completely overlaps or engulfs the body of the previous day's candlestick. Bullish engulfing patterns are more likely to signal reversals when they are preceded by four or more black candlesticks. Investors should look not only to the two candlesticks which form the bullish engulfing pattern but also to the preceding candlesticks.
- 2. Bullish Counterattack** - The pattern shows that the buyers may be losing control during an uptrend or that sellers may be losing control in a downtrend. The bullish counterattack lines is a candlestick pattern with the following characteristics: The market is in a downtrend. 1) The first candle is black (down) with a long real body. 2) The second candle gaps down on the open, is white with a real body that's similar in size to the first candle, and closes near the first candle's close.
- 3. Bullish Harami** - A bullish harami is a candlestick chart indicator used for spotting reversals in a bear trend. It is generally indicated by a small increase in price (signified by a white candle) that can be contained within the given equity's downward price movement (signified by black candles) from the past couple of days.
- 4. Tweezer Bottom** - a **bullish tweezer bottom** is realized during a downtrend when bears continue to drive prices lower, closing the day near lows (usually a strong bearish trend). Again, Day 2 is a reversal, as prices open, do not breach the prior day's lows, and head sharply higher. A bullish advance on Day 2 can quickly eliminate losses from the previous trading day.
- 5. Piercing Bottom** - The pattern is preceded by a downward trend in price. (This may be only a short downtrend, but if the candles appear after an upward trend in price it is not an important reversal indicator). The price gaps lower to begin the second day, must close above the midpoint of the first candle. (This signifies that buyers overwhelmed sellers on this day.)

# Double Candlestick Patterns- Bearish

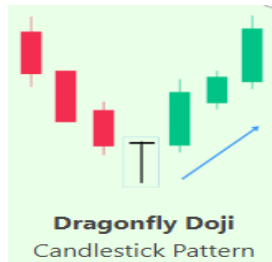


- 1. Bearish Engulfing** - A bearish engulfing pattern is a candlestick chart pattern that indicates a potential reversal in trend. It occurs when there is a large red candlestick that “engulfs” the previous green candle. This signals that the bears are taking control of the market and that the bulls are no longer in charge.
- 2. Bearish Counterattack** - is made up of 2 candlesticks. The 1st candlestick in the pattern has a green colored real body. The 2nd candlestick in the pattern gaps higher at the open than the 1st candlestick's closing share price. The closing share price, even after the initial gap-up, closes at the same or almost the same share price as the 1st candlestick in the pattern. The Bearish Counter-Attack is confirmed on the 3rd candlestick if the share price continues the reversal of momentum that started to take place with the 2nd candlestick
- 3. Bearish Harami** - A bearish harami is a candlestick chart indicator for reversal in a bull price movement. It is generally indicated by a small decrease in price (signified by a black candle) that can be contained within the given equity's upward price movement (signified by white candles) from the past day or two.
- 4. Tweezer Top** - A **bearish tweezer top** occurs during an uptrend when bulls push prices higher, often ending the day near the highs (generally considered a strong bullish signal). Then, on the following (second) day, traders reverse their market sentiment. The market opens, does not breach the prior day's highs, and heads straight down, often eliminating most of the prior period's gains.
- 5. Piercing Top or Dark Cloud** - Dark Cloud Cover is a candlestick pattern that shows a shift in momentum to the downside following a price rise. The pattern is composed of a bearish candle that opens above but then closes below the midpoint of the prior bullish candle. Both candles should be relatively large, showing strong participation by traders and investors. When the pattern occurs with small candles it is typically less significant. Traders typically see if the candle following the bearish candle also shows declining prices. A further price decline following the bearish candle is called confirmation.

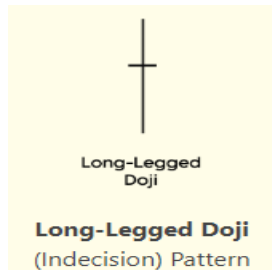
## Single candle:



**1. Doji** - A Doji is a name for a trading session (Day or any time period) in which a security has open and close levels that are virtually equal, as represented by a candle shape on a chart. Based on this shape, analysts attempt to make assumptions about price behavior. Doji candlesticks can look like a cross, an inverted cross or a plus sign. Although rare, a doji candlestick, especially if they appear in cluster generally signals a trend reversal indication, although it can also signal indecision about future prices. Broadly, candlestick charts can reveal information about market trends, sentiments, momentum, and volatility. The patterns that form in the candlestick charts are signals of such market actions and reactions.



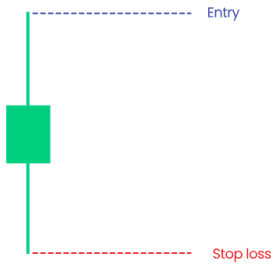
**2. Gravestone Doji** - A gravestone doji is a bearish reversal [candlestick](#) pattern that is formed when the open, low, and closing prices are all near each other with a long upper [shadow](#). The long upper shadow suggests that the bullish advance at the beginning of the session was overcome by bears by the end of the session. This often comes just before a longer-term bearish downtrend.



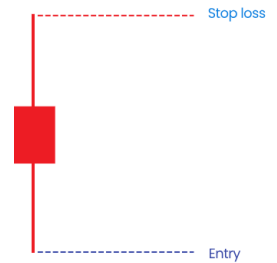
**3. Long legged doji** - The long-legged doji is a [candlestick](#) that consists of long upper and lower shadows and has approximately the same [opening](#) and closing price, resulting in a small real body. The pattern shows indecision and is most significant when it occurs after a strong advance or decline. The pattern is not always significant, and won't always mark the end of a trend—it could mark the start of a consolidation period, or it may just end up being an insignificant blip in the current trend.

## Single candle:

## Bullish High Wave



## Bearish High Wave

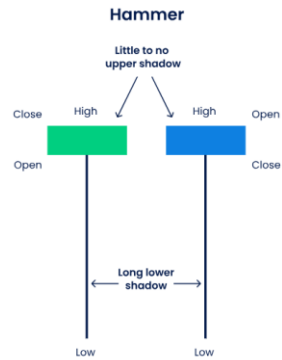


**4. High Wave** - pattern indicates price breakouts during an uptrend or downtrend. It consists of longer lower shadows and upper shadows with a small body that indicates fluctuating prices during the trading period. Since both the supply side and demand side of the securities prices witness rapid fluctuations, buyers try to increase the securities prices but are met with the opposite decision of sellers to cut down the prices. This leads to overall indecision until the market finally crosses the resistance price level or falls below the support level and marks a trend reversal. The High Wave Candlestick pattern occurs in a highly fluctuating market and provides traders with entry and exit levels in the current trend. The candlestick usually forms at the support and resistance price levels, indicating trend reversals. A High Wave Candlestick pattern usually consists of only a single candlestick near the resistance or support level, where the size of the candlestick is more than the size of the previous 20 candlesticks in the pattern. This indicates a big market move during the trading period. The body of the candlestick is smaller when compared to the size of its shadows (wicks). A High Wave Candlestick is equal to or less than 20% of the total size of the wick. A High Wave Candlestick can either be a green-coloured candlestick, occurring in a bullish trend, or a red-coloured candlestick, occurring in a bearish trend. The upper and lower wick's size should be at least two times the size of the body. The larger the size, the better it is, as larger wicks indicate a higher indecision level in the market .

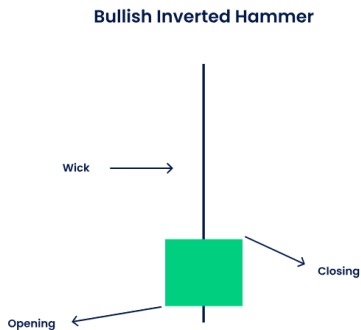
**5. Shooting Star** is a candlestick pattern formed when currency pair prices open, increase immediately, and then close near the opening price, indicating a downtrend reversal. The **candlestick Shooting Star** is formed after three or more green (bullish) candlesticks appear simultaneously, marking higher prices of the currency pair. The green candlesticks are followed by a small-bodied red (bearish) candlestick with an extremely long upper wick and no lower wick at all, indicating that the overall rising uptrend is now going to reverse into a downtrend. The long wick also indicates a strong buying pressure during the last few days, but the price is brought near to the close price as the day ends and selling pressure increases.



## Single candle:



**6. Hammer (Green) - Candlestick pattern** that occurs whenever a securities trades at a much lower price than its opening price. The currency pair price spirals as soon as the close price of the pair comes near the open price. It signals bullish reversals in the market. In this pattern, the open, close and high prices are very close to each other, giving it the 'hammer' type look. The lower shadow or wick in a Hammer Candlestick is always more than double the candlestick's body size. This pattern generally occurs when the securities is in a downtrend, which in turn indicates a possible market reversal.



**7. Inverted Hammer-** A Bullish Inverted Candlestick is an individual candlestick with a small body and long upper wick. The close price of the currency pair is always above the open price, indicating more significant buying pressures in the market. This candlestick is formed after a long downtrend and signals an uptrend market reversal. With this candlestick, traders can enter buy positions since the market is expected to witness a potential increase in the prices.

# Candlestick Formula

| SELLING                              |                                      | BUYING                               |                                      |
|--------------------------------------|--------------------------------------|--------------------------------------|--------------------------------------|
| NIFTY / BANKNIFTY                    | Stocks                               | NIFTY / BANKNIFTY                    | Stocks                               |
| $X = \text{Low} * 0.382 / 100$       | $X = \text{Low} * 0.618 / 100$       | $X = \text{High} * 0.382 / 100$      | $X = \text{High} * 0.618 / 100$      |
| Entry = Low - X                      | Entry = Low - X                      | Entry = High + X                     | Entry = High + X                     |
| $Y = \text{High} * 0.382 / 100$      | $Y = \text{High} * 0.618 / 100$      | $Y = \text{Low} * 0.382 / 100$       | $Y = \text{Low} * 0.618 / 100$       |
| SL = High + Y                        | SL = High + Y                        | SL = Low - Y                         | SL = Low - Y                         |
| $Z = (\text{High} - \text{Low}) * 2$ | $Z = (\text{High} - \text{Low}) * 2$ | $Z = (\text{High} - \text{Low}) * 2$ | $Z = (\text{High} - \text{Low}) * 2$ |
| T1 = Entry - Z                       | T1 = Entry - Z                       | T1 = Entry + Z                       | T1 = Entry + Z                       |
| T2 = T1 - Z                          | T2 = T1 - Z                          | T2 = T1 + Z                          | T2 = T1 + Z                          |

# MACD Basics

MACD is only a supporting tool used to identify the strength, direction, momentum and duration of the trend.

It is to be used in 75min, Daily and Weekly timeframes

It gives Bullish and Bearish signals through crossover of moving averages

It can also be interpreted via positive and negative divergences

MACD histogram shows bearish and bullish signals along with their strength (through color)

# MACD Rules - Impulse

## Base point

- Confirmed when MACD forms lowest low and price retraces till 61.8%

## Wave-1

- Starts after MACD forms a lowest low or positive divergence

## Wave-2

- MACD falls slowly while price falls fast. Its MACD value won't go below base point's MACD value.

## Wave-3

- MACD **always** forms a top

## Wave-4

- MACD can fall very fast even form a lowest low. Steep fall in MACD denotes end of Wave-3. Usually MACD goes below the Zero line.

## Wave-5

- MACD forms a negative divergence

## 1-2-3 vs A-B-C

- At C, MACD is not at its top and usually forms a negative divergence; and MACD does not fall much in the succeeding fall unlike a Wave-4

# MACD Rules - Correction

## Corrective move

- Price fall has minimal impact on the MACD

## Simple Correction

- If a positive divergence is formed in Wave-C, that means it is only a simple A-B-C correction

## Complex Correction

- If MACD replicates the movement of price, the correction will mostly be complex and is not over yet

## Wave-A

- MACD value will be lower than that in previous impulse move's Waves – 2 & 4's MACD

## Wave-B

- MACD moves with speed in Wave-B

## Wave-X

- MACD moves with speed in Wave-X

## Wave-Y

- End of correction is denoted by a positive divergence in MACD. If MACD forms a lowest low, it signals a triple correction

## Wave-XX

- MACD forms a higher high

## Wave-Z

- MACD forms a positive divergence

# MACD Rules - Advanced

## Lowest MACD

- Formed in Wave-4 or in a Degree fall

## Highest MACD

- Without a 127% retracement in price is Wave-X or Wave-B

## Fib extension 61.8%

- If MACD does not create a new high when price crosses 61.8% extension, then it is not Wave-3 but a corrective move

## MACD Tops

- Wave-3 (Trending and Terminal);
- Wave-X or Wave-B (during Flat correction)
- Momentum cycle or Degree completion (1/3/5)
- Wave-W in a corrective rise

## MACD Bottom

- Degree fall / Wave-4
- Wave-A
- Wave-W
- Wave-Y
- Downside impulse – Wave-3

# Channel

Whenever price crosses 61.8% of the Imp High – Low, draw a channel to check trend continuity of Wave-1

To be used only in Impulse waves. Price won't reverse till the time it does not exit the channel

Make it by joining the base point with 2 and make sure that price does not fall anywhere outside the channel

After exiting from the channel, price can fall till 38.2% to 81.2% levels and signifies end of trend

Entry can be done after the fall with a reversal candle pattern. Price does not enter the channel after exiting it

# Trendline

Used for Pattern confirmation and Reversal

Draw a TL connecting 0-2 (base TL) and place a parallel TL on 1 to form a channel

No part of Wave-3 should break the TL connecting 0-2

For Wave-4, draw a TL connecting 1-3 and place a parallel TL on 2

Wave-4 can come where TL on 2 matches with Fib levels

Till the time price is above 2-4 TL (maturity TL), price will reach 127% in Wave-5

Connect the origin of A with point B, and place a parallel line through point A. This will project the end of C.

When wave 3 ends. Connect 1 & 3 and place a parallel line thru 2. This provides an estimated boundary for wave 4.

When wave 4 ends, connect 2 & 4, and place a parallel line thru 3. This will forecast the end of wave 5.

If wave 4 moves out of the channel, expect wave 5 to be a throw-over.

Alternative method for projecting the end of wave 5: if wave 3 is abnormally strong (vertical) and wave 4 is sideways, connect 2 and 4, and draw a parallel line that intersects the extreme of wave 1. This will project the end of wave 5.

# Time Period - Impulse

## Note

- Time needs to be measured from the highest or lowest points

## Wave-2

- Time (Wave-2) =  $\frac{1}{4}$ ,  $\frac{1}{2}$ , 1X or 2X the Time (Wave-1)

## Wave-3 (a)

- If Time(Wave-1) not equal to Time (Wave-2); then  
Time(Wave 3) = (Wave-1 time + Wave-2 time)/2

## Wave-3 (b)

- If Time (Wave-1) = Time (Wave-2) [+/- 5]; then  
Time(Wave-3) is sum of both

## Wave-4

- Time (Wave-4) can be identified using the corrective patterns of its sub-waves

# Time Period - Correction

Wave-A

- Confirmed if price breaks 2-4 TL in half the time of Wave-5

Wave-B

- $\text{Time}(\text{Wave-B}) > \text{Time}(\text{Wave-A})$

Wave-C:1

- If  $\text{Time}(\text{Wave-A}) = \text{Time}(\text{Wave-B})$ ;  $\text{Time}(\text{Wave-C}) = \text{Time}(\text{Wave-A}) + \text{Time}(\text{Wave-B})$

Wave-C:2

- If  $\text{Time}(\text{Wave-A})$  not equal to  $\text{Time}(\text{Wave-B})$ ;  $\text{Time}(\text{Wave-C}) = [\text{Time}(\text{Wave-A}) + \text{Time}(\text{Wave-B})] / 2$

Wave-X

- $\text{Time}(X) < \text{Time}(W)$

Wave-Y

- $\text{Time}(Y) = \text{Time}(W)$  OR  $\text{Time}(W+X)$  OR  $\text{Time}(W+X)/2$

Wave-XX

- $\text{Time}(X) = \text{Time}(XX)$

Wave-Z

- $\text{Time}(Z) = \text{Time}(Y)$  OR  $\text{Time}(Y+XX)$  OR  $\text{Time}(Y+XX)/2$

# Gaps

## Gaps Purpose

- It confirms the impulse or correction, will help to identify a trend is strong or weak or reversal. It helps to confirm the trend.

## Common gap

- They are small gaps which confirm strength of the trend (stability). They will get filled in 3 to 5 days, visible in waves 1,2,4. In wave 4th correction will see only common gaps. Mostly in the flat correction.

## Breakaway gap

- If the price opens above wave 1 and not filled on the same day is call breakaway gap, its visible only in the wave 3, and it will never get filled.

## Runaway gap

- It helps breakaway gap to establish its trends, visible in wave 3 only

## Exhaustion gap

- Visible on Wave 5,C,Y and Z, like island reversal are made, indicating the trend is changing. It will be filled quickly.